

From: SADASHIVAN B <gst-bed7@gov.in>
Sent: Wednesday, July 16, 2025 4:59:56 PM
To: Sharma, Krishna (GE Aerospace) <krishna.sharma@ge.com>
Cc: swastika jain <swastika.jain@pwc.com>; karishma <karishma.p@pwc.com>; Kumar, Hemant (GE Aerospace) <Hemant.Kumar2@ge.com>
Subject: EXT: Order in Respect of 5 Service Tax refund claims-reg

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Sir,

Please find the attachment of the order in respect of 5 Service Tax refund claims.

Regards,
Supdt, Bed7



केन्द्रीय कर के सहायक-आयुक्त का कार्यालय
OFFICE OF THE ASSISTANT COMMISSIONER OF CENTRAL TAX,
 माल और सेवा कर आयुक्तालय, बेंगलूर पूर्व, मंडल - 7,
GST COMMISSIONERATE, BANGALORE EAST, DIVISION-7,
 बी.एम.टी.सी बस स्टैंड:ओल्ड एयरपोर्ट रोड: दोमलूर: बेंगलूरु- 560 071
BMTC BUS STAND: HAL AIRPORT ROAD: DOMMALURU: BENGALURU - 560 071

DIN: **2025045700000000B6CA**

File No. GEXCOM/RFD/ST/1301/2024-CGST-RANGE-B-DIV-7-COMMRTE-Bengaluru(E)

Date: As Approved

OIO No. **12 to 16/2024-25** (Legacy Refunds)

To,

M/s. GE Industrial Private Limited,
 Service Tax Registration No. AABCG1257BST008 (BY Email/SPAD)
 Plot No.122, Floor 7th, EPIP, Phase-2
 Whitefield Road, Bengaluru Urban-560066

Subject:- Assessee's request letter dated 22.10.2020, letter dated 25.01.2023 and other such letters for 5 nos. of service tax refunds of unutilized CENVAT Credit totaling to Rs. 2,50,43,764/- for the following periods: -

1. Service tax refund claim of Rs. 61,61,529/- dated 28-09-2012 for the period October 2011 to March 2012;
2. Service tax refund claim of Rs. 29,43,792/- dated 28-03-2013 for the period April 2012 to June 2012;
3. Service tax refund claim of Rs. 54,60,102/- dated 26-06-2013 for the period July 2012 to September 2012
4. Service tax refund claim of Rs. 51,24,193/- dated 30-09-2013 for the period October 2012 to December 2012
5. Service tax refund claim of Rs. 53,54,148/- dated 06-12-2013 for the period January 2013 to March 2013

GE Industrial Private Limited (also referred to as taxpayer/assessee here after) is incorporated as a private limited company registered under the Companies Act, 1956, operates as a technology and financial services company. The Company offers aviation, energy management, power generation, capital, healthcare, lighting, oil and gas, transportation, water, intelligent platforms, and renewable energy-wind technology solutions.

STC Code : AABCG1257BST008

OLD Jurisdiction: Division I, Service Tax Commissionerate Bengaluru.

New Jurisdiction: Range BED7, East Division 7, CGST Bengaluru East Commissionerate, Bengaluru.

Present Request of the assessee/ Taxpayer: Request letter dated _28.03.2025

Issue involved : Assessee requests for grant of refund of Rs. 2,50,43,764/- for the period October 2011 to March 2012, April 2012 to June 2012, July 2012 to September 2012, October 2012 to December 2012 & January 2013 to March 2013

2. Based on the afore cited request letter and the documents submitted by the assessee, it is stated that taxpayer had filed the Service Tax refund application of INR 61,61,529/-, for the period October 2011 to March 2012 on 28-09-2012 under Rule 5 of the CENVAT Credit Rules, 2004 (the CENVAT Rules) read with Notification no. 5/2006 CE-NT dated 14 March 2006 - the Refund Notification. In respect of the said refund, an SCN dated 11.12.2012 bearing reference no. C.No. IV/16/106/2012 ST (R)DIV 1/7269/12 was issued. The Company had filed the reply against the said SCN on 17.01.2013 and additional submission on 10.05.2013.

3. The Company had filed the Service Tax refund application of INR 29,43,792/-, for the period April 2012 to June 2012 on 28-03-2013 under Rule 5 of the CENVAT Credit Rules, 2004 (the CENVAT Rules) read with Notification no. 5/2006 CE-NT dated 14 March 2006 - the Refund Notification. In respect of the said refund, an SCN dated 07.06.2013 bearing reference no. C.No. IV/16/427/2013 ST (R) Group-V/2318/13 was issued. The Company had duly filed the reply against the said SCN on 12.07.2013.

4. The Company had tiled the Service Tax refund application of INR 54,60,102/-, for the period July 2012 to September 2012 on 26.07.2013 under Rule 5 of the CENVAT Credit Rules, 2004 (the CENVAT Rules) read with Notification no. 5/2006 CE-NT dated 14 March 2006 - the Refund Notification. In respect of the said refund, an SCN dated 26.09.2013 bearing reference no. C.No. IV/16/618/2013 ST (R) Group-V was issued. The Company had duly filed the reply against the said SCN on 25.10.2013 and additional submission on 13.01.2014.

5. The Company had tiled the Service Tax refund application of INR 51,24,193/-, for the period October 2012 to December 2012 on 30-09-2013 under Rule 5 of the CENVAT Credit Rules, 2004 (the CENVAT Rules) read with Notification no. 5/2006 CE-NT dated 14 March 2006 - the Refund Notification. In respect of the said refund, an SCN dated 11.12.2013 bearing reference no. C.No. IV/16/765/2013 ST (R) Group-V/5052/13 was issued. The Company had duly filed the reply against the said SCN on 12.02.2014.

6. The Company had tiled the Service Tax refund application of INR 53,54,148/-, for the period January 2013 to March 2013 on 06-12-2013 under Rule 5 of the CENVAT Credit Rules, 2004 (the CENVAT Rules) read with Notification no. 5/2006 CE-NT dated 14 March 2006 - the Refund Notification. In respect of the said refund, an SCN dated 08.03.2014 bearing reference no. C.No. IV/16/896/2013 ST (R) Divn 1 /1561/14 was issued. The Company had duly filed the reply against the said SCN on 07.04.2014.

7. The taxpayer contended that the said refund applications and the SCN remain un processed since then. The taxpayer stated that they were following with the department ever since to get the said applications processed. Subsequently, the taxpayer submitted letter dated 25.01.2023 addressed to the AC, ED-7 requesting the divisional office to process the said refund claim. Further, a letter dated

28.08.2024 was issued to the taxpayer requesting for submission of additional data required. Subsequently the taxpayer replied through letter dated 27.09.2024. The taxpayer also submitted additional submissions during PH held on 27.03.2025 and also vide letter dated 28.03.2025.

8. Chronology of events w.r.t above mentioned refund claims,

Table 1

Sl. No.	Period	Date of Filing Refund Claim	Amount	Date of SCN	Date of reply	Follow up application filed with the office:
1.	October 2011 to March 2012	28-09-2012	61,61,529	11-12-2012	17-01-2013 & 10-05-2013	Request for allocation and processing for refund claim filed on 22-10-2020
2.	April 2012 to June 2012	28-03-2013	29,43,792	07-06-2013	12-07-2013	Request for allocation and processing for refund claim filed on 22-10-2020
3.	July 2012 to September 2012	26-06-2013	54,60,102	26-09-2013	25-10-2013 & 13-01-2014. PH held on 26.05.2014	Request for allocation and processing for refund claim filed on 22-10-2020
4	October 2012 to December 2012 &	30-09-2013	51,24,193	11-12-2013	12-02-2014	Request for allocation and processing for refund claim filed on 22-10-2020
5	January 2013 to March 2013	06-12-2013	53,54,148	08-03-2014	07-04-2014	Request for allocation and processing for refund claim filed on 22-10-2020

Chronology of the events after filing reply

Table 2

S.No	Description	Date
1	Request for allocation and processing for refund claim filed	22.10.2020
2	Submission of reconstructed file	14.07.2022
3	Remainder letter for processing the refund amount filed	25.01.2023
4	Personal hearing	09.10.2023
5	Submitted debit proof letter, indemnity bond and letter of undertaking	13.12.2023
6	Letter issued by AC seeking certain details of the refund claims and documentary evidence of follow up with the department	28.08.2024
7	Reply to letter dated 28.08.2024 by the taxpayer explaining chronology of events.	27.09.2024
8	Second personal hearing	27.03.2025
9	Additional submission of documents after personal hearing	28.03.2025

9. The noticee was two personal hearing opportunities on 09.10.2023 and 27.09.2025. The noticee stated that they are yet to get the final orders in the said refunds. Further, they stated that they are constantly following up with the authorities.

10. As per the available records in the division, no such refund claims were pending. Further, department underwent re-organisation during 2012 to 2017 and exclusive service tax Commissionerate were merged with Central Excise Commissionerate and new Commissionerate were formed. Thereafter, upon introduction of the GST, new GST Commissionerate with new jurisdiction came into existence. As discussed above, the jurisdiction of taxpayer changed consequent to re-organisation. During such re-organisations, all pending SCNs, refunds were migrated to the respective new Commissionerate's. Considering the above re organisations, only files related to pending refund claims were transmitted to new jurisdictions. As per the available records, the refunds claims mentioned in the table above are not pending with this office.

11. But, even if one considers that such refund claims were pending with the department, Question to be answered is whether the current request of the taxpayer to process such allegedly pending refund claims is valid in light of the doctrine of laches and various judicial pronouncements made by the Hon'ble Supreme Court. Now, the matter is required to be examined on the ground as to whether the request made by the taxpayer through letter dated 25/01/2023 is valid or the same is barred by laches.

12. At this point it is important to discuss about what is laches and what are its components. Laches can be understood as undue delay in asserting one's rights/claims. It flows from the principle that the courts/authorities won't come to rescue of those people who are not vigilant about their rights or unduly delays asserting their rights. In other words, it means that failure to assert one's rights in a timely manner can result in a claim being barred by laches.

13. Following are the components of laches

- A) The claimant must be aware of the rights in advance.
- B) There must be unreasonable delay in asserting the claim leading to acquiescence on their part
- C) Delay prejudices the other party.

14. The honourable Supreme court of India in case of Chairman, U.P Jal Nigam & Anr Vs Jaswant Singh & Anr. Explained the nature of laches as quoted below.

The statement of law has also been summarized in Halsbury's Laws of England, Para 911 , pg. 395 as follows :

*" In determining whether there has been such delay as to amount to laches, the chief points to be considered are : (i) acquiescence on the claimant's part; and (ii) any change of position that has occurred on the defendant's part. **Acquiescence in this sense does not mean standing by while the violation of a right is in progress, but assent after the violation has been completed and the claimant has become aware of it.** It is unjust to give the claimant a remedy where, by his conduct, he has done that which might fairly be regarded as equivalent to a waiver of it; or whereby his conduct and neglect, though not waiving the remedy, he has put the other party in a position in which it would not be reasonable to place him if the remedy were afterwards to be asserted. In such **cases lapse of time and** delay are most material. Upon these considerations rests the doctrine of laches."*

15. In light of the above discussions, it is required to be analysed as to whether the claim of the taxpayer is barred by laches or not. Through the letter dated 25.01.2023, the taxpayer claimed that five of their service tax refunds covering the tax periods of October 2011 to March 2012, April 2012 to June 2012, July 2012 to September 2012, October 2012 to December 2012 & January 2013 to March 2013 were pending for processing. This office issued letter dated 28.08.2024 specifically directing the taxpayer to provide details of the refund claim filed, SCN issued, reply to the SCN and subsequent follow ups made by the taxpayer with the department post filing of the reply to the SCNs issued. In their reply the taxpayer stated that they received SCNs dated 11.12.2012, 07.06.2013, 26-09-2013, 11.12.2013 & 08.03.2014 respectively w.r.t the 5 claims mentioned above. Subsequently they filed reply dated 17.01.2013, 12.07.2013, 25.10.2013, 12.02.2014 & 07.04.2014 respectively in response to the said SCNs.

16. Subsequent to the filing of the reply, for next six years, the taxpayer chooses to not follow with the department. In reply to the letter dated 28/08/2024, the taxpayer stated that multiple follow ups were made by them with the department and provided letters written to the department in this regard. The taxpayer specifically asked to provide any documentary evidence to prove that they are following up with the department. The taxpayer has submitted documents that they have been requested for allocation and processing for refund claim on 22.10.2020.

17. From above discussions, it is clear that the taxpayer never asserted their claims with the department for more than 6 years. Through letter dated 28/08/2024, the

taxpayer specifically asked to provide any documentary evidence proving that they followed up with the department. The taxpayer not submitted anything in this regard. They are sleeping over their rights for 6 years. Importantly current issue is about refund. The service tax refund applications were filed as per the provisions of the section 11B of the Central Excise Act,1944 read with Section 83 of the Chapter V of the Finance Act,1994 as amended. The refund claiming and processing is time bound process. The act clearly establishes the timelines. As can be seen from the section 11B and 11BB of the CEA,1944, refund application must be filed within one year from the relevant date. Further, the divisional Assistant/Deputy commissioner has to process the application with in the 3 months.

18. Monitoring mechanism of refunds filed were in place during all material time. The very fact that the refund applications mentioned by the assessee were not transmitted to the new jurisdiction would imply that the same were disposed off either by way of issuance of deficiency memo or by-passing order of sanction/rejection. Once, such disposal takes place, there are no provisions to re-open the decided matter by another adjudicating authority. Further, it is pertinent to notice that the claims are filed by the assessee on quarterly basis and based on the submissions it gives a clear indication that they were filing service tax refunds regularly on quarterly basis. The jurisdictional office which existed prior to cadre restructuring / reorganisation of formations, where the refund claims were filed by the assessee was unique and was the only office with whom the assessee would have filed the refund claims for the prior period as well as subsequent period. If at all only 5 refund claims were kept pending, if one has to go with the present assertions of the assessee, it was quite natural and easy for the assessee to seek clarifications with the old jurisdictional office in real time. The manner in which the present requests are preferred clearly indicates the selective approach of the taxpayer in stating that only 5 refund applications were kept pending and that all other refund claims were processed. The assessee has not divulged the details/reasons as to why they desisted from following up with the original jurisdictional officer for pending 5 refund claims when they are very well aware of the provisions which clearly prescribes time limit of only 3 months for the officers to take a decision on the refund application. The very fact that SCNs were issued in these refund claims means that they were taken up for processing and the very fact that replies were filed by the assessee and personal hearings were held would naturally meant that the same would have been adjudicated. If the assessee had not received the copy of the adjudication order, issued by the old jurisdictional adjudicating authority, they would have easily collected them by approaching the old jurisdictional office and it is very uncommon that only selective period refund applications are sought to be adjudicated after lapse of more than 7 years. The noticee refund claims for the period before October 2011 and after March 2013 were processed as admitted by the noticee.

Section 11B. Claim for refund of duty and interest, if any, paid on such duty . -

(1) Any person claiming refund of any ¹ [duty of excise and interest, if any, paid on such duty] may make an application for refund of such ² [duty and interest, if any, paid on such duty] to the Assistant Commissioner of Central Excise or Deputy Commissioner of Central Excise before the expiry of one year from the relevant date in such form and manner as may be prescribed and the application shall be

accompanied by such documentary or other evidence (including the documents referred to in section 12A) as the applicant may furnish to establish that the amount of ¹ [duty of excise and interest, if any, paid on such duty] in relation to which such refund is claimed was collected from, or paid by, him and the incidence of such ² [duty and interest, if any, paid on such duty] had not been passed on by him to any other person :

Provided *that where an application for refund has been made before the commencement of the Central Excises and Customs Laws (Amendment) Act, 1991, such application shall be deemed to have been made under this sub-section as amended by the said Act and the same shall be dealt with in accordance with the provisions of sub-section (2) substituted by that Act :*

Provided *further that the limitation of one year shall not apply where any ² [duty and interest, if any, paid on such duty] has been paid under protest.*

RULE [5. Refund of CENVAT Credit. — (1) *A manufacturer who clears a final product or an intermediate product for export without payment of duty under bond or letter of undertaking, or a service provider who provides an output service which is exported without payment of service tax, shall be allowed refund of CENVAT credit as determined by the following formula subject to procedure, safeguards, conditions and limitations, as may be specified by the Board by notification in the Official Gazette*

19. It is important to understand intent behind introducing the refund provisions w.r.t export of services. It is well established trade principle that taxes should not be exported. To comply with the same and to encourage and zero rate the exports, refund of taxes paid on the input/input services was introduced. At the same time, it is important to understand that in case of refunds, public money is going out of the exchequer. So, it is important to put in place necessary conditions, safeguards, procedures and restrictions to ensure that public money was not refunded erroneously. Introducing of limitation period of 1 year for filing refund application to be seen this light. While submitting the refund application, the taxpayer has to submit various documents as specified in the section 11B of the CEA,1944 read with Rule 5 of the Cenvat Credit Rules, 2004 read with Notification No. 5/2006-CE (NT) and 27/2012- CE (NT). Through these documents, the taxpayer has to prove that they exported services and complied with all the conditions regarding export of service as prescribed in the Service Tax Rules,1994. Further, the taxpayer needs to provide details of the service tax returns filed, details of CENVAT credit availed and debiting of the ledger to the extent of refund of CENVAT credit claimed. It is important to note that most of these requirements were introduced as process of verification will be more fruitful, effective and proper if the same was done as close to the actual transaction date as possible. This is more relevant in the era of manual refund processing. During the refund period under consideration, all documents need to be submitted to the divisional office in physical form. Each refund claims used to be accompanied by voluminous documents. Some of these documents used to be valid for limit period of time. For example, foreign inward remittance certificates issued by the banks used to be valid only for one year from date of issuance. So, timely submission and processing of the refund claims is essential to safeguard the public exchequer and also to ensure that public money not erroneously refunded. Further, during the service tax

era unlike GST era, there is no requirement of invoice wise reporting of transactions in periodic ST-3 returns. This means there is always possibility that some taxpayers using the same set of outward and inward invoices to claim the refund more than once as only gross amount of taxable value captured in ST-3 returns not invoice wise details like done in GSTR 1 returns. Further, as per the rules, only one refund application can be submitted for one quarter. Holistic reading of all refund provisions makes it clear that the legislature intended to ensure that refund application is filed as close to the actual transaction date as possible and the same were processed as close to the date of filing as possible, so that proper and fruitful verification can be done before granting any refund. This in turn ensures that public exchequer was safeguarded, and no amount of public money erroneously refunded. The very essence of prescribed time limits were to negate chances of duplication/multiplication of same documents to claim refunds which were already presented /adjudicated in earlier and subsequent period.

20. At this point of time, it is pertinent note that refund is not an unfettered right. Government is well within its power to impose certain restrictions, conditions and safeguards for grant of refund. This view has also been upheld by the Hon'ble Supreme Court in the case of Mafatlal Industries Limited v. Union of India (2002 TIOL 54 SC CX), wherein the Hon'ble Apex Court held that the right of refund is not automatic. In the instant case, as claimed by the taxpayer by virtue of effecting export of services the taxpayer fulfilled eligibility to claim the refund of accumulated CENVAT credit for the tax periods under the question. This implies that the taxpayer is eligible to claim the refund of CENVAT credit provided they fulfilled all conditions prescribed. The fact that during the relevant period, the taxpayer showed export services turnover in ST-3 returns doesn't automatically result in granting the refund. The taxpayer has to assert their claim for refund by filing the application in prescribed manner by submitting all relevant documents. The proper officer examines the documents and issues the show cause notice asking the taxpayer to explain why their refund application should not be rejected on the ground mentioned. The taxpayer has to furnish the reply to the said notice. In the instant case, as per the taxpayer submissions, all these steps were completed over a decade ago w.r.t three refund claims under consideration of this order. Further, in the said judgment, the apex court held that sanctity attached to the finality of any proceedings is cornerstone of public policy.

21. As per the section 11B of the CEA,1944, the refund application has to be processed within three months of receipt of the same. Therefore, if the refund application is not processed within 3 months, then the taxpayer is expected to assert their rights immediately with the department. Sometimes reasonable delays in processing of the refunds can happen due to various reasons like delay in submission of the necessary documents by the taxpayer, filing of large number of applications at end of quarter/financial year, major changes in law or reorganisation of the department etc. Being a vigilant and aware citizen/legal person, the taxpayer was expected to assert their claims with the department as soon as their rights are violated. In the instant case, as soon as processing of refund is delayed beyond a reasonable time limit, the taxpayer should have approached the department and asserted their claims with the department. The taxpayer being a Multinational Corporation and regular refund filer must be aware of their rights and can't plead innocence or ignorance after a decade. Limitation

and ensuring that the issue attains finality in timebound manner is corner stone of tax statutes as same is necessary to prevent endless litigations/claims.

22. First component of laches is that the taxpayer must be aware of their rights. In the instant it is needless to say that the taxpayer is well aware of their rights under Section 11B of the CEA, 1944. The taxpayer is regular refund filer with the department and well versed with various provisions of the refunds including timelines for processing refunds, effects of delay etc. At this point it is important to note that the taxpayer refund applications for the tax period prior to October 2011 to March 2012, April 2012 to June 2012, July 2012 to September 2012, October 2012 to December 2012 & January 2013 to March 2013 tax periods were duly processed by the concerned officers and eligible refund was sanctioned as per the taxpayer own submissions. It is also true that the taxpayer continues to file refund application on account of export of services in GST regime also. So, it is clear that the taxpayer is well aware of their rights and also during last decade they continue to interact with the department regularly w.r.t their other refund claims pertaining to subsequent tax periods.

23. Second component of laches is that there must be unreasonable delay on part of the taxpayer in asserting their rights leading to acquiescence of the same. As can be seen from the table 1 and table 2 that there is delay of more than 6 years on part of the taxpayer from date of filing of reply to the SCN till date of filing of request letter dated 25.07.2020 for processing of refunds. As discussed in above paragraphs, statutory time limit for filing of the refund is one year and time limit for processing of the refund is 3 months from date of application. It is reasonably expected that at least one year after date of reply to the SCNs, the taxpayer must have asserted their claims with the department. Such assertion may be through letter to the proper officer seeking the status of the refund application, reasons for delay etc or a letter to the officer's superior to the proper officer or through petition in courts under Article 32 or 226 of the Indian Constitution etc. As per the taxpayer submissions, they received SCNs dated 11.12.2012, 07.06.2013, 26-09-2013, 11.12.2013 & 08.03.2014 respectively w.r.t the 5 claims mentioned above. Subsequently they filed reply dated 17.01.2013, 12.07.2013, 25.10.2013, 12.02.2014 & 07.04.2014 respectively in response to the said SCNs. After this first assertion of their claim for refund came in the form of letter dated 25.07.2020. This is indication of the acquiescence on part of the taxpayer w.r.t their refund claims. As discussed above the taxpayer continue to receive refunds from the department for tax periods after March 2013 also. The taxpayer should have asserted their claims on alleged pending refunds during this period when their rights were violated. As discussed above, in *Chairman, U.P Jal Nigam & Anr Vs Jaswant Singh & Anr*. The hon'ble supreme court stated that ***"Acquiescence in this sense does not mean standing by while the violation of a right is in progress, but assent after the violation has been completed and the claimant has become aware of it."*** As discussed above, the taxpayer is aware of refund provisions specifically about section 11B and 11BB of the CEA,1944. Despite knowing the provisions, the taxpayer was standing like mute spectator even after statutory time limit of 3 months for processing the refunds was over. Also as can be seen, the taxpayer indirectly assented to violation of the rights by not asserting their claims with the department for full 6 years after the filing of reply to the SCN. The taxpayer in their

reply to letter dated 28.08.2024 stated that multiple follow ups were made both orally as well as vide written submissions and they have attended personal hearing on 09.10.2023 and reiterated the submissions made in the reply to the SCN. Transition to GST happened on July 1st, 2017. Whereas the claims of the taxpayer were pertaining to period at least 4 years prior to the transition. Based on above discussions, it is required to be held that there existed unreasonable delay on part of the taxpayer in asserting their claims leading to the acquiescence of the same.

24. Third component of the laches is that delay on claimant part should be prejudice to the other party. Factors to be considered are, during the period of delay is there any change in position of the other party i.e Service Tax department in this case (The department here after) and if the claimant right is accepted at this point in time will it have negative impact on the department. As discussed in preceding paragraphs, the department underwent major reorganisation during 2014 which among others included merging of exclusive Service Tax Commissionerates with Central Excise Commissionerates. Further, in 2017, post passage of Constitution 101st amendment by the parliament and state legislatures, entire indirect taxation regime of the country underwent tectonic shift that resulted in implementation of the Goods and Services Tax Act. GST subsumed multiple indirect taxes including the service tax. The Constitution 101st amendment act was notified as early as 08/09/2016 and GST regime came into effect from 01.07.2017. The government undertook extensive awareness building programme to educate taxpayers about GST regime. That is the taxpayers aware that there going to be major transition and reorganisation of the department on eve of implementation of GST.

25. Therefore, as discussed above the department underwent major changes during the period of delay. If the taxpayer was vigilant enough and if they were not sleeping over their rights, they should have asserted their claims w.r.t pending refunds at least within 1 year of delay if not earlier. Had they asserted their claims then the department would have taken steps to process the same. If for some reason department not able to process the said claims, at least department would have taken steps to ensure that said refund applications were transmitted to new jurisdictions and shown as pending in official records. Since, the taxpayer was evidently inactive about the claims for over a decade, the department currently at disadvantaged position as the department has to rely upon the whatever documents submitted by the taxpayer to verify and grant the refund. Based, on above discussions, it is required to be held that there is material change in the position of the department during the period of delay which puts the department in difficult position.

26. Second issue in this regard is if the claim of the taxpayer is accepted will it have negative impact on the department. As discussed above, in case of the refunds, the public money is going out of the exchequer to private persons. To safeguard public exchequer the parliament imposed multiple procedures, limitation and conditions w.r.t granting of the refunds and the Hon'ble Supreme Court in case of Mafatlal Industries Judgment also affirmed that refund is not an unfettered and

automatic right. In the current case, had the taxpayer was vigilant about their rights, their refund applications could have been processed about decade back. The combined value of refund claimed through the five-refund application under consideration is Rs. 2,50,43,764/-. Therefore, if the taxpayer claim has to be accepted, that will put fiscal burden of about Rs. 2.5 crores on the government/public exchequer. That is delay on part of the taxpayer results in undue burden on the government exchequer and public money. Further, if the claims of the taxpayer are entertained more such claims may be advanced by other taxpayers putting undue burden on the exchequer. Since, the taxpayer was evidently inactive about their claims, such expenditure was not foreseen by the government. Similar view was taken by the Hon'ble Supreme Court in multiple judgments including in case of UP Jal Nigam case.

Chairman, U.P Jal Nigam & Anr Vs Jaswant Singh & Anr.

"In view of the statement of law as summarized above, the respondents are guilty since the respondents has acquiesced in accepting the retirement and did not challenge the same in time. If they would have been vigilant enough, they could have filed writ petitions as others did in the matter. Therefore, whenever it appears that the claimants lost time or while away and did not rise to the occasion in time for filing the writ petitions, then in such cases, the Court should be very slow in granting the relief to the incumbent. Secondly, it has also to be taken into consideration the question of acquiescence or waiver on the part of the incumbent whether other parties are going to be prejudiced if the relief is granted. In the present case, if the respondents would have challenged their retirement being violative of the provisions of the Act, perhaps the Nigam could have taken appropriate steps to raise funds so as to meet the liability but by not asserting their rights the respondents have allowed time to pass and after a lapse of couple of years, they have filed writ petitions claiming the benefit for two years. That will definitely require the Nigam to raise funds which is going to have serious financial repercussion on the financial management of the Nigam. Why the Court should come to the rescue of such persons when they themselves are guilty of waiver and acquiescence."

27. Based on above discussions, it is required to be held that delay on part of the taxpayer prejudices the department. As discussed in preceding paragraphs, there is unreasonable delay of more than 6 years on part of the taxpayer despite they are fully aware of their rights. If the claims of the taxpayer have to be entertained after such a long delay it will put other party at disadvantaged position.

28. Based on above discussions, I hold following,

Therefore, in the light of above factual position, after ensuring that the assessee's grievance is heard, the request of the taxpayer vide their letter dated 22.10.2020 referring their 5 nos. of service tax refunds of unutilized CENVAT Credit totalling to Rs. 2,50,43,764/- w.r.t afore mentioned period wherein they have requested for the old claims to be taken up at this juncture for a fresh decision, after a lapse of inordinate period is rejected as unmaintainable as it is barred by delay and laches. Consequently, the request letter dated 22.10.2020 stands disposed.

[KANKANALA ANIL KUMAR]
Assistant Commissioner of Central Tax,
East Division-7
Bengaluru East Commissionerate

To,
M/s. GE Industrial Private Limited,
Service Tax Registration No. AABCG1257BST008 (BY Email/SPAD)
Plot No.122, Floor 7th, EPIP, Phase-2
Whitefield Road, Bengaluru Urban-560066

Copy to:

- i. The Principal Commissioner of Central Tax, GST East Commissionerate, Bengaluru (Appeals/Review Section).
- ii. The Superintendent of Central Tax, Technical, ED-7.
- iii. The Superintendent of Central Tax, DED-7.
- iv. Master file.



Rf-140
Recd 2 Box Files
1. My files
9/12/13

GE India Exports Pvt. Ltd.

(Division: GE Global Technology Solutions)
Inspector & 5th Floor, RMZ NXT
Campus 2A, Whitefield Road
Customs, Central Bangalore
Service Tax, Bangalore
Bangalore 560 066 India

T 91 80 4046 9000
F 91 80 4152 5007

06 Dec 2013

The Deputy / Assistant Commissioner of Service Tax,
Office of the Deputy Commissioner of Service Tax
Division - I, 1st Floor, TTMC.
BMTC Complex, Domlur,
Bangalore-560 071

Dear Sir,

Sub: Application for refund of unutilized CENVAT credit of Rs 53,54,148 under Rule 5 of CENVAT Credit Rules 2004 r/w notification 27/2012 CE (NT) in respect of services exported during January 2013 to March 2013

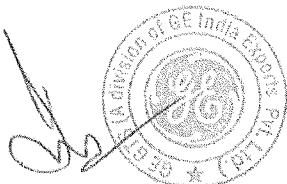
Ref: Service Tax Registration No AABCG1257BST008

We GE Global Technology Solutions (Div of GE India Exports Pvt Ltd) are registered for Service Tax under the category "Information Technology Software Services" and "Management Maintenance or Repairs Services" vide registration No. AABCG1257BST008

We are a 100% EOU unit operating under the STP scheme of Government of India. We are engaged in the exports of taxable services outside India without payment of service tax. In the absence of output service tax liability, the company is not able to utilize the credit of input service tax charged by domestic service providers. Notification No. 27/2012 CE, dated 18-06-2012, allows refund of service tax paid on input services used for providing output service that are exported out of India.

As per the said notification read with Rule 5 of Cenvat Credit Rules, the conditions for grant of refund in respect of service providers are as follows:

1. Service is exported without payment of service tax as per Rule 6A of Service Tax Rules, 1994
2. Draw back under the Customs and Central Excise Duties and Service Tax Drawback Rules 1995, or rebate claims under the Central Excise Rules 2002 or Service Tax Rules 1994 has not been availed in respect of such tax
3. The amount of refund claim shall not be more than the CENVAT credit balance as at the end of quarter for which claim is being made or as at the date of filing of claim - whichever is less



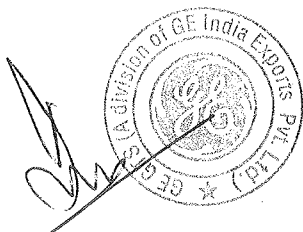
4. The claim shall be made within the time limit as per Section 11B of the Central Excise Act, 1994
5. Claim shall be made to Jurisdictional Assistant Commissioner of Central Excise in prescribed Form A along with certificate from auditors in Annexure A-I and copies of Bank realization certificate

In terms of the said Notification, we are enclosing Application in Form A as our claim for refund of input service tax along with the following documents as enclosures to the said application:

1. Refund application in triplicate in Form A
2. Annexure 1 - Certificate from auditor in prescribed format Annexure I
3. Annexure 2 – Copies of FIRC evidencing realization of export proceeds.
4. Annexure 3 - A write up on the services exported and their classification
5. Annexure 4 – Category wise summary and Input Service ledger extract for refund
6. Annexure 5 – Statement giving brief description of input services and their nexus/ correlation with output service and their eligibility for refund
7. Annexure 6 - Statement of Export Invoices and FIRC's
8. Annexure 7 – Circular 828/5/2006-CX dated 20.4.2006
9. Annexure 8 – Copy of the Service Tax Registration Certificate.
10. Annexure 9 – Copy of Master Service Agreement with the group companies.
11. Annexure 10 - Copy of ST 3 for the period ending 31st March 2013
12. Annexure 11 - Copies of input service invoices
13. Annexure 12 – Copies of export and domestic invoices for the period January 2013 to March 2013
14. Annexure 13 – Declaration that claimant has not availed benefit of duty draw back or rebate, and that CENVAT credit availed based on valid input documents, and that the input services were used only for providing taxable output services

Further, we humbly request your kind authority to process the claim and grant us the refund at the earliest. We rely on the circular issued by CBEC vide 828/5/2006-CX dated 20.4.2006, and request your kind authority to sanction 80% of the refund immediately. Relevant extract of the circular is given below:

In case of refund of unutilised credit under Rule 5 of the Cenvat Credit Rules, 2004, 80% of the refund amount will be sanctioned within 15 days of filing of the claim, provided the requirements of Notification No. 5/2006-C.E. (N.T.), dated 14-3-2006 are complied with. The balance amount shall be paid after completion of the verification and other formalities in the prescribed manner within 45 days from the date of filing of the claim. Pre/Post Audit will be



completed as per the norms laid down in this regard vide Circular No. 809/6/2005-CX, dated 1-3-2005 [2005 (181) E.L.T. T4].

The above circular is equally applicable to notification 27/2012 CE (NT) though the same was issued in the context of notification 5/2006 CE(NT), since the notification 27/2012 CE(NT) replaces the earlier notification governing the refund of unutilized CENVAT credit for exporters.

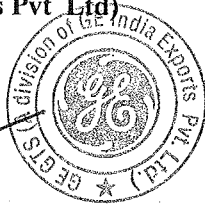
We shall be glad to provide any further information on the matter, as may be required.

Thanking you,

for **GE Global Technology Solutions**

(A Div of GE India Exports Pvt Ltd)


Authorized Signatory



Encl: as above

**ANNEXURE
FORM A**

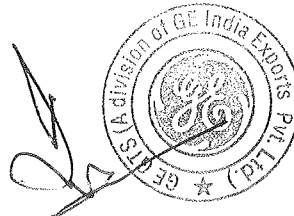
Application for refund of CENVAT Credit under rule 5 of the CENVAT Credit Rules, 2004 for the Quarter ending 31/03/2013

To,
The Deputy / Assistant Commissioner of Service Tax,
Office of the Deputy Commissioner of Service Tax
Division – I, 1st Floor, TTMC. BMTC Complex, Domlur,
Bangalore-560 071

Sir,

We have exported the final products or output services during the Quarter ended 31 March 2013 and are claiming the refund of CENVAT Credit in terms of Rule 5 of the CENVAT Credit Rules, 2004 as per the details below:

Sl No	Description	Amount in Rs
1	Total value of the goods cleared for export and exported during the quarter.	-
2	Export turnover of the services determined in terms of Clause D of sub-rule (1) of rule 5.	306,467,241
3	Total CENVAT Credit taken on inputs and input services during the quarter.	5,434,175
4	Amount reversed in terms of sub-rule (5C) of rule 3	-
5	Net CENVAT Credit = (3) – (4)	5,434,175
6	Total value of all goods cleared during the quarter including exempted goods, dutiable goods and goods for export.	-
7	Export turnover of services and value of all other services, provided during the said quarter.	311,047,943
8	All inputs removed as such under sub-rule (5) of rule 3, against an invoice during the quarter.	-
9	Total turnover = (6) + (7) + (8)	311,047,943
10	Refund amount as per the formula = (1) *(5)/(9), in respect of goods executed	-
11	Refund amount as per the formula = (2) * (5)/(9), in respect of services exported.	5,354,148
12	Balance of CENVAT Credit available on the last day of	42,126,240



13	Balance of CENVAT credit available on the day of filing the refund claim.	12,190,734
14	Amount claimed as refund, [Amount shall be less than the minimum of (10),(12) and (13) in case of goods or the minimum of (11), (12) and (13) in case of services]	5,354,148
15	Amount debited from the CENVAT account [shall be equal to the Amount claimed as refund (14)]	5,354,148

2.0 Details of Bank Account to which the refund amount to be credited:

Refund sanctioned in our favour should be credited in our bank account. Details furnished below;

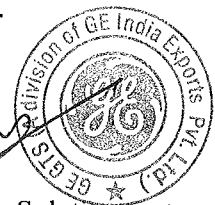
- (i) Account Number : 071-452213-002
- (ii) Name of the Bank : HSBC
- (iii) Branch (with address) : MG Road, Bangalore

3.0 Declaration

- (i) We certify that the aforesaid particulars are correct.
- (ii) We certify that we satisfy all the conditions that are contained in rule 5 of the CENVAT credit Rules, 2004 and in notification No.27 2012 –CE(N.T) dated 18th June, 2012.
- (iii) We are the rightful claimant(s) of the refund of CENVAT Credit in terms of rule 5, the same may be allowed in our favour.
- (iv) We declare that no separate claim for drawback or refund has been or will be made under the Customs and Central Excise Duties Service Tax Drawback Rules, 1995 or for claim of rebate under Central Excise Rules, 2002 or the Export of Services Rules, 2005 or under section 93 or 93A of Finance Act, 1994 (32 of 1994).
- (v) We declare that we have not filed or will not file any other claim for refund under rule 5 of CENVAT Credit Rules, 2004, for the same quarter to which the claim relates.

Date:

Signature of Claimant : 
Registration Number : AABCG1257BST008
Address of the Claimant: GE Global Technology Solutions
RMZ Nxt Campus 2 A
3rd & 5th Floor, Sonnenahalli Village
Whitefield, Bangalore



4.0 Enclosures:

- (i) Copies of Customs Certified ARE -1 form along with copies of shipping bill and bill of lading in case of the export of goods.
- (ii) Copies of the Bank realization Certificates for the export of services. [refer 3(d)]
- (iii) Certificate in Annexure A-I from the Auditor (statutory or any other) certifying the correctness of refund claimed in respect of export of services. [refer 3(e)]

5.0 Refund Order No _____ dated dd/mm/yyyy The refund claim filed by **Messers GE Global Technology Solutions (a division of GE India Exports Private Limited)** been scrutinized with the relevant Central Excise/Service Tax records. The said refund claim has been examined with respect to relevant enclosures and has/has not been found in order. A refund of Rs _____ (Rupees _____) is sanctioned/ The refund claim filed is rejected.

Assistant Commissioner or Deputy Commissioner of Central Excise

Forwarded to –

- (i) The Chief Accounts Officer, Central Excise, for Information and necessary action.
- (ii) The Commissioner of Central Excise.

Assistant Commissioner or Deputy Commissioner of Central Excise

- (i) Passed for payment of Rs. _____ (Rupees _____). The amount is adjustable under head “0038 – Union Excise Duties – Deduct Refunds/0044 – Service tax –Deduct Refunds”.

- (ii) Amount credited to the account of the claimant as per the details below:

Amount refunded	
Account Number	
Reference No of transfer	
Name of the Bank	
Address of the Branch	

Date dd/mm/yyyy	Chief Accounts officer
-----------------	------------------------



Annexure 1

Recd on 8-Mar-14

OFFICE OF THE DEPUTY COMMISSIONER OF SERVICE TAX
DIVISION I, 1ST FLOOR, BMT/TTMC COMPLEX,
OLD AIRPORT ROAD, DOMLUR, BANGALORE-71

C. No. IV/16/896/2013/ST (R) DVN-1 / 561 / 14

Dated: 03.03.2014

NOTICE TO SHOW CAUSE

M/s. GE India Exports India Pvt. Ltd., A Division of M/s. GE Global Technology Solutions, 3&5th Floor, RMZ NXT, Campus 2A, Whitefield Road, Bangalore - 560 066 (herein after referred to as the claimant), are registered with Service Tax Department vide registration No. AAACG1257BST008 for providing taxable services viz. Manpower Recruitment Agency, Online Information and Data retrieval, Commercial Training and Coaching, Maintenance or Repair Service, Business Auxiliary Service, Membership of Clubs, Internet Communication Services, Telecommunication Service and Information Technology Software Services. Further, they are engaged in export of Information Technology Software Services to their client outside of India.

2. The claimants have filed a refund claim on 09.12.2013 for Rs. 53,54,148/- (Rupees Fifty Three Lakh Fifty Four Thousand One Hundred and Forty Eight Only) for the period January' 2013 to March' 2013 as prescribed under Notification No.27/2012 - CE (NT) dated 18.06.2012 on un-utilized CENVAT Credit of service tax said to have been availed by them under Rule 3 of the CENVAT Credit Rules, 2004.

3. In support of the refund claim, the claimants have filed the following documents:

- i. Application in form 'A';
- ii. Certificate in Form A-1 certified by the Chartered Accountant for the refund claim amount;
- iii. Write up on the services exported and classification;
- iv. Copies of FIRC's;
- v. Category wise summary and Input Service ledger extract ;
- vi. Statement showing brief description of input services and their nexus with output service;
- vii. Statement of export invoices and FIRC's;
- viii. Copy of Service Tax Registration Certificate (ST-2);
- ix. Copy of Export Service agreement;
- x. Copies of Export invoices;
- xi. Copy of ST-3 returns for the period from October' 2012 to March' 2013;
- xii. Copies of Input Service invoices;
- xiii. Copies of Export/domestic Invoices;
- xiv. Declaration about non availment of drawback or rebate;

4. On Preliminary scrutiny of documents submitted with the claim, certain discrepancies were noticed which are detailed below:

- (a) In the instant case, the Information Technology Software Services claimed to have been exported during claim period. Detailed write-up of the output services exported may be submitted. In terms of Rule 6A(1) of Service Tax Rules' 1994, the provision of any service provided or agreed to be provided shall be treated as export of service when:
 - (a)
 - (b)
 - (c)
 - (d)

Reed on 8-Mar-14

- (e) the payment for such service has been received by the provider of service in convertible foreign exchange, and
 (f) the provider of service and recipient of service are not merely establishments of a distinct person in accordance with item (b) of Explanation 3 of clause (44) of section 65B of the Act.

It is seen that the claimants have not submitted proper bank realization certificate in fulfillment of condition (e) above as the copies of FIRC's, furnished along with the claim neither contain the export invoice details nor any reference to export made and therefore the consideration claimed to have been received cannot be attributable to services exported during the claim period. Proper bank realization certificate may therefore be submitted to establish that the payment for services claimed to have been exported is received in convertible foreign exchange. The claimants are also required to provide documentary evidence in fulfillment of condition No. (I) of Rule 6A of Service Tax Rules, 2004.

- (b) For the taxable services exported from April' 2012, Notification No.27/2012-CE (NT) dated 18.06.2012 issued under amended Rule 5 of Cenvat Credit Rules, 2004 is applicable. Refund of Cenvat Credit under rule 5 of the said amended rules shall be subject to following safeguards, conditions and limitations:

- (a)
 (b)
 (c)
 (d)

(e) in respect of the services, for the purpose of computation of total turnover, the value of export services shall be determined in accordance with clause (1) of sub-rule (1) of Rule 5 of the said rules.

(f) for the value of all services other than export during the quarter, the time of provision of services shall be determined as per the provisions of the Point of Taxation Rules, 2011.

(g) the amount of refund claimed shall not be more than the amount lying in balance at the end of quarter for which refund claim is being made or at the time of filing of the refund claim, whichever is less.

(h) the amount of refund claimed as refund under rule 5 of the said rules shall be debited by the claimant from his CENVAT credit account at the time of making the claim.

- (i)

From the refund claim in Form-A, it appears that the particulars furnished at Sl. No. (2) is incorrect in as much as the same appears to have not been determined in terms of Clause D of sub-rule (1) of Rule 5 of Cenvat Credit Rules, 2004 and thereby not fulfilling the condition No. (e) of the Notification No. 27/2012-CE (NT) dated 18.06.2012. Further, the claimants also appear to have not fulfilled any of the conditions mentioned at Sl. No. (f), (g) and (h) above.

- (c) From the details of input credit furnished by the claimants, it is seen that the claimants have included input service credit in respect of input services which are not covered by the definition of input service vide Rule 2(1) of the Cenvat Credit Rules, 2004 and therefore the claimants are not eligible for refund attributable to such ineligible input services.
- (d) On perusal of Export invoices, it is noticed that the details furnished in the invoices are not in conformity with Rule 4A of Service Tax Rules, 1994.
- (e) On perusal of FIRC's, it is seen that the FIRC's are addressed to GE Global Tech Sol. GE Money IQ Solutions, 601, 6th Floor, Tower-B, RMZ Infinity, Old Madras Road, Doorvaninagar, Bangalore - 560 016, GE Global Tech Sol, RMZ Campus 2A, Unit 501, 502, 5th Floor, Sonnahalli Village, Whitefield Road, Bangalore - 560 066 & GE C & I, 1-8-359, to 363, Centre Point, Huda Lane, S.P. Road, Begumpet, Secunderbad-500 03 whereas the ST 2 furnished by the claimant in the name of M/s. GE Global Technology Solutions (A Division of GE India Exports Pvt. Ltd.) Hence, it is not ascertainable as to the refund claim pertains to M/s. GE India Exports Pvt. Ltd or M/s. GE Global Technology Solutions. Therefore, it appears that the refund claim is liable for rejection.
- (f) On perusal of the input invoices, it is seen that few invoices are addressed to M/s. GE Global Technology Solutions which is unregistered premises. Hence, the refund claimed on such input invoices is liable for rejection.

Read on 2-Mar-14

- (g) Soflex forms duly certified by STPI not furnished.
- (h) The export services agreement furnished by the claimant is between M/s. GE Global Technology Solutions & foreign clients and not with the claimant.

5. The information provided by the claimant along with the refund application is insufficient to determine the eligibility and therefore following documents may be furnished for considering the refund claim.

- (a) Brief Write-up regarding nexus between input Services and export Services not furnished.
- (b) Documentary evidence for having debited amount claimed as refund may be submitted.
- (c) The claimants may justify that the services claimed to have been rendered amount to "export of services" under Rule 6A(1) of Service Tax Rules' 1994.
- (d) A declaration to the effect that all the input services have been received and used for the export of services and not for any other commercial or business activities.

6. The eligibility criteria for refund of service tax paid on input services used for providing taxable output services exported from the registered premises during the given period under Notification 27/2012-CE (NT) dated. 18.06.2012 read with Rule 6A of Service Tax Rules, 1994 cannot be ascertained from the available documents. The claim cannot be processed and examined on the question of eligibility of refund claimed in the absence of above documents and categorical admittance of fulfilling the conditions laid down under Rule 5 of Cenvat Credit Rules, 2004 read with Notification No. 27/2012 - C. Ex.(N.T.) dtd. 18.06.2012. Accordingly, the claim appears to be liable for rejection in terms of Rule 5 of Cenvat Credit Rules, 2004 and Rule 6A(1) of Service Tax Rules' 1994.

7. Therefore, the claimants are hereby required to show cause to the Deputy Commissioner of Service Tax, Division 1, 1st Floor, BMTC/ITMC Complex, Old Airport Road, Domlur, Bangalore - 560 071, as to why their claim seeking refund of Rs. 53,54,148/- (Rupees Fifty Three Lakh Fifty Four Thousand One Hundred and Forty Eight Only) being the unutilized Cenvat credit for the period January' 2013 to March' 2013, should not be rejected for the reasons stated above.

8. The claimants are hereby required to produce at the time of showing cause all the evidences upon which they intend to rely in support of their defence and also required to inform whether they wish to be heard in person before the case is adjudicated within thirty days from the date of receipt of this notice.

9. If no reply is received within thirty days from the date of receipt of this notice, the case will be decided on merits from the records available in this office.

10. This Show Cause Notice issued is without prejudice to any other action that can be taken against the claimant or any other persons concerned with the acts, commissions as mentioned in this notice or under any other law for the time being in force in India.


 (MOHD. IRFAN AZHAR)
 DEPUTY COMMISSIONER,
 DVN-1, SERVICE TAX,
 BANGALORE

M/s. GE India Exports India Pvt. Ltd.,
 A Division of M/s. GE Global Technology Solutions,
 3&5th Floor, RMZ NXT, Campus 2A,
 Whitefield Road, Bangalore - 560 066

(By R.P.A.D)

SCN Replay

Jan to Mar-13



GE India Exports Pvt. Ltd.

(Division : GE Global Technology Solutions)
3rd & 5th Floor, RMZ NXT
Campus 2A, Whitefield Road
Sonnenahalli Village
Bangalore 560 066 India

To,

T 91 80 4046 9000 Date: 07th April 2104
F 91 80 4152 5007

The Deputy Commissioner of Service Tax,

Office of the Deputy Commissioner of Service Tax

Division - I, 1st Floor, BMTC/ITMC Complex

Old Airport Road, Domlur, Bangalore-560 071

Dear Sir,

Sub: Reply to Show Cause Notice towards Service Tax Refund Claim

Ref: Show Cause Notice C. No. IV/16/896/2013 /ST (R) Divn-1/1561/14 dated 03.03.2014 in respect of refund claim for Rs. 53, 54,148/- pertaining to claim period January 2013 to March 2013

GE Global Technology Solutions (a division of GE India Exports Pvt Ltd) (hereinafter referred as "Noticee" also referred as "GEGTS") are in receipt of the above referred Show Cause Notice ('SCN' also referred as 'notice') dated 03.03.2014 in respect of our Service Tax refund claim filed for the period January 2013 to March 2013 for Rs. 53, 54,148/- under Rule 5 of CENVAT Credit Rules, 2004. The SCN has been received by the Noticee on 08.03.2014. A copy of the SCN is enclosed as **Annexure I.**

Background

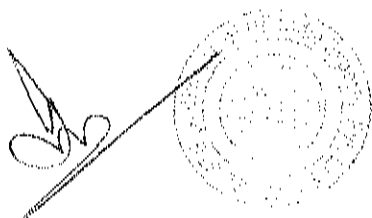
1. The Noticee is a division of GE India Exports Pvt Ltd (also referred as "GEIE") which is a Company incorporated under the Companies Act, 1956, is primarily engaged in providing software, IT support services and other management services to Aviation, Energy, Transportation, Capital and Corporate Divisions (herein referred to as Associated Enterprise ['AE']) of General Electric Inc., USA ('GE') in accordance with terms and conditions envisaged in Master Service Agreements, which have been submitted along with the refund claim. Further, these agreements are entered into between GE acting through its various AE's and GEIE acting through the Noticee.

2. Further, the Noticee is a 100% Export Oriented Unit ("EOU") registered under the Software Technology Parks of India (STPI) authorities in Bangalore having following additional places of business:
 - a) Cyber Pearl, Block 1A, Unit No 1 to 6 , First Floor, Hitech City Madhapur, Hyderabad;
 - b) C-1 Mariner Building, The V Plot, No 17, Software Units Layout, Madhapur, Hyderabad;
 - c) Center Point, 1-8-359 to 363, 4th Floor, SP Road, Huda Lane, Begumpet, Secunderabad;
 - d) Vatika Business Centre, Suite 28, 7th Floor, Supreme Business Park, Powai, Mumbai;
 - e) Vipul Tower, Ground & 1st Floor, Block C, Vipul Tech Square, Golf Course Road, Sector 43, Gurgaon, Haryana.
3. The Noticee has obtained centralized registration vide Registration No. AABCG1257BST008 in accordance to the provisions of Finance Act, 1994 (herein referred to as "Act"). A copy of Service Tax registration certificate is enclosed as **Annexure 2**.
4. The Noticee procures various input services from service providers, which are used for providing the aforesaid services to clients and the Cenvat Credit of service tax paid on such input services have been availed by the Noticee.
5. All the output services rendered by Noticee are export services. However, there is a very small amount of cross charges of common expenses to other GE entities for which service tax liability has been discharged by setting off CENVAT Credit balance. Only the unutilized amount of CENVAT Credit is claimed as refund in terms of Rule 5 of the CENVAT Credit Rules 2004, (herein referred to as "CENVAT Credit Rules") read with Notification No 27/2012-CE (NT), dated 18.06.2012.
6. Accordingly, for the said unutilized portion of the Cenvat Credit availed on the input services for provision of output services i.e. export of "Information Technology Software Services (the Noticee has filed a refund claim on 09-12-2013 for Rs. 53,54,148/-, towards the the periods covering from January 2013 up to March 2013).

Rejection of refund proposed in the SCN:

Pursuant to filing of the refund application, the Noticee has received the impugned SCN proposing to reject the refund claim on following grounds:

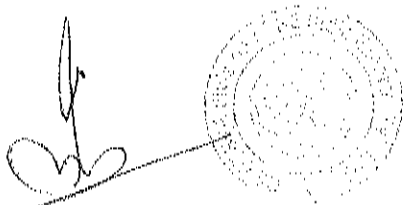
a) **Allegations based on Merits**



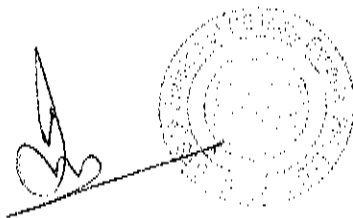
- From the refund claim filed in 'Form -A', the particulars furnished at SL No. (2) is incorrect in as much as the same appears to have not been determined in terms of Clause D of sub rule (1) of Rule 5 of CENVAT Credit Rules, 2004 and thereby not fulfilling the condition No. (e) Of the Notification No.27/2012 CE (NT) dated 18.06.2012. Further the claimants also conditions at SL No. (f), (g) and (h) of the said notification appear to have been unfulfilled
- From the details of input credit furnished, the Cenvat Credit in respect of input services are not covered by the definition of input service vide Rule 2(I) of the CENVAT Credit Rules, 2004.
- The refund eligibility criteria under Rule 5 of CENVAT Credit Rules, 2004 read with Notification 27/2012 CE (NT) dated 18.06.2012 and Rule 6A (1) of Services Tax Rules, 1994 appears to have been not fulfilled.

b) Allegation for non-submission of certain documents and other procedural grounds as mentioned below:

- Non-submission of proper bank realization certificate in fulfillment of condition (e) of Rule 6A (1) of Service Tax Rules' 1994, as the copies of the FIRC's furnished along with the claim neither contain the export invoice details nor any reference to export made and therefore the consideration claimed to have been received cannot be attributable to services exported during the claim period. Hence, proper bank realization certificate may be submitted to establish that the payment for services claimed to have been exported is received in convertible foreign exchange.
- The claimants are also required to provide documentary evidence in fulfillment of condition (f) of Rule 6A (1) of Service Tax Rules' 2004.
- Details furnished in the invoices are not in conformity with Rule 4A of the Service Tax Rules.
- FIRC's are addressed to GE Global Tech Sol., GE Money HQ Solutions, 601, 6th Floor, Tower B RMZ Infinity, Old Madras Road, Doorvaninagar, Bangalore-560016, GE Global Tech Sol, RMZ Campus 2A, Unit 501, 502, 5th Floor, Sonnenehalli Village, Whitefield Road, Bangalore-560066 & GE C & I, 1-8-359, to 363, Centre Point, Huda Lane, S.P Road, Begumpet, Secunderabad-500 03 and whereas the ST-2 furnished by the Noticee is in the name of M/s GE Global Technology Solutions (A Division of GE India Exports Pvt. Ltd.). Hence it is not ascertainable as to the refund claim pertains to M/s GE India Exports Pvt. Ltd. or M/s GE Global Technology Solutions.



- Few input service invoices are addressed to M/s GE Global Technology Solutions which is unregistered premises.
- SOFTEX forms duly certified by STPI are not furnished.
- The export services agreement furnished is between M/s GE Global Technology Solutions & foreign clients and not with the Noticee.
- A brief write up regarding the nexus between the input services and export services are not furnished.
- Documentary evidence for having debited amount claimed as refund to be submitted
- Justification to the effect that the services claimed to have been rendered constitute "export of services" under Rule 6 A (1) of Service Tax Rules' 1994.
- A Declaration to the effect that all the input services have been received and used for the export of services and not for the any other commercial or business activities.

A handwritten signature in black ink is positioned to the left of a circular, textured stamp. A diagonal line extends from the signature towards the stamp.

OUR RESPONSE

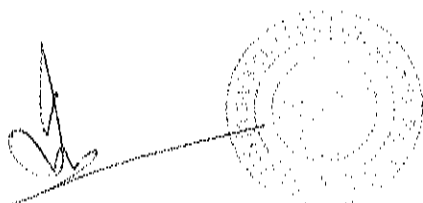
I Preliminary submissions on merits

A. Refund Claim pertains to GE Global Technology Solutions (A Division of GE India Exports Pvt. Ltd) - (refer para 1 and para 4 (e), (f) and (h) in the SCN)

1. At the outset, the Noticee informs that the refund claim in question filed for the period January 2013 to March 2013 is for 'GE Global Technology Solutions', a Division of GE India Exports Pvt Ltd. In all the documents submitted along with the refund claim this fact has been clearly mentioned, inter alia, including in the ST2 registration certificate. However, the Show Cause Notice has incorrectly issued and addressed in the name of 'GE India Exports India Pvt. Ltd.,' (A division of M/s.GE Global Technology Solutions). In this regard Noticee categorically submits that the Noticee (i.e.GE Global Technology Solutions) is a division of GE India Exports Pvt. Ltd ('GEIE') and not vice-versa.
2. It has also been alleged in the SCN in sub clauses (c), (f) and (h) of Para 4 that it is not ascertainable as to the refund claim pertains to M/s.GE India Exports India Pvt. Ltd. or M/s.GE Global Technology Solutions; that few invoices are addressed to M/s.GE Global Technology Solutions which is unregistered premises and the export services agreement furnished by the claimant is between M/s GE Global Technology Solutions & foreign clients and not with the claimant. From the aforesaid categorical submission by the Noticee, it is clearly evident that there is inherent contradiction in the SCN itself and thus it is asserted that the SCN has been issued without proper examination and verification of all the documents submitted on record.

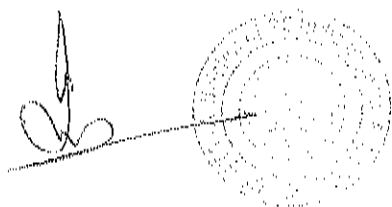
B. The SCN is issued without considering the documents submitted on record- (refer para 5 and para 6 in the SCN)

3. The Noticee respectfully submits that the show cause notice has been issued mechanically without verifying and appreciating the documentary evidences submitted in support of contention that all the conditions for determining eligibility of the refund claim in terms of Notification 27/2012-CE (NT) dated 18.06.2012 read with Rule 5 of the CENVAT Credit Rules, 2004 and Rule 6 A of Service Tax Rules, 1994, has been fulfilled.
4. It has been stated in para 6 of the impugned notice "the claim cannot be processed and examined on the question of eligibility of refund claimed in the absence of above documents and categorical admittance of fulfilling the conditions laid down under rule 5 of CENVAT



Credit Rules 2004 read with Notification no 27/2012 CE (NT) dated 18.06.2012 and Rule 6A (1) of Service Tax Rules". In this connection, Noticee humbly submits that the following documentary evidences were already provided to support the nature of services exported by the Noticee and also to examine the correctness of the refund claim filed:

- a) Application in 'Form-A'
 - b) Certificate in Form A -I certified by the Chartered accountant for the refund claim amount
 - c) Copies of FIRC's evidencing realization of export proceeds
 - d) Write up on the services exported and classification
 - e) Category wise summary of input service ledger extract
 - f) *Statement showing brief description of input services and their nexus with output service and eligibility thereof for refund*
 - g) Statement of Export Invoices and FIRC's
 - h) Copy of the Service Tax Registration Certificate
 - i) Copy of master service agreement with group companies
 - j) Copy of ST 3 return filed for the period ending 31st March 2013
 - k) Copies of input service invoices
 - l) Copies of export and domestic invoices
 - m) Declaration about non availment of drawback or rebate
5. It has also been alleged in the SCN in Para 5 (a) that a brief write up regarding the nexus between the input services and export services not furnished, which contradicts para 3 of the same SCN, wherein it is stated that a statement describing the input services and their nexus with output services is furnished by the claimant. From the above it is clearly evident that the SCN has been issued without proper verification of all the documents on record.
6. From the above it is clear that the impugned notice has been issued without proper perusal of all the documents that have been submitted along with the refund claim. Hence, noticee submits that the above allegations on non-submission of these documents are factually incorrect and liable to be dropped.
7. Further, under para 4(b)(f), it has been alleged that the Noticees have appeared to have not determined the value of export of services as per the Point of Taxation Rules, 2011. In this regard, the Noticee categorically submits that the allegation is incorrect and the point of taxation for the purpose of export of services have been determined in accordance with the Point of Taxation Rules, 2011.



8. Further, under para 4(b)(g), it has been alleged that the Noticee appear to have not fulfilled the condition of claiming the amount which is lower of a) the amount lying in the balance at the end of the quarter for which refund claim was made and b) amount lying in balance at the time of filing of the refund claim. In this regard, it is submitted that the same has already been complied by the Noticee and have also been reflected in the refund claim computation duly submitted in Form-A. Hence, the allegation on this count deserves to be dropped.

C. Details of export turnover as per Rule 5 (1) (D) of CENVAT Credit Rules, 2004 as prescribed in para 2 (c) of the Notification No. 27/2012 CE (NT) dated 18.06.2012- (refer Para 4 (b) of SCN):

9. In the show cause notice it has been alleged that particulars furnished at SL No. (2) is incorrect in as much as the same appears to have not been determined in terms of Clause D of sub rule (1) of Rule 5 of CENVAT Credit Rules, 2004 and thereby not fulfilling the condition No. (c) Of the Notification No.27/2012 CE (NT) dated 18.06.2012.
10. In this regard, the Noticee would like to bring out the provisions in terms of clause (D) of Rule 5(1) of CENVAT Credit Rules, 2004:

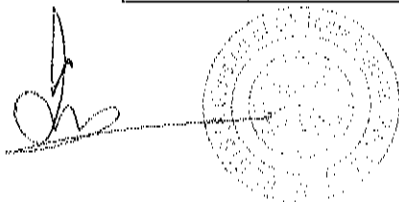
"Export turnover of services" means the value of the export service calculated in the following manner, namely:-

Export turnover of services = payments received during the relevant period for export services + export services whose provision has been completed for which payment had been received in advance in any period prior to the relevant period - advances received for export services for which the provision of service has not been completed during the relevant period;

[Emphasis supplied]

Therefore, the export turnover of services in terms of the above definition as follows:

Sl.	Particulars	Amount in INR
A	Payments received during the relevant period for export services	306,467,241/-
B	Export services whose provision has been completed for which payment had been received in advance in any period prior to the relevant period	NIL



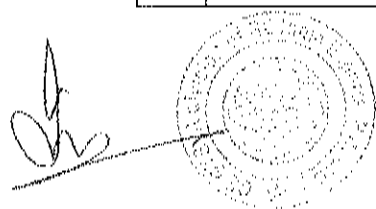
C	Advances received for export services for which the provision of service has not been completed during the relevant period	NIL
Export turnover of services (A+B-C)		306,467,241/-

11. From the above, it is clear that during the refund period, the Noticee has received the payments only of Rs. 306,467,241/- towards services exported and there are no instances of either export of services whose provision has been completed for which payment has been received in advance in any period prior to the period January 2013 and March 2013 nor has the Company received any advance for export services for which the provision of service has not been completed during the relevant period. Accordingly, the export turnover of services in terms of the said Rules is Rs. 306,467,241/- as disclosed in the refund claim in Form-A submitted.
12. In this regard, Noticee submits that the computation sheet forms a part of refund application i.e., Form A, wherein, Noticee has submitted 'Computation for total amount of input credit claimed as refund for the period January 2013 to March 2013'. Therefore, noticee humbly submits that the allegation of per Rule 5 (1) (D) may please be dropped.

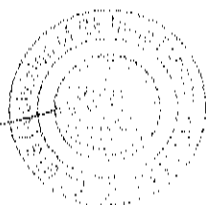
D. Fulfillment of eligibility criteria for refund of service tax paid on input services used for providing taxable output services exported as per Notification no. 27/2012 CE (NT) read with Rule 5 of CENVAT Credit Rules, 2004- [refer Para 4 (b) and Para 6 of SCN];

13. The SCN has alleged that the claim is not allowable for non-fulfillment of conditions as per Notification No. 27/2012 CE (NT) dated 18.6.2012. In this regard it is submitted that Rule 5 of CENVAT Credit Rules read with the Notification No. 27/2012 CE(NT) dated 18.6.2012 under which the present refund claim has been filed provide for grant of refund of unutilized balance of CENVAT credit if prescribed conditions are fulfilled. The conditions for claiming of refund and compliance thereof is summarized in the following table:

Sl No	Condition	Compliance
1	Claimant shall be a manufacturer exporter or service exporter (Rule 5)	The Noticee is a service exporter
2	Service exported without payment of Service Tax as per Rule 6A of Service	The services are exported without payment of service tax as per Rule 6A of



	Tax Rules, 1994 (Rule 5 of Cenvat Credit Rules r/w notif. 27/2012 CE(NT))	Service Tax Rules, 1994
3	Exports made on or after 1.4.2012 is eligible for claim of refund under new rule 5	Claim made only in respect of Exports made on or after 1.4.2012 and realized during the refund claim period.
4	Refund of net CENVAT credit shall be restricted in the ratio of export turnover to total turnover (Rule 5)	Amount of refund claimed by applying the formula prescribed in Rule 5.
5	Draw back under the Customs and Central Excise Duties and Service Tax Drawback Rules 1995, or rebate claims under the Central Excise Rules 2002 or Service Tax Rules 1994 should not be availed in respect of such tax (Rule 5)	Draw back or rebate in respect of same input tax is not claimed by the noticee.
6	Claim shall be restricted to amount of CENVAT credit balance as at the end of quarter for which claim is being made or as at the date of filing of claim - whichever is less [notif. 27/2012CE(NT)]	Amount claimed is restricted to lower of – (i) CENVAT balance as at end of quarter; and (ii) CENVAT balance as at the date of filing of claim.
7	The claim shall be made within the time limit as per Section 11B of the Central Excise Act, 1994 [notif. 27/2012CE(NT)]	Claim filed within time limit.
8	Claim shall be made to Jurisdictional Assistant Commissioner of Central Excise in prescribed Form A [notif. 27/2012CE(NT)]	Claim made to jurisdictional Assistant Commissioner of Service Tax.
9	Certificate from auditors in Annexure A-I prescribed format shall be furnished [notif. 27/2012CE(NT)]	CA certificate submitted in the prescribed format.
10	Copies of Bank realization certificate	FIRC copies submitted.

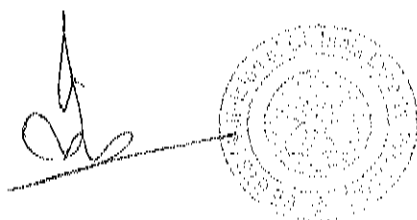



	shall be furnished [notif. 27/ 2012CE(NT)]	
11	Refund claimed shall be debited from the CENVAT Credit Account [Notification No. 27/ 2012CE(NT)]	Amount claimed is debited from the CENVAT credit account and transferred to a separate account titled as " SUNDRY RECEIVABLES - VALUE ADDED TAX- INPUT " under the category of "current assets". The debit in the CENVAT Credit Account has been effected in the month of Oct-2013 and the same would be reflected in the ST3 return relevant for the period September 2013 to March 2014. Further, A copy of the CENVAT ledger Account to clarify that the CENVAT credit has been debited to the extent of refund claimed is attached as Annexure 3

14. In view of the above, the Noticee submits that the prescribed conditions under the said Notification No. 27/2012 CE(NT). have been duly complied with in entirety and hence the allegations raised in this regards may kindly be dropped.

E. Nexus between input services and services exported- (refer Para 4 (b), Para 5 (a) and Para 6 of SCN):

15. It has been alleged in the SCN that the Noticee has included input service credit in respect of input services which are not covered by the definition of input service vide Rule 2(l) of the CENVAT Credit Rules, 2004. In this regard, Noticee submits that, all the provisions governing the refund of CENVAT credit for service exporters as per Notification No 27/2012 CE (NT) under which the present claim has been preferred, are codified in Rule 5 of CENVAT Credit Rules and Notification No 27/2012 CE(NT). All the conditions specified therein and compliance thereof by Noticee has been summarized in the table given above. As per the new set of provisions governing the input service tax refunds for service-exporters, there is no condition which prescribes that the refund shall be allowable only if the input service is used for the provision of services exported. The requirement of nexus of input services with exported services under the erstwhile scheme of Service Tax refunds has been



clearly done away with, to facilitate the difficulties faced by the service exporters in claiming the refund of service tax paid by them in respect of the input services which are used by them in the course of providing output services.

16. In view of the above changes in the scheme of service tax refunds for service exporters, it is sufficient if at the time of taking the credit on input services, the CENVAT Credit has been validly availed as per the provisions of Rule 3 and 4 of the CENVAT Credit Rules read with Rule 2(1) and based on documents prescribed in Rule 9 of said rules.
17. Rule 2(1) of the CENVAT Credit Rules, 2004 as applicable during the claim period, defines the term 'input service' as below:

Input service means any service,-

(i) Used by a provider of output service for providing an output service; or

(ii) Used by the manufacturer, whether directly or indirectly, in or in relation to the manufacture of final products and clearance of final products up to the place of removal,

and includes services used in relation to modernization, renovation or repairs of a factory premises of provider of output service or an office relating to such factory or premises, advertisement or sales promotion, market research, storage up to the place of removal, procurement of inputs, accounting, auditing, financing, recruitment and quality control, coaching and training, computer networking, credit rating, share registry, security, business exhibition, legal services, inward transportation of inputs or capital goods and outward transportation up to the place of removal;

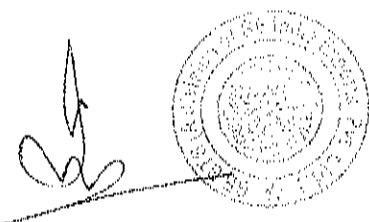
But excludes,-

“(A) service portion in the execution of a works contract and construction services including service listed under clause (h) of section 66E of the Finance Act (hereinafter referred as specified services) in so far as they are used for -

(a) Construction or execution of works contract of a building or a civil structure or a part thereof; or

(h) Laying of foundation or making of structures for support of capital goods,

Except for the provision of one or more of the specified services; or



(B) services provided by way of renting of a motor vehicle, in so far as they relate to a motor vehicle which is not a capital good; or

(BA) service of general insurance business, servicing, repair and maintenance , in so far as they relate to a motor vehicle which is not a capital goods, except when used by -

(a) A manufacturer of a motor vehicle in respect of a motor vehicle manufactured by such person; or

(b) An insurance company in respect of a motor vehicle insured or reinsured by such person; or

(C) such as those provided in relation to outdoor catering, beauty treatment, health services, cosmetic and plastic surgery, membership of a club, health and fitness center, life insurance, health insurance and travel benefits extended to employees on vacation such as Leave or Home Travel Concession, when such services are used primarily for personal use or consumption of any employee"

18. Thus Rule 2(l) defines "input service" to mean any service "used by a provider of output service for providing an output service". Therefore, it follows that services to be eligible for the benefit of CENVAT credit need not be used directly for or in connection with provision of taxable services; it is enough if they are **used for** provision of such services.

19. The specific exclusions provided in respect of 'input service' are as follows:

a. Following input services in so far as they are used for construction or execution of works contract of a building or a civil structure or a part thereof; or laying of foundation or making of structures for support of capital goods:

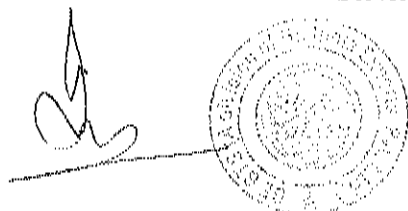
- Construction Services
- Works contracts services

However, the credit of service tax paid on above specified services will be available when used in the provision of specified services.

b. Services provided by way of renting of a motor vehicle, in so far as they relate to a motor vehicle which is not a capital goods

c. Following input services in so far as they relate to a motor vehicle which is not a capital goods

- Insurance Business Services (General Insurance)
- Servicing, repair and maintenance services



d. Following services meant primarily for personal use or consumption of employees such as those provided in relation to –

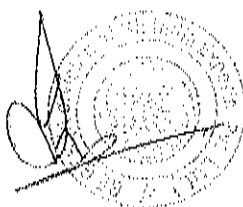
- Outdoor caterer's service
- Beauty treatment service
- Health check-up and treatment services
- Cosmetic and plastic surgery services
- Membership of a club
- Health and fitness center
- Life insurance
- Health insurance and
- Travel benefits extended to employees on vacation such as Leave or Home Travel Concession

20. Hence from the above analysis of definition of input service it is very clear that all the input services on which the Noticee has availed CENVAT credit qualify as 'input service', and accordingly would also qualify for refund thereof.

21. Further as explained in the background, Noticee is engaged in providing output services involving exporting software, IT support and other services to various GE entities situated outside India. For the purpose of rendering these services, Noticee receives and uses various services. All these services received and used by Noticee qualify as input service as defined in Rule 2 (1) of the CENVAT credit rules, 2004. Further, all these services are intricately linked to the provision of output services that are exported. A statement detailing how the input services are used for the provision of output services established and evidencing the nexus has been envisaged in **Annexure 4**. The indispensability of the input services covered by the definition of input service vide Rule 2(1) of the CENVAT Credit Rules, 2004 can clearly be seen from the above referred annexure.

22. Noticee relies on the following judicial pronouncements where it was held that input credit is available not only in respect of services used directly for rendering of output services but also the services used in relation to provision of such services:

- a. In the case of M/s Infosys Ltd. Vs. Commissioner of Service Tax, Bangalore [2014-Tribunal-ST] CESTAT has observed that **the words in or in relation to and directly or indirectly have far wider connotation and coverage when compared to the words used for**. Further the most important evidence for identifying a service recipient is the agreement between the parties where it is available, invoices raised by the service



provider to the service recipient and details of evidence relating to the nature of the service provided if any.

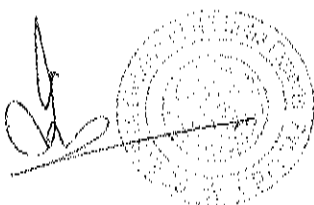
- b. In the case of *The Commissioner of Central Excise, Hyderabad Vs Deloitte Tax Services India Pvt Ltd* [2008-TIOL-629-CESTAT-Bangalore], Honorable Bangalore Tribunal has held that service tax paid on services like courier service, advertisement service, professional consultation service, training services, recruitment service and security service is available as credit to providers of output service and manufacturers. The said decision of the Tribunal has been upheld by the High Court of Andhra Pradesh also.
- c. The Delhi Tribunal in the case of *M/s Convergys India Pvt Ltd*¹ has held that “**there cannot be two different yardsticks, one for permitting credit and the other for eligibility for granting rebate**”. Whatever credit has been permitted to be taken, the same is permitted to be utilized and when the same is not possible there is provision for grant of refund or as rebate. Without questioning the credit taken, the eligibility to rebate cannot be questioned. In common parlance, if the cost of such goods and services becomes part of the cost of the final product or the cost of the output services, as the case may be, then they are understood as input and input services in relation to said final products or the output services.”

23. Further to above, Noticee would like to rely on each of the below mentioned judgments for the input services on which refund claim is filed:

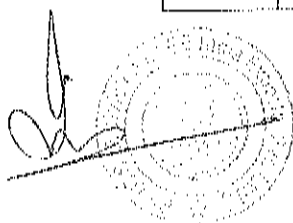
Category of Input services on which refund is claimed:

Sl no.	Category of input service	Case laws relied upon
1.	Internet Telecommunication services	• Commissioner of Central Excise, Bangalore V/s Aricent Communications Pvt. Ltd [2013(31)S.T.R.548(Tri.Ban.)] • The Commissioner of Central Excise, Hyderabad V/s Deloitte Tax Services India Pvt. Ltd. [2008-TIOL-629-CESTAT-Bangalore], and subsequently upheld by the High Court of Andhra Pradesh in [2012-TIOL-954-AP-HC-ST]
2.	Renting of Immovable Property	• Commissioner Of C. EX., Bangalore Vs. Mavenir Systems Pvt. Ltd [2012 (27) S.T.R. 510 (Tri. - Bang.)]

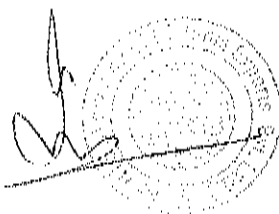
¹ 2009 TIOL 888 CESTAT-DEL



3.	Business Support Services	• The Commissioner of Central Excise, Bangalore Vs Mavenir Systems Pvt. Ltd. [2012 (27) S.T.R. 510 (Tri. - Bang.)]
4.	Business Auxiliary services	• The Commissioner Of Central Excise, Hyderabad-Iv Vs Deloitte Tax Services India Pvt Ltd (Decision upheld by the AP high court in [2012-TIOL-954-AP-HC-ST], • Guntur Vs. Hindustan Coca Cola Beverages Pvt. Ltd, Bangalore [2011-TIOL-762-CESTAT- Bang] [also accepted in CC Bangalore vs.CE Gloves]
5.	Manpower Recruitment and Supply Agency services	• CCE, Guntur Vs. Hindustan Coca Cola Beverages Pvt. Ltd, Bangalore [2011-TIOL-762-CESTAT- Bang] [also accepted in CC Bangalore vs.CE Gloves]
6.	Commercial Training and Coaching Services	• The Commissioner Of Central Excise, Hyderabad-Iv Vs Deloitte Tax Services India Pvt Ltd (Decision upheld by the AP high court in C.E.A No 7 of 2009[2008-TIOL-629-CESTAT-Bangalore], and subsequently upheld by the High Court of Andhra Pradesh in [2012-TIOL-954-AP-HC-ST]
7.	Management, Maintenance and Repair Service	• M/s Calibre Chemicals Pvt Ltd Vs CCE [2013- TIOL-843-CESTAT] [also accepted in CC Bangalore vs.CE Gloves] • Commissioner of Service Tax, Bangalore Vs. Aravind Fashions Ltd. [2012 (278) E.L.T. 164 (Kar.)] • Commissioner Of C. EX., Bangalore Vs. Mavenir Systems Pvt. Ltd [2012 (27) S.T.R. 510 (Tri. - Bang.)]
8.	Management ,Business Consultant services	• The Commissioner Of Central Excise, Hyderabad-Iv Vs Deloitte Tax Services India Pvt Ltd (Decision upheld by the AP high court in C.E.A No 7 of 2009)
9.	Security Agency Services	• Kisan irrigations Ltd Vs. Commissioner of Central Excise, Raigad[2013(33) taxmann.com 19 (Mumbai-CESTAT)] • The Commissioner Of Central Excise, Hyderabad-Iv Vs Deloitte Tax Services India Pvt Ltd (Decision upheld by the AP high court in C.E.A No 7 of 2009)



		• CCE, Guntur Vs. Hindustan Coca Cola Beverages Pvt. Ltd, Bangalore [2011-TIOL-762-CESTAT- Bang] [also accepted in CC Bangalore vs.CE Gloves]
10.	Chartered Accountants Services	• Commissioner of C. EX., Bangalore Vs. Mavcnir Systems Pvt. Ltd. [2012 (27) S.T.R. 510 (Tri. - Bang.)] • The Commissioner Of Central Excise, Hyderabad-Iv Vs Deloitte Tax Services India Pvt Ltd (Decision upheld by the AP high court in C.E.A No 7 of 2009) • Dell International Services India P. Ltd. Vs C.C.E., Bangalore [2010 (17) S.T.R. 540 (Tri. - Bang.)]
11.	Telecommunication services	• The Commissioner Of Central Excise, Hyderabad-Iv Vs Deloitte Tax Services India Pvt Ltd (Decision upheld by the AP high court in C.E.A No 7 of 2009) [also accepted in CC Bangalore vs.CE Gloves]
12.	Courier Service	• CCE&C Vs Apar Industries Ltd [2010 (20)624(Tri-Ahmd)]- confirmed by the Hon'ble Gujarat [also accepted in CC Bangalore vs.CE Gloves] • CCE, Raipur v. Beckay Engg. & Castings Ltd. [2009-TIOL-1326-CESTAT-DEL. – 2009 (16) S.T.R. 709 (Tri. - Del.)] • The Commissioner Of Central Excise, Hyderabad-Iv Vs Deloitte Tax Services India Pvt Ltd (Decision upheld by the AP high court in C.E.A No 7 of 2009) [also accepted in CC Bangalore vs.CE Gloves]
13.	Banking Services	• Semco Electric Pvt. Ltd. Vs. CCE [2012,(25) STR 73(Tri-Mumbai) [also accepted in CC Bangalore vs.CE Gloves] • Semco Electric Pvt. Ltd (Unit I) Vs. CCE,Punc 1 reported in 2011-TIOL-965-CESTAT-MUM [also accepted in CC Bangalore vs.CE Gloves]
14.	Cleaning Activity	• M/s Resil Chemicals Pvt Ltd Vs CCE, Bangalore [2011-TIOL-20-CESTAT-BANG] • Rotork Control (India) Pvt Ltd Vs CCE, Chennai [2010-



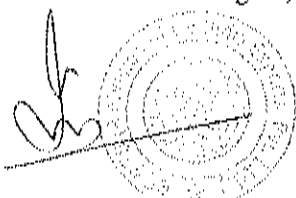
		TIOL-1476-CESTAT-MAD] • CCEx, Raipur Vs. I.E.G Ltd,[2012 (277) E.L.T. 204 (Tri. Del.)] • CCE, Guntur Vs. Hindustan Coca Cola Beverages Pvt. Ltd, Bangalore [2011-TIOL-762-CESTAT- Bang] [also accepted in CC Bangalore vs.CE Gloves]
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24. Noticee submits that all the input services on which the service tax credit has been availed are used in relation to providing taxable output services which are exported and hence qualify as 'input services' eligible for grant of refund. Further, since the cost of such expenditures are significant, the same are considered as cost of providing the output services and form a relevant factor in determining the price of the output services rendered to customers. In the case of Noticee, all the input services on which the service tax credit has been availed are directly or indirectly used for providing taxable output services which are exported and hence qualify as input services and thereby eligible for grant of refund.
25. Further the SCN alleges that a detailed write up on the nexus between input services and export services are not furnished. In this regard the Noticee submits that write up on the nature of services rendered by the Noticee and their classification under the finance act is already submitted along with the refund claim. However the same is being resubmitted as **Annexure 5** to this reply. The details of input services and their nexus with the output services clearly shows that the credit availed on input services eligible for CENVAT credit and refund.
26. In light of the above, Noticee submits that the input services are used in provision of output services exported and hence eligible for CENVAT credit and refund thereof.

II Submissions with respect to procedural lapse i.e. non submission of documents, information etc.:

F. Export invoices comply with provisions of rule 4A of Service Tax Rules, 1994- (refer Para 4 (d) of SCN):

27. It has been alleged in the impugned notice that the export invoices do not conform to the requirement of Rule 4A of the Service tax Rules, 1994, however the SCN does not lay down the areas where the requirements under said Rule 4A have not been fulfilled by the Noticee. In this regard, Noticee would like to submit that the export invoices prepared are in conformity



with the statutory format prescribed under STPI regulations. The prescribed format is being followed in principle by all the Export Oriented Units operating under the STPI scheme of the Government of India. The export invoices contains all the necessary information such as the name and address of service provider and service recipient, description of and consideration for the services provided, service tax registration number of service provider etc. In this regard, the Noticee submits that the output service invoices raised disclose all the information as required under Rule 4A of Service Tax Rules, 1994 including the description of services and service tax registration number, and hence comply with the said rules. Hence, it is submitted that the refund claim shall be allowed in full as the allegation of procedural irregularity in the impugned SCN cannot deny the substantive benefit of refund available to the Noticee under the law.

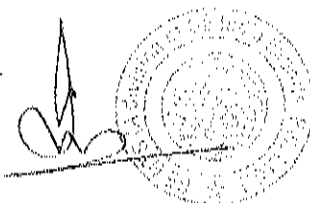
28. Even assuming, but not accepting there was a procedural lapse in this regard, the Noticee submits that the right to refund of service tax on export of services is a substantive right provided under the statute and cannot be taken away due to technical lapses or procedural irregularities. In this regard, Noticee also places reliance on the following judicial pronouncements:

- (i) In the case of *Sambhaji vs Gangabai*² the Apex Court has held that that non-observation of procedural requirements should not become hurdle or ground for denial of the substantial right.
- (ii) In the case of *Manubhai & Co. vs. CST Ahmedabad*³, the West zonal bench of the Tribunal has held that that procedural lapse cannot be used to deny the substantial benefits to an exporter.
- (iii) In the case of *Imagination Technologies India Pvt. Ltd Vs Commissioner of Central Excise, Pune -II*⁴ it has been held that the appellants are entitled for input service and further as per CENVAT Credit Rules, 2004 which took the part of the CENVAT Credit Rules, 2002 holding that the CENVAT credit is available on input and input service both with effect from 10.09.2009. In the provisions of law relating to service tax, nowhere it is mentioned that the CENVAT credit is not available prior to registration. In fact, CENVAT Credit Rules clarifies that the assessee is available for CENVAT credit which is applicable to them within the provisions of CENVAT Credit Rules, 2004 or Service Tax Credit Rules, 2002.

² 2009 (240) E.L.T. 161 (S.C.)

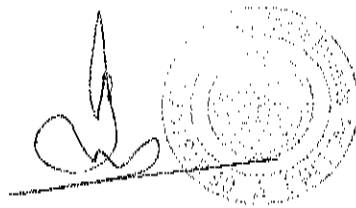
³ 2011 (21) S.T.R. 65 (Tri. - Ahmd)

⁴ 2011-TIOL-719-CESTAT-MUM



- (iv) In case of M/s Mportal India Wireless Solutions Private Limited, the High Court of Karnataka⁵, it was held that no registration is required with the Service Tax authorities for claiming refund of unutilized credit..
- (v) In the case of Wipro BPO Solutions Ltd. vs. Commissioner of Service Tax, Delhi⁶ it has been held that obtaining registration is linked with liability for paying service tax, not with mere providing of taxable services. Person providing taxable services is liable to obtain service tax registration only if he was liable to pay service tax. The relevant extract is re-produced below:

"We have carefully considered the submissions from both the sides and perused the records. So far as the requirement of service tax registration is concerned, if the appellant were providing Business Auxiliary Services only to their clients abroad, their output services were being exclusively exported, which appears to be the case in this matter, in terms of the provisions of Rule 4 of the Export of Services Rules, 2005, they were not required to pay any duty and, therefore, in terms of the provisions of Section 69 of the Finance Act, 1994 read with Rule 4 of the Service Tax Rules, 1994 they were not required to obtain any registration, as under Section 69 of the Finance Act, 1994 as well as under Rule 4 of the Service Tax Rules, 1994, the requirement of obtaining registration is linked with liability for paying Service Tax, not with mere providing of taxable services. Thus, a person providing taxable services would be liable to obtain service tax registration only if he was liable to pay the service tax. Moreover, we also find that neither in Rule 5 of the Export of Services Rules nor in the Notification No. 12/2005-ST., issued under this rule, there is any condition that the person claiming rebate must have service tax registration. In view of this, the rebate claim under Rule 5 of the Export of Service Rules or in the Notification No. 12/2005-ST., cannot be rejected just because the assessee did not have service tax registration which, as discussed above, he would not have required to obtain, if his output services was being exclusively exported as such, he was not liable to pay any tax on the services being provided to his offshore clients" [emphasis supplied]



⁵ HC(Kar) CEA 06/2011

⁶ 2012 (25) STR 371 (Tri-Del)

- (vi) In case of *Commissioner of Service Tax, Chennai Vs. E-Care India Private Limited*²¹ it has been held that no registration is required with the Service Tax authorities for claiming refund of unutilized credit

G. Refund Claim pertains to GE Global Technology Solutions (a division of GE India Exports Pvt. Ltd)- (refer Para 4 (e) of SCN):

29. It has been alleged in the impugned notice that FIRC's are addressed to GE Global Tech Sol., located at *GE Money HQ Solutions, 601, 6th Floor, Tower -B RMZ Infinity, Old Madras Road, Doorvaninagar, Bangalore-560016* and to GE Global Tech Sol, located at *RMZ Campus 2A, Unit 501, 502, 5th Floor, Sonnenehalli Village, Whitefield Road, Bangalore-560066* & *GE C & I, 1-8-359, to 363, Centre Point, Huda Lane, S.P Road, Begumpet, Secunderabad-500 03* whereas the ST 2 furnished by the claimant is in the name of *M/s GE Global Technology Solutions (A Division of GE India Exports Pvt. Ltd.)*. It is submitted that the FIRC's are correctly addressed to 'GE Global Tech Solutions'. In the light of the submissions made in preceding para's 2, 3 and A.1 of this reply, Noticee submits that their name as per the service tax registration certificate is "GE Global Technology Solutions (A Division of GE India Exports Pvt Ltd)". Hence, the division *GE Global Technology Solutions*" is nothing but a unit forming part of the legal entity "*GE India Exports Pvt Ltd*". Hence, the Noticee humbly requests your kind authority to drop this allegation. A Copy of the centralized service tax registration certificate is attached as Annexure - 2 for your ready reference to clarify the same.

H. Input service invoices specifies address of registered premises- (refer Para 4 (f) of SCN):

30. It has been alleged in the impugned notice that few invoices are addressed to *M/s GE Global Technology Solutions* which is unregistered premises. As submitted earlier, Noticee clarifies that the name mentioned as per service tax registration certificate is "*M/s GE Global Technology Solutions (a division of GE India Exports Pvt Ltd)*". Few of the input service vendors have mentioned the name of the service recipient in short stating it as "*GE Global Technology Solutions*" and hence at the cost of repetition, the Noticee requests to kindly drop this allegation.

I. Service Agreement with Clients and Service Provider and Service Recipient are separate and distinct legal entities - (refer Para 4 (a)(f) and Para 4 (h) of SCN)

31. It has been alleged in the SCN that the export services agreement furnished by the claimant is between *M/s GE Global Technology Solutions* & foreign clients and not with the claimant.

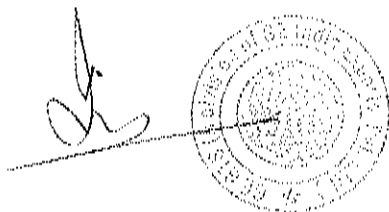
²¹ 2011-TIOL-590-CESTAT-MAD

As clarified above, the name of the claimant is "*GE Global Technology Solutions (a division of GE India Exports Pvt Ltd)*". Accordingly, the master service agreements submitted along with the refund claim are in conformity with the above. However, the agreements are being re-submitted as **Annexure 6** for your kind perusal. Hence, the above allegation deserves to be dropped.

32. Further in Para 4 (f) of the SCN states that according to rule 6A (f) of Service Tax Rules, 1994, the provision of any service provided or agreed to be provided shall be treated as export of service when the provider of service and recipient of service are not merely establishments of a distinct person in accordance with item (b) of Explanation 3 of clause (44) of section 65B of the Finance Act, 1994. The SCN further alleges that the above cannot be ascertained from the documents submitted with the claim. In this regard, Noticee submits that it is clear from the master service agreements and copies of export invoices already submitted along with the refund claim that the service provider and service recipient are distinct and separate legal entities and not merely establishments of the same entity. Further, had the service provider and service recipient been merely establishments of the same entity, there would not be a requirement to enter into such a detailed master service agreement with the customers. The fact that there exists a master service agreement between Noticee and their customers further reiterates the fact that the service provider and service recipient are separate legal entities operating a business from such distinct legal entity. Further, we submit the certificate of incorporation as **Annexure 7** to this SCN reply. From the Certificate of Incorporation annexed herewith, it can be clearly seen that Noticee is a separate legal entity. In view of the submissions furnished above, we humbly pray that the above referred allegation be dropped and refund may be granted at the earliest.

J. Documentary Evidence For Having Debited Amount Claimed As Refund- (refer Para 5 (b) of SCN):

33. It has been alleged in the SCN that the Noticee has not submitted the documentary evidence for having debited amount claimed as refund. In this regard, the Noticee humbly submits that in terms of notification 27/2012 CE NT dated 18.06.2012, the amount that is claimed as refund under rule 5 of the said rules needs to be debited by the claimant from his CENVAT credit account at the time of filing the claim. Accordingly, the debit entry with respect to refund claim amount has been passed in the books. A copy of the extract of the Cenvat ledger is attached as **Annexure- 3**.

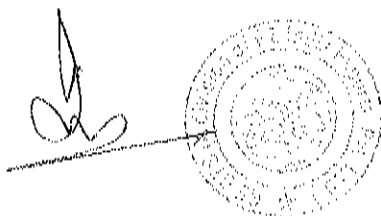


K. Services rendered by the Noticee qualify as 'Exports' as per Rule 6A(1) of The Service Tax Rules, 1994 read with the Place of Provision of the Services Rules, 2012- (refer Para 5 (c) of SCN):

34. The Noticee submits that the refund claim for the period January 2013- March 2013 has been filed in accordance with notification 27/2012 CE (NT), in conformity with Rule 6A of the Service Tax Rules, 1994 read with Place of Provision of Services Rules, 2012. Further, it is submitted in the following paras as to how the service rendered by the Noticee qualify as 'exports' under the provisions of Finance Act, 1994 read with allied rules made thereunder.
35. The Place of Provision of Services Rules, 2012 (herein referred as "POP Rules, 2012") specify the manner to determine the taxing jurisdiction of a service. The POP Rules, 2012 comprises of fourteen Rules which lays down specific principles for determining the taxability of services. Of the said Rules, Rule 3 is the general Rule which mentions that the place of provision of a service shall be the location of the recipient of services. In the absence of applicability of specific provisions under the POP Rules, 2012, the general Rule i.e. Rule 3 would apply, whereby the place of provision of these services would be the location of the service recipient.
36. In the present case, the Information Technology Software Services, rendered by the Noticee are not covered under any of the specific provisions of POP Rules, 2012. Therefore, the general Rule i.e. Rule 3 would apply, whereby the place of provision of these services would be the location of the service recipient i.e. Associated Enterprise ['AE']) of General Electric Inc., USA ('GE')
37. 'Export of service' is covered under Rule 6A of The Service Tax Rules, 1994 which reads as below:

"The provision of any service provided or agreed to be provided shall be treated as export of service when,-

- a) the provider of service is located in the taxable territory ,*
- b) the recipient of service is located outside India,*
- c) the service is not a service specified in the section 66D of the Act,*
- d) the place of provision of the service is outside India,*
- e) the payment for such service has been received by the provider of service in convertible foreign exchange, and*

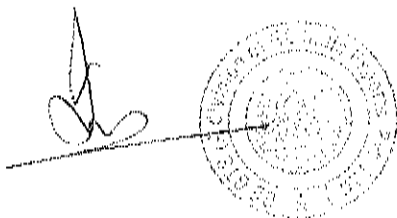


f) the provider of service and recipient of service are not merely establishments of a distinct person in accordance with item (b) of²[Explanation 3] of clause (44) of section 65B of the Act"

38. In respect of the above, it is submitted that the service rendered by Noticee are exports under the aforesaid rule as conditions stipulated therein have been duly complied with.

Requirement	Condition fulfillment
The provider of service must be located in the taxable territory	Noticee is located in India
The recipient of service must be located outside India	General Electric Inc., USA is located outside India
The service must not be a service specified in the section 66D of the Act,	The service is not falling under negative list
The place of provision of the service shall be outside India	In the absence of applicability of specific rule, the general rule, Rule 3 would apply. As per Rule 3 of POPOS Rules, 2012, the place of provision of a service shall be the location of the recipient of service. The recipient General Electric Inc., USA is located outside India
The payment for such service shall be received by the provider of service in convertible foreign exchange	The payment for the services is received in convertible foreign currency
The provider of service and recipient of service are not mere establishments of a distinct person in accordance with item (b) of 2[Explanation 3] of clause (44) of section 65B of the Act"	The provider and recipient of the service are different establishments and therefore compliance has been made with respect to the aforesaid condition.

From the above referred provisions, it is clear that the services rendered by the Noticee fall squarely under within the meaning and framework of 'export of service' as prescribed under Rule 6A of The Service Tax Rules, 1994. Further, as stated earlier in this reply, the relevant



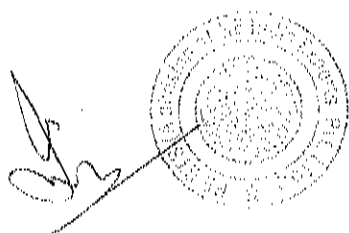
documents have already been submitted during the filing of the refund claim. Hence it is humbly submitted to drop this allegation.

L. Submission of Bank realization Certificate (refer Para 4 (a) of SCN):

39. It is alleged that the Noticee has not submitted proper bank realization certificate in fulfillment of condition (e) of Rule 6A (1) of Service Tax Rules' 1994. In this regard, Noticee submits that FIRC's received against each invoice with correlation statement is already provided along with the refund claim application. Further, Noticee wishes to invite your kind authority's attention to Circular No.112/06/2009-ST dated 12th March, 2009 wherein clarification has been provided in respect of the problems that faced by exporters in correlating the FIRC's with the export invoices, since the amount is received on running account basis and no one to one correlation of FIRC's is possible with export invoices.
40. The said circular provides that in such cases the exporter shall provide a self-certified statement along with the FIRC's showing the details of export in respect of which the FIRC pertains and that refunds should be allowed on such certified statements. The same position has been reiterated in CBEC letter in F.No. 137/70/2009-CX.4 dated 23 May 2013 also, which states that the FIRC's need to be certified or endorsed by the issuing bank or claimant with respect to the export invoices / transactions covered therein. Hence it gives an option to the claimant to do a self-certification as to the correlation with export invoices.
41. Hence, Noticee submits that the cognizance of self-certified statement submitted along with the refund claim providing the correlation between the FIRC's and export invoice be taken as proof towards realization of export proceeds, and the refund application may not be rejected on the above said allegation. A copy of such statement is re-submitted for your immediate reference as **Annexure-8** to this reply.

M. Submission of various other documents as required in the SCN:

42. Noticee hereby submits the various documents and declarations sought for in para 4 and 5 of the SCN, as per list of enclosures given below:
- a. Copies of FIRC - resubmitted as **Annexure 8 (refer Para 4 (a) of SCN)**
 - b. SOFTEX forms attested by STPI Authorities - **Annexure 9 (refer Para 4 (g) of SCN)**
 - c. Declaration to the effect that all the input services have been received and used for the export of services and not for any other commercial or business activities- **Annexure 10 (refer Para 5 (d) of SCN)**



N. Additional documents and information may be called only for purposes prescribed in Notification No.27/2012 CE(NT):

43. Without prejudice to the point wise replies as above to the allegations made in the SCN, Noticee submits that the notification apart from prescribing the conditions, procedure and documents for claiming the refund has also prescribed the instances where the adjudicating authority can call for additional documents and information. The relevant extract of the notification is as below:

"(f) The Assistant Commissioner or Deputy Commissioner to whom the application for refund is made may call for any document in case he has reason to believe that information provided in the refund claim is incorrect or insufficient and further enquiry needs to be caused before the sanction of refund claim.

(g) At the time of sanctioning the refund claim the Assistant Commissioner or Deputy Commissioner shall satisfy himself or herself in respect of the correctness of the claim and the fact that goods cleared for export or services provided have actually been exported and allow the claim of exporter of goods or services in full or part as the case may be."

44. Hence, the adjudicating authority may call for information and documents only in respect of the following limited situations:

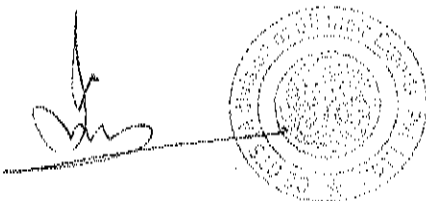
a. The Assistant Commissioner has reason to believe that information provided in the refund claim is

i. Incorrect, or

ii. insufficient

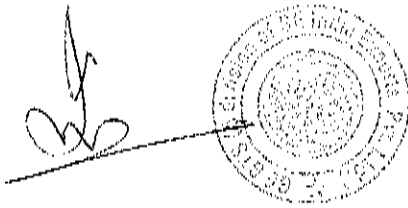
b. The Assistant commissioner shall satisfy himself on the fact that services provided have actually been exported

45. The SCN has not alleged that the information provided with the claim is incorrect or insufficient. Further, prescribed documents i.e., bank realization certificate (BRC) along with CA certificate certifying the export turnover, have been furnished with the refund claim evidencing the exports and certifying the correctness of the export turnovers declared therein. Further, all the information and documents as prescribed in the Notification No 27/2012 CE(NT) have been already provided along with the refund claim and many other additional documents in support of the eligibility for the refund claim. Hence, the situation of insufficiency of information does not arise. Further, it is humbly submitted that the refund



claim preferred before your kind authority is complete in all respects complying with all requirements as per the relevant provisions.

46. Noticee submits that, neither Rule 5 of the CENVAT Credit Rules nor the Notification No 27/2012 CE (NT) under which the present refund claim has been preferred, envisage any other instances which would call for additional documents and information. Accordingly, Noticee is eligible for refund claim and prays before your kind authority to grant the refund claimed at the earliest.
47. It is humbly prayed that minor lapses if any shall be viewed leniently and refund of credit shall not be denied on the basis of procedural lapses or irregularities..
48. Noticee humbly requests your kind authority to drop the allegations in the show cause notice and grant the refund amount of Rs. 53, 54,148/- due to them at the earliest.
49. Noticee submits that the above grounds are without prejudice to one another and crave leave to add/ amend the above grounds and to place fresh grounds at the time of personal hearing.



Prayer

50. For the reasons and grounds as submitted above, it is prayed that the Learned Deputy Commissioner may be pleased to

- *Grant refund of the CENVAT Credit for Rs. 53,54,148/- for the period January 2013 to March 2013;*
- *Pass such orders as may be deemed necessary in the circumstances of the case.*

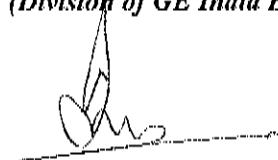
51. Noticee requests for grant of an opportunity of personal hearing to enable them to present their case in person.

Thanking You,

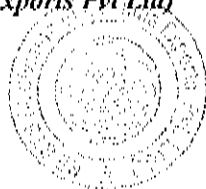
Yours Faithfully,

For GE Global Technology Solutions

(Division of GE India Exports Pvt Ltd)

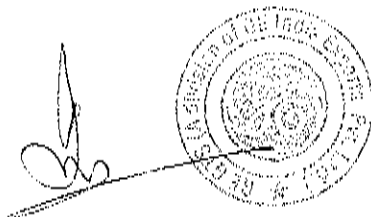


Authorized Signatory



List of Enclosures:

1. Copy of the Show cause notice - **Annexure 1**
2. Copy of Service Tax Registration Certificate - **Annexure 2**
3. Documentary evidence(copy of General Ledger Account Extract) to show that the claim amount has been debited from the available CENVAT credit balance-**Annexure 3**
4. Nexus between input services and output services that have been exported - **Annexure 4**
5. Write-up on the nature of service and their classification under the Finance Act, 1994 **Annexure 5**
6. Master Service Agreements- **Annexure 6**
7. Certificate of Incorporation- **Annexure 7**
8. Copies of FIRC -- **Annexure 8**
9. SOFTEX forms attested by STPI Authorities – **Annexure 9**
10. Declaration to the effect that all the input services have been received and used for the export of services and not for any other commercial or business activities- **Annexure 10**

A handwritten signature in black ink is written over a circular official stamp. The stamp contains the text "Ministry of Revenue, Government of India" around the perimeter and "2019" in the center.



GE India Industrial Private Limited
Prestige Shantiniketan, Tower C
Ground Floor to 7th floor SI no.70-78
Sadaramangala Hoodi Village,
Mahadevapura post, Bangalore- 560048
Tel: +91 80 6190 6000
CIN # U31500DL1992PTC194724
Website: www.ge.com

22 October, 2020

The Commissioner of Central Taxes
Office of the Commissioner of Central Taxes
GST Commissionerate, BMTC Bus stand
Domlur, Bangalore - 71

Sub: Request to process the pending service tax refund claims pertaining to the period October 2009 to September 2013

Ref: Letter filed on 25 June, 2020 requesting for allocation and processing of refund claims pertaining to the period October 2009 to September 2013

Sir,

This has reference to the service tax refund claims filed by GE Global Technology Solution, a division of GE India Industrial Private Limited (hereinafter referred as 'We' or the 'Company') having its registered office at 7th floor, Prestige Shantiniketan, Tower C, Sadaramangala Hoodi Village, Mahadevpura Post, Bangalore – 48.

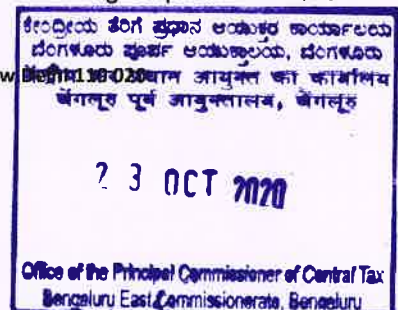
The Company is engaged in providing taxable services such as business support service, online information and data service, manpower recruitment and supply agency services etc. The Company was registered with the service tax department bearing number AABCG1257BST008.

In reference to the captioned service tax refund claims, we wish to bring to your attention that the Company had filed refund applications for the captioned period under Rule 5 of the CENVAT Credit Rules, 2004 pertaining to the period **October 2009 to September 2013** which are yet to be verified and processed by your good office. In this regard, the Company had filed a letter with your good officer dated 25 June, 2020 requesting you to initiate the verification at the earliest.

Pursuant to such filing, we have been apprised by your good office that the verification process for the said refund claims are yet to be initiated. Further, we have also been apprised that such verification process shall not be undertaken for next few weeks and there could be a delay in the processing of the refund claims.

Given the above, we wish to bring to your attention that the said refund claims pertain to the earlier period and have been pending for verification and processing for many years. Further, we wish to submit that any further delay in such refund verification shall lead to undue financial hardship for the Company as it effects the working capital of the...

Head Office: Regd. Office: A-18, First Floor, Okhla Industrial Area Phase II, New





GE India Industrial Private Limited
Prestige Shantiniketan, Tower C
Ground Floor to 7th floor SI no.70-78
Sadaramangala Hoodi Village,
Mahadevapura post, Bangalore- 560048
Tel: +91 80 6190 6000
CIN # U31500DL1992PTC194724
Website: www.ge.com

Company. We also wish to bring to your notice that all the supporting documents for these refund claim applications have been duly submitted / re-submitted (where required) to the jurisdictional officer-in-charge. Keeping the same in mind, request your good self to initiate the processing / verification of the pending refund claim application at the earliest.

We shall be glad to provide any further details/information that you may require in this regard.

Thank you.

For GE India Industrial Private Limited

(Authorized Signatory)



GE India Industrial Private Limited
122, EPIP, Whitefield Road
Bangalore- 560066
Tel: +91 80 4088 1000
CIN # U31500DL1992PTC194724
Website: www.ge.com

January 25, 2023

To,
Assistant Commissioner of Central Tax
Bangalore East Commissionerate, East Division-7,
BMTC Bus stand, HAL Airport Road, Domlur
Bangalore – 560 071

Dear Sir,

Sub: Reminder letter for processing the application for refund of CENVAT credit under Rule 5 of CENVAT Credit Rules, 2004

Ref 1: Application for refund of CENVAT credit dated July 14, 2022, and October 31, 2022

Ref 2: Service Tax Registration No. AABCG1257BST008

1. We, M/s Global Technology Solutions ('GTS' or 'Company') a division of GE India Industrial Private Limited registered under Service Tax under the category "Information Technology Software Services" and 'Management Maintenance or Repairs services' vide registration no. **AABCG12578ST008**.
2. We are a 100% EOU unit operating under the STP scheme of Government of India. We are engaged in the exports of taxable services outside India without payment of service tax. In the absence of output service tax liability, the company was not able to utilize the credit of input service tax charged by domestic service providers. Notification No. 27/2012 CE dated 18.06.2012, allows refund of input service tax which is used for providing output service that are exported out of India.

Head Office: Regd. Office: A-18, First Floor, Okhla Industrial Area Phase II, New Delhi 110 020



GE India Industrial Private Limited
122, EPIP, Whitefield Road
Bangalore- 560066
Tel: +91 80 4088 1000
CIN # U31500DL1992PTC194724
Website: www.ge.com

3. Accordingly, the company filed the refund application for the respective period as mentioned in the following paragraph, within the statutory time limit. The refund application was at the adjudication stage and the company has been following up for conducting the personal hearing and for processing of the refund claim. However, the personal hearing is yet to be conducted and the refund claims are pending to be processed. In this regard, pursuant to the multiple discussions with the concerned officers, the company was directed to submit the entire set of the refund application for processing.
4. The company re-submitted the refund Application in FORM A for the following period:

Period	Amount	Date of application
October 2011 to March 2012	61,61,529	July 14, 2022
April 2012 to June 2012	29,43,792	July 14, 2022
July 2012 to September 2012	54,60,102	July 14, 2022
October 2012 to December 2012	51,24,193	October 31, 2022
January 2013 to March 2013	53,54,148	October 31, 2022
Total	25,043,764	

The copy of the refund applications are enclosed with this letter and marked as **Annexure 1**.

5. The company has been following up for processing of the refund claim and requested for conducting the personal hearing. It is relevant to note that that, the above refund applications are pertaining to the period prior to 2013 and the same has been pending for verification for a while.
6. Given the above, we request your goodself to initiate the processing of the refund claim at the earliest. In case your goodself require any additional information in this regard, we shall be glad to provide with you the same.



GE India Industrial Private Limited
122, EPIP, Whitefield Road
Bangalore- 560066
Tel: +91 80 4088 1000
CIN # U31500DL1992PTC194724
Website: www.ge.com

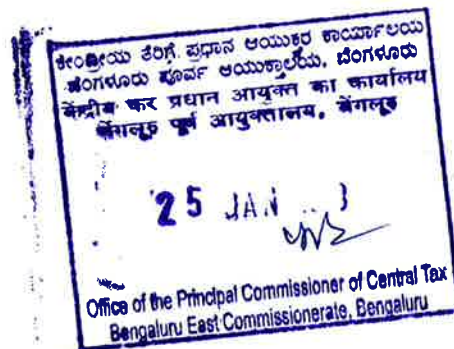
7. We reserve our liberty to make further submissions in writing and adduce evidence in support of our claim at the time of hearing and we wish to be heard in person before the case is adjudicated.

Thanking you,

GE India Industrial Private Limited



Authorised Signatory



Head Office:

Regd. Office: A-18, First Floor, Okhla Industrial Area Phase II, New Delhi 110 020



केन्द्रीयकरकेसहायक-आयुक्ताकाकार्यालय,
OFFICE OF THE ASSISTANT COMMISSIONER OF CENTRAL TAX,
मालऔरसेवाकरआयुक्तालय, बेंगलूरुपूर्व, मंडल - 7,
GST COMMISSIONERATE, BANGALORE EAST, DIVISION-7,
बी.एम.टी.सीबसस्टैंड:ओल्डएयरपोर्टरोड: दोमलूर: बेंगलूरु- 560 071

RECORD OF PERSONAL HEARING Date :09.10.2023

In the matter of SCN bearing No.

1. SCN No.IV/16/765/2013/ST(R) Group-V/5052/13 dated 11/12/2013 – for the period October 2012 to December 2012.
2. SCN No.IV/16/427/2013/ST(R) Group-V/2318/13 dated 07/06/2013 – for the period April 2012 to June 2012
3. SCN No.IV/16/618/2013/ST(R) Group-V dated 23/09/2013 – for the period July 2012 to September 2012
4. SCN No.IV/16/106/2012/ST(R) DIV 1/7269/12 dated 11/12/2012 – for the period October 2011 to March 2012.
5. SCN No.IV/16/896/2013/ST(R) Divn- 1/1561/14 dated 03/03/2014 – for the period January 2013 to March 2013.

Name of the Noticee: Shri GE Global Technology Solutions : AABCG1257BST008

Smt. Karishma Shah, Shri. Rathish Pathiyil and Smt. Sandra Crisilda of M/s.Price Waterhouse & Co. LLP, appeared for personal hearing on 09.10.2023 at 15.00 Hrs. on behalf of noticee M/s. GE Global Technology Solutions with a letter of authorization dated 04.10.2023. During PH they reiterated the points in the reply to the SCN and informed that company was exporting services and that the claims were pending adjudication under notification no. 05/2006 ST and 27/2012-ST. Further, they requested 15 days time to submit the records pertaining to the refund claims, SCN and reply thereto.


09/10/2023.
(Smt.Karishma Shah)


(Shri. Rathish Pathiyil)


(Smt. Sandra Crisilda)


(KANKANALA ANIL KUMAR)
Assistant Commissioner of Central Tax,
East Division-7,Bangalore East Commissionerate



GE India Industrial Private Limited
Building No. 7A, 1st, 5th & 6th Floor
DLF Cyber City, DLF Phase-III
Sector-25A, Gurgaon-122 002
Haryana
Tel: 0124-4906000; Fax: 01244906511
CIN: U31500DL1992PTC194724
Website: www.ge.com

November 02, 2023

To,
The Assistant Commissioner of Central Tax,
Office of the Assistant Commissioner of Central Tax,
Division ED-8, Domlur
Bangalore – 560071

Sub: Submission of debit proof details for the pending Service Tax refund claims

Ref: Applications for refund of CENVAT credit filed by the Company for the period October 2011 to March 2013.

Dear Sir / Ma'am,

1. We, GE India Industrial Private Limited (Formerly, "GE Global Technology Solution") herein referred as "GE GTS Division" or "the Company") are registered under Service Tax under the category "Information Technology Software Services" and 'Management Maintenance or Repairs services' vide registration No. **AAHCG12578ST008**.
2. We are engaged in the exports of taxable services outside India without payment of service tax. In the absence of output service tax liability, the company is not able to utilize the Cenavt credit of input service tax charged by domestic service providers. Notification No. 05/2006 CE dated 14.03.2006 & Notification No. 27/2012 CE dated 18.06.2012, allows refund of input service tax which is used for providing output service that are exported out of India.
3. Accordingly, the Company has filed the following Service tax refund applications:

Sl.No	Refund Period	Refund amount
1	October 2011 to March 2012	61,61,529
2	April 2012 to June 2012	29,43,792
3	July 2012 to September 2012	54,60,102
4	October 2012 to December 2012	51,24,193
5	January 2013 to March 2013	53,54,148
TOTAL		2,50,43,764

Regd. Off

A-18, First Floor Okhla Industrial Area Phase II New Delhi South Delhi, Delhi- 110020



GE India Industrial Private Limited
Building No. 7A, 1st, 5th & 6th Floor
DLF Cyber City, DLF Phase-III
Sector-25A, Gurgaon-122 002
Haryana
Tel: 0124-4906000; Fax: 01244906511
CIN: U31500DL1992PTC194724
Website: www.ge.com

4. Pursuant to the personal hearing held on October 09, 2023, in relation to the above refund claims, your goodself has requested us to submit the debit proof details. In this regard, the Company hereby submits that for the period mentioned in Sl. No 3, 4 and 5 in the above table i.e. post June 2012, the Company has debited the refund amount in Service Tax return of April 2013 to March 2014. The copy of the Service Tax return for the period April 2013 to September 2013 and October 2013 to March 2014 is enclosed with this letter and marked the same as **Annexure-1**. We have provided below the summary of the debit details in the below table for your ready reference:

Sl No	Period	Refund amount	Remarks
1	July 2012 to September 2012 (Sl no. 3)	54,60,102	Debited in April 2013 to September 2013 ST-3
2	October 2012 to December 2012 (Sl no. 4)	51,24,193	Debited in April 2013 to September 2013 ST-3
3	January 2013 to March 2013 (Sl no. 5)	53,54,148	Debited in October 2013 to March 2014 ST-3

5. Further, the Company wishes to submit that for the refund claim filed for the period prior to June 2012, the Company has debited the refund amount in Service tax return for the period April 2017 to June 2017.
6. The Company wishes to highlight that an amount of INR 16,58,19,493/- has been debited in ST-3 of April 2017 to September 2017. The said amount also includes the debit of the refund amount for the period October 2011 to March 2012 and April 2012 to June 2012. The break -up of the debit amount in ST-3 of April 2017 to June 2017 is provided below for your ready reference. The copy of the Service Tax return for the period April 2017 to June 2017 is enclosed with this letter and marked the same as **Annexure-2**.



GE India Industrial Private Limited
Building No. 7A, 1st, 5th & 6th Floor
DLF Cyber City, DLF Phase-III
Sector-25A, Gurgaon-122 002
Haryana
Tel: 0124-4906000; Fax: 01244906511
CIN: U31500DL1992PTC194724
Website: www.ge.com

Sl No	Particulars	Amount (INR)
1	Cenvat Credit transfer from GE GTS Division to GE IIPL Division	2,17,81,371
2	Refund of 8 crore received	8,20,61,960
3	Refund amount for the period October 2011 to March 2012 (Sl no. 1)	61,61,529
4	Refund amount for the month of April 2012 to June 2012 (Sl no. 2)	29,43,792
5	Other adjustments	5,28,70,841
	Total Debit in ST-3	16,58,19,493

7. We would request you take the above on record and accordingly process the captioned refund claim application. We request your goodself to provide us an opportunity of being heard before the case is adjudicated.

Thanking you,

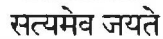
Yours sincerely,

GE India Industrial Private Limited



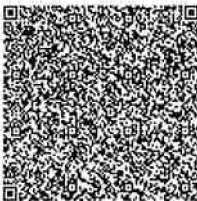
Authorised Signatory

[Handwritten signature]
03/12/2021
केन्द्रीय कर अधिकारी, पूर्व मंडल-VII, जी ई डी-7 रेंज
Superintendent of Central Tax, East Division-VII, PED-7 Range
जी.एस.टी. आयुक्तालय, बेंगलूर पूर्व
GST Commissionerate, Bengaluru East
ओल्ड एयरपोर्ट रोड, डोम्लूर, बेंगलूर-560 071
Old Airport Road, Domlur, Bengaluru-560 071



Government of Karnataka

Certificate No.	: IN-KA27547051809921V
Certificate Issued Date	: 30-Oct-2023 01:36 PM
Account Reference	: NONACC (FI)/ kaksfcl08/ HALASURU/ KA-SV
Unique Doc. Reference	: SUBIN-KAKAKSFCL0825339108329703V
Purchased by	: GE INDIA INDUSTRIAL PVT LTD
Description of Document	: Article 29 Indemnity Bond
Description	: INDEMNITY BOND
Consideration Price (Rs.)	: 0 (Zero)
First Party	: GE INDIA INDUSTRIAL PVT LTD
Second Party	: ASSISTANT COMMISSIONER OF CENTRAL TAX
Stamp Duty Paid By	: GE INDIA INDUSTRIAL PVT LTD
Stamp Duty Amount(Rs.)	: 100 (One Hundred only)



Please write or type below this line

Indemnity Bond

This bond of indemnity is made on October 12, 2023 by M/s GE India Industrial Private Limited (Division-GE Global Technology Solution) bearing service tax registration **No. AABCG1257BST008** in favor of the Assistant Commissioner of Central Tax, GST Commissionerate, Bangalore East , Division 7, Domluru.

Which expression shall unless excluded by or repugnant to the context be deemed to include his heirs, executors, administrators, legal representative, successors and permitted assigns in favour of the President of India (hereinafter called as "Government" which expression shall unless excluded by or repugnant to the context be deemed to include his successors or assignee.

Whereas the indemnifier informing that service tax refund application has been filed with the service tax department for the flowing period:

Statutory Alert:

- 1 The authenticity of this Stamp certificate should be verified at 'www.shcilestamp.com' or using e-Stamp Mobile App of Stock Holding Corporation of India Ltd. Any discrepancy in the details on this Certificate and as available on the website / Mobile App renders it invalid
- 2 The onus of checking the legitimacy is on the users of the certificate.
- 3 In case of any discrepancy please inform the Competent Authority.



Period	Amount (in INR)
October 2011 to March 2012	61,61,529
April 2012 to June 2012	29,43,792
July 2012 to September 2012	54,61,016
October 2012 to December 2012	51,24,193
January 2013 to March 2013	53,54,148
TOTAL	2,50,44,678

And whereas the indemnifier reconstructed the service tax refund file for the said periods and has submitted with your goodself. In this regard, request to issue the refund as per the re-constructed file.

In this regard, the indemnifier hereby undertakes and declare as follows;

- No payment towards the subject refund claim, has been received by the Company in the past.
- To refund to the government the said refund amount processed as per the reconstructed refund application in the event of original refund application found, processed and paid to the indemnifier.

In witness where the bond is executed today this October 12, 2023

For GE India Industrial Private Limited (Division - Global Technology Solution)

N. Chandrashekar

Authorized Signatory Name:

Designation:



INDEPENDENT AUDITOR'S REPORT

To The Members of GE India Industrial Private Limited Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the accompanying standalone financial statements of GE India Industrial Limited ("the Company"), which comprise the Balance Sheet as at 31st March 2023, and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2023, and its profit, total comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Company's Board of Directors is responsible for the other information. The other information comprises the Company's Directors' Report, but does not include the standalone financial statements and our auditor's report thereon.
- Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.
- In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.



- If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the Ind AS and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Company's Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section



143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to standalone financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the standalone financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the standalone financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the standalone financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the company so far as it appears from our examination of those books, except for keeping backup on daily basis of such books of account maintained in electronic mode in a server physically located in India (Refer Note 4.51(vii) to the standalone financial statements).



- c) The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, the Statement of Cash Flows and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account.
- d) In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act.
- e) On the basis of the written representations received from the directors as on 31st March, 2023 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2023 from being appointed as a director in terms of Section 164(2) of the Act.
- f) With respect to the adequacy of the internal financial controls with reference to standalone financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls with reference to standalone financial statements.
- g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the Company being a private company, section 197 of the Act related to the managerial remuneration is not applicable.
- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements - Refer Note 4.40 to the standalone financial statements;
 - ii. The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts - Refer Note 4.22 to the standalone financial statements;
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
 - iv. (a) The Management has represented that, to the best of it's knowledge and belief, other than as disclosed in the note 4.10 to the financial statements no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.



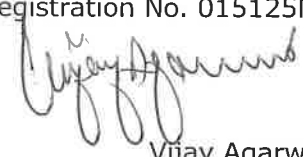
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Deloitte Haskins & Sells

- (b) The Management has represented, that, to the best of it's knowledge and belief, other than as disclosed in the note 4.20 to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (c) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
 - v. The company has not declared or paid any dividend during the year and has not proposed final dividend for the year.
 - vi. Proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 for maintaining books of account using accounting software which has a feature of recording audit trail (edit log) facility is applicable to the Company w.e.f. April 1, 2023, and accordingly, reporting under Rule 11(g) of Companies (Audit and Auditors) Rules, 2014 is not applicable for the financial year ended March 31, 2023.
2. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order.

For Deloitte Haskins & Sells
Chartered Accountants
(Firm's Registration No. 015125N)




Vijay Agarwal
(Partner)
(Membership No. 094468)
(UDIN: 23094468BGYIQN2969)

Place: Gurugram
Date: September 15, 2023

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ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 1(f) under 'Report on Other Legal and Regulatory Requirements' of our report of even date)

Report on the Internal Financial Controls with reference to standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls with reference to standalone financial statements of GE India Industrial Private Limited ("the Company") as of March 31, 2023 in conjunction with our audit of the standalone Ind AS financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls with reference to standalone financial statements based on the internal control with reference to standalone financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on Company's internal financial controls with reference to standalone financial statements of the Company based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to standalone financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to standalone financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to standalone financial statements and their operating effectiveness. Our audit of internal financial controls with reference to standalone financial statements included obtaining an understanding of internal financial controls with reference to standalone financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to standalone financial statements.



Meaning of Internal Financial Controls with reference to standalone financial statements

A company's internal financial control with reference to standalone financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to standalone financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to standalone financial statements

Because of the inherent limitations of internal financial controls with reference to standalone financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to standalone financial statements to future periods are subject to the risk that the internal financial control with reference to standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls with reference to standalone financial statements and such internal financial controls with reference to standalone financial statements were operating effectively as at March 31, 2023, based on the criteria for internal financial control with reference to standalone financial statements established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For Deloitte Haskins & Sells
Chartered Accountants
(Firm's Registration No. 015125N)



Vijay Agarwal
(Partner)
(Membership No. 094468)
(UDIN: 23094468BGYIQN2969)

Place: Gurugram
Date: September 15, 2023

Rs

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ANNEXURE B TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 2 under 'Report on Other Legal and Regulatory Requirements' section of our report to the Members of GE India Industrial Private Limited)

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

- i. In respect to the Company's property plant and equipment, right-of-use assets, investment properties and intangible assets:
 - (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of property, plant and equipment, capital work-in-progress, investment properties and relevant details of right-of-use assets.
 - (B) The Company has maintained proper records showing full particulars of intangible assets.
 - (b) The Company has a program of verification of property, plant and equipment, capital work-in-progress, investment properties and right-of-use assets so to cover all the items once every 3 years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, certain property, plant and equipment were due for verification during the year and were physically verified by the management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.
 - (c) With respect to immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the Company) disclosed in the financial statements included in property, plant and equipment, investment property and non-current assets held for sale, according to the information and explanations given to us and based on the examination of the registered title deed including certified true copies provided to us, we report that, the title deeds of such immovable properties are held in the name of the Company as at the balance sheet date, except for the following:

Description of property	As at the Balance sheet date		Held in the name of	Whether promoter, director or their relative or employee	Period held	Reason for not being held in name of Company
	Gross Carrying value	Carrying value in the financial statements				
Freehold land located at Bengaluru District, Karnataka 200,165 square metre	1,609	1,609	GE India Technology Centre Private Limited	No	From March 31, 2017, appointed date as per the approved scheme	The title deed is in the name of GE India Technology Centre Private Limited, erstwhile company that was merged with the Company



Description of property	As at the Balance sheet date		Held in the name of	Whether promoter, director or their relative or employee	Period held	Reason for not being held in name of Company
	Gross Carryin g value	Carrying value in the financial statements				
						under the Companies Act in terms of the approval of the Honourable High Court of judicature. The Company is yet to initiate the process of name change in title deeds.
Freehold land located at Nadiad, Gujarat admeasuring 91,648 square metre	17	17	GE Lighting India Private Limited	No	Since 2004	The Title Deeds are in erstwhile name of the Company, GE Lighting India Private Limited, as name was changed in 2004. The Company is yet to initiate the process of name change in title deeds.
Freehold land located at Pansora, Gujarat admeasuring 14,770 square metre	3	3	GE Lighting India Private Limited	No	Since 2004	

(d) The Company has not revalued any of its property, plant and equipment (including Right of Use assets) and intangible assets during the year.

(e) No proceedings have been initiated during the year or are pending against the Company as at March 31, 2023 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made thereunder.

ii.

(a) The inventories except for goods-in-transit and stocks held with third parties were physically verified during the year by the management at reasonable intervals. In our opinion and based on information and explanations given to us, the coverage and procedure of such verification by the management is appropriate having regard to the size of the Company and the nature of its operations. For stocks held with third parties at the year-end, written confirmations have been obtained and in respect of goods in transit, the goods have been received subsequent to the year end. No discrepancies of 10% or more in the aggregate for each class of inventories were noticed on such physical verification of inventories/alternate procedures performed as applicable, when compared with books of account.

(b) According to the information and explanations given to us, at any point of time of the year, the Company has not been sanctioned any working capital facility from banks or financial institutions and hence reporting under clause (ii)(b) of the Order is not applicable.



- iii. The Company has not provided guarantee or security or advances in the nature of loans, secured or unsecured to companies, firms, Limited Liability Partnerships or any other parties during the year. However, the Company has granted unsecured loans to companies and other parties and made investments in companies during the year, in respect of which:

(a) The Company has granted loans during the year and details of which are given below:

Particulars	Amount (Rs. in lakhs)
A. Aggregate amount of loans granted during the year	Loans
- Associate	60,016
- Fellow subsidiaries	694,077
- Subsidiary	5
- Others (loan to employees)	63
B. Balance outstanding as at balance sheet date in respect of above cases	
- Associate	49,435
- Fellow subsidiaries	73,146
- Subsidiary	3
- Others (loan to employees)	12

The Company has not provided any guarantee or security to any other entity during the year.

- (b) The investments made and the terms and conditions of the grant of all the above-mentioned loans provided, during the year are, in our opinion, prima facie, not prejudicial to the Company's interest.
- (c) The Company has granted unsecured loans to companies payable on demand. During the year the Company has not demanded such loans. The schedule for payment of interest has been stipulated and receipts of interest are regular as per stipulation. In respect of loans granted to employees by the Company, the schedule of repayment of principal and payment of interest has been stipulated and the repayments of principal amounts and receipts of interest are generally regular as per stipulation.
- (d) According to information and explanations given to us and based on the audit procedures performed, in respect of loans granted by the Company during the year, there is no overdue amount remaining outstanding as at the balance sheet date.
- (e) No loan granted by the Company which has fallen due during the year, has been renewed or extended or fresh loans granted to settle the overdue of existing loans given to the same parties.
- (f) The Company has granted loans which are repayable on demand to subsidiary, fellow subsidiaries and associate as mentioned in clause (iii)(a) details of which are given below:

	Related parties
Aggregate of loans	7,54,092
Percentage of loans to the total loans	99.99%



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- iv. The Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of loans granted, investments made and guarantees and securities provided, as applicable.
- v. The Company has not accepted any deposit or amounts which are deemed to be deposits. Hence, reporting under clause (v) of the Order is not applicable.
- vi. The maintenance of cost records has been specified by the Central Government under section 148(1) of the Companies Act, 2013. We have broadly reviewed the books of account maintained by the Company pursuant to the Companies (Cost Records and Audit) Rules, 2014, as amended, prescribed by the Central Government for maintenance of cost records under Section 148(1) of the Companies Act, 2013, and are of the opinion that, prima facie, the prescribed cost records have been made and maintained by the Company. We have, however, not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.
- vii. In respect of statutory dues:
- (a) Undisputed statutory dues, including Goods and Service tax, Provident Fund, Employees' State Insurance, Income-tax, duty of Custom, cess and other material statutory dues applicable to the Company have generally been regularly deposited by it with the appropriate authorities.

There were no undisputed amounts payable in respect of Goods and Service tax, Provident Fund, Employees' State Insurance, Income-tax, duty of Custom, cess and other material statutory dues in arrears as at March 31, 2023 for a period of more than six months from the date they became payable. We have been informed that the provisions of the Sales Tax, Service Tax, duty of Excise and Value Added Tax are not applicable to the Company.

- (b) Details of statutory dues referred to in sub-clause (a) above which have not been deposited as on March 31, 2023 on account of disputes are given below:

Name of statute	Nature of dues	Forum where dispute is pending	Period	Amount	Amount (Rs. in lakhs)	
					Amount paid under protest	Amount unpaid
Central Sales Tax Act, 1956	Sales tax	Appellate authority up to Commissioners' level	2004-05, 2005-06, 2006-07, 2007-08, 2008-09, 2009-10, 2010-11, 2011-12, 2012-13, 2013-14, 2014-15, 2015-16, 2017-18	3,523	1,240	2,282
Central Sales Tax Act, 1956	Sales tax	Appellate Tribunal	2011-12, 2012-13, 2013-14, 2015-16	1,141	441	700
Sales tax laws	Value added tax	Appellate authority up to Commissioners' level	2003-04, 2006-07, 2007-08, 2017-18	1,756	14	1,742



Name of statute	Nature of dues	Forum where dispute is pending	Period	Amount	Amount paid under protest	Amount unpaid
Sales tax laws	Value added tax	Appellate Tribunal	2014-15, 2015-16	112	-	112
Finance Act, 1994	Service tax	Appellate authority up to Commissioners' level	2010-15, 2013-17, 2014-18, 2015-18	6,716	179	6,536
Finance Act, 1994	Service tax	Customs, Excise, Service Tax Appellate Tribunal	2004-08, 2006-11, 2008-11, 2009-12, 2011-15	975	25	950
Finance Act, 1994	Service tax	High Court	2017-18	596	-	596
Central Excise Act, 1944	Excise duty	Appellate authority up to Commissioners' level	2009, 2011-14	7	-	7
The Customs Act, 1962	Custom Duty	Custom, Excise, Service Tax Appellate Tribunal	2009-13, 2011-15, 2007-13, 2012-13	5,260	416	4,844
The Customs Act, 1962	Customs Duty	Appellate authority up to Commissioners' level	2010-11, 2010-12, 2010-13, 2016, 2021-22	1,122	957	165
The Customs Act, 1962	Custom Duty	High Court	2013-14	821	748	73
The Customs Act, 1962	Custom Duty	Deputy Commissioners of Customs	2017-20	17,372	2,491	14,881
The Bruhat Bengaluru Mahanagara Palike Act, 2020 (BBMP Act)	Property Tax	High Court	2015-16	1,182	-	1,182
Karnataka Stamp Act, 1957	Stamp Duty Charges	Chief Controlling Revenue Authority, Bangalore	2020-21	6,714	6,714	-
Income Tax Act, 1961	Income Tax	Commissioner of Income Tax (Appeals), New Delhi	2013-14, 2014-15, 2015-16, 2020-21	12,526	47	12,479



Name of statute	Nature of dues	Forum where dispute is pending	Period	Amount	Amount paid under protest	Amount unpaid
Income Tax Act, 1961	Income Tax	Income Tax Appellate Tribunal, New Delhi	2002-03, 2003-04, 2006-07, 2007-08, 2008-09, 2009-10, 2010-11, 2011-12, 2012-13, 2014-15, 2016-17, 2017-18, 2018-19	18,181	4,902	13,279

- viii. There were no transactions relating to previously unrecorded income that were surrendered or disclosed as income in the tax assessments under the Income Tax Act, 1961 (43 of 1961) during the year.
- ix.
- Loans amounting to Rs. 122,585 lakhs outstanding as at March 31, 2023 are repayable on demand. According to the information and explanations given to us, such loans have not been demanded for repayment during the financial year. Considering the above, in our opinion, the Company has not defaulted in the repayment of loans or other borrowings, to any lender during the year. Terms for payment of interest have been stipulated and payment of interest are regular as per stipulation.
 - The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.
 - The Company has not taken any term loan during the year and there are no unutilised term loans at the beginning of the year and hence, reporting under clause (ix)(c) of the Order is not applicable.
 - On an overall examination of the financial statements of the Company, funds raised on short-term basis have, prima facie, not been used during the year for long-term purposes by the Company.
 - On an overall examination of the financial statements, we report that the funds raised through borrowings during the year have not been used to meet the obligations of its subsidiary or associate. The Company did not have unutilized funds as at the beginning of the year from the funds raised through borrowings nor has raised funds through issue of shares during the year. The Company did not have any joint venture.
 - The Company has not raised loans during the year on the pledge of securities held in its subsidiary or associate company. The Company did not have any joint venture.
- x.
- The Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause (x)(a) of the Order is not applicable.



- (b) During the year the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause (x)(b) of the Order is not applicable to the Company.
- xi.
- (a) To the best of our knowledge, no fraud by the Company and no material fraud on the Company has been noticed or reported during the year.
- (b) To the best of our knowledge, no report under sub-section (12) of section 143 of the Companies Act has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and upto the date of this report.
- (c) We have taken into consideration the whistle blower complaints received by the Company during the year and provided to us, when performing our audit.
- xii. The Company is not a Nidhi Company and hence reporting under clause (xii) of the Order is not applicable.
- xiii. In our opinion, the Company is in compliance with section 188 of the Companies Act for all transactions with the related parties and the details of related party transactions have been disclosed in the financial statements etc. as required by the applicable accounting standards. The Company is a private company and hence the provisions of section 177 of the Companies Act, 2013 are not applicable to the Company.
- xiv.
- (a) In our opinion the Company has an adequate internal audit system commensurate with the size and the nature of its business.
- (b) We have considered, the internal audit reports, issued during the year and after the balance sheet date, to the Company covering specific processes and periods from October 2021 to November 2022 for the period under audit.
- xv. In our opinion, during the year, the Company has not entered into any non-cash transactions with any of its directors or directors of it's associate company or persons connected with such directors and hence provisions of section 192 of the Companies Act, 2013 are not applicable to the Company.
- xvi. The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause (xvi)(a), (b) and (c) of the Order is not applicable.
- (d) As informed by management of the Company, the group has one CIC as part of the group.
- xvii. The Company has not incurred cash losses during the financial year covered by our audit and the immediately preceding financial year.
- xviii. There has been no resignation of the statutory auditors of the Company during the year.
- xix. On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements and



our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

- xx. The Company has fully spent the required amount towards Corporate Social Responsibility (CSR) and there are no unspent CSR amount for the year requiring a transfer to a Fund specified in Schedule VII to the Companies Act or special account in compliance with the provision of sub-section (6) of section 135 of the said Act. Accordingly, reporting under clause (xx) of the Order is not applicable for the year.

For Deloitte Haskins & Sells
Chartered Accountants
(Firm's Registration No. 015125N)



A handwritten signature in black ink, appearing to read "Vijay Agarwal".

Vijay Agarwal
(Partner)
(Membership No. 094468)
(UDIN: 23094468BGYIQN2969)

Place: Gurugram
Date: September 15, 2023

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GE India Industrial Private Limited
CIN : U31500DL1992PTC194724
Standalone Balance Sheet as at 31 March 2023
(All amounts in INR lakhs, unless stated otherwise)

	Note No.	As at 31 March 2023	As at 31 March 2022
ASSETS			
Non-current assets			
Property, plant and equipment	4.1	64,581	69,814
Right-of-use assets	4.4	13,294	12,733
Capital work-in-progress	4.3	990	1,266
Investment property	4.6	7,017	6,694
Other intangible assets	4.7	172	85
Financial assets			
(i) Investments	4.8	27	22
(ii) Trade receivables	4.9	3,786	-
(iii) Loans	4.10	-	-
(iv) Other financial assets	4.11	984	1,238
Deferred tax assets (net)	4.12	16,706	21,081
Non current tax assets (net)	4.13	11,838	14,605
Other non-current assets	4.14	3,760	4,726
Total non-current assets		123,155	132,264
Current assets			
Inventories	4.15	119,387	92,520
Financial assets			
(i) Investments	4.8	52,093	169,074
(ii) Trade receivables	4.9	88,388	96,996
(iii) Cash and cash equivalents	4.16	157,052	213,329
(iv) Bank balances other than cash and cash equivalents	4.16(a)	300	1,264
(v) Loans	4.10	122,663	142,938
(vi) Other financial assets	4.17	12,631	12,038
Other current assets	4.14	39,221	35,713
Total current assets		591,735	763,872
Assets held for sale	4.2	590	-
Total assets		715,480	896,136
EQUITY AND LIABILITIES			
Equity			
Equity share capital	4.18	254,728	254,728
Other equity	4.19	85,246	10,470
Total equity		339,974	265,198
Liabilities			
Non-current liabilities			
Financial liabilities			
(i) Lease liabilities	4.5	4,055	3,527
(ii) Other financial liabilities	4.21	1,054	967
Provisions	4.22	24,568	20,797
Other non-current liabilities	4.23	9,606	11,975
Total non-current liabilities		39,283	37,266
Current liabilities			
Financial liabilities			
(i) Borrowings	4.20	50,122	269,285
(ii) Lease liabilities	4.5	2,845	2,901
(iii) Trade payables	4.24		
- Total outstanding dues of micro enterprises and small enterprises		10,039	2,625
- Total outstanding dues of creditors other than micro enterprises and small enterprises		147,311	166,324
(iv) Other financial liabilities	4.21	23,083	21,305
Provisions	4.22	20,213	19,883
Other current liabilities	4.23	82,610	111,349
Total current liabilities		336,223	593,672
Total equity and liabilities		715,480	896,136

Significant accounting policies

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The notes referred to above form an integral part of the financial statements.

As per our report of even date attached.

For Deloitte Haskins & Sells
Chartered Accountants
Vijay Agarwal

Partner
Membership No. 094468
Place: Gurugram
Date: 15 September 2023



For and on behalf of the Board of Directors of
GE India Industrial Private Limited

Amol Nagar
Whole-time Director
DIN : 03381846
Place: Gurugram
Date: 15 September 2023

Randeep Singh Thakur
Company Secretary
M. No. A27032
Place: Gurugram
Date: 15 September 2023



Vani Mehta
Whole-time Director
DIN : 09668743
Place: Gurugram
Date: 15 September 2023

Kapil Chitlangya
Sr. Finance Manager
Place: Gurugram
Date: 15 September 2023

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GE India Industrial Private Limited
CIN : U31500DL1992PTC194724
Standalone Statement of Profit and Loss for the year ended 31 March 2023
(All amounts in INR lakhs, unless stated otherwise)

	Note No.	For the year ended 31 March 2023	For the year ended 31 March 2022
Continuing operations			
Income			
Revenue from operations	4.25	680,750	513,838
Other income	4.26	65,973	51,037
Total Income		746,723	564,875
Expenses			
Cost of materials consumed	4.27	193,854	124,545
Purchases of stock-in-trade	4.28	162,304	134,048
Changes in inventories of finished goods, work-in-progress and stock-in trade	4.29	(13,573)	(4,428)
Change in contract inventory with customers	4.30	(4,234)	5,003
Employee benefits expense	4.31	131,916	116,088
Finance costs	4.32	11,252	10,356
Depreciation and amortization	4.33	16,919	18,875
Other expenses	4.34	132,509	116,284
Total expenses		630,947	520,771
Profit for the year before tax and exceptional items from continuing operations		115,776	44,104
Exceptional items			
Impairment of associate	4.49	-	37,652
Settlement with customer	4.50	17,120	-
Profit from continuing operations before tax (I)		98,656	6,452
Tax expense :	4.12		
Current tax		21,728	8,990
Deferred tax expense		3,988	3,984
Tax related to earlier years		(1,789)	3,092
- Current tax		-	(2,058)
- Deferred tax expense/(credit)		-	-
Income tax expense (II)		23,927	14,008
Profit/(loss) for the year from continuing operations		74,729	(7,556)
Profit from discontinued Operations before tax	4.35	1,310	818
Tax expense for discontinued Operations	4.12		
Current tax		300	304
Deferred tax expense/(credit)		386	(57)
Current tax relating to earlier years		(62)	(33)
Profit from discontinued Operations after tax (III)		686	604
Profit/(loss) for the year (IV) = (I)-(II)+(III)		75,415	(6,952)
Other comprehensive income/(loss)			
- Items that will not be reclassified to profit and loss		(854)	788
- Remeasurement of defined employee benefit plans - continuing operations		215	(198)
- Income tax effect		(639)	590
Other comprehensive income/(loss) for the year, net of income tax (V)		(639)	590
Total comprehensive income/(loss) for the year (VI) = (IV) + (V)		74,776	(6,362)
Basic and diluted earnings per equity share - For continuing operations (In INR)	4.41	0.29	(0.03)
Basic and diluted earnings per equity share - For discontinued Operations (In INR)	4.41	0.00	0.00

Significant accounting policies

The notes referred to above form an integral part of the financial statements.
As per our report of even date attached.

For Deloitte Haskins & Sells
Chartered Accountants
Vijay Agarwal

Partner
Membership No. 094468
Place: Gurugram
Date: 15 September 2023



For and on behalf of the Board of Directors of
GE India Industrial Private Limited

Amol Nagar
Whole-time Director
DIN : 03381846
Place: Gurugram
Date: 15 September 2023

Randeep Singh Thakur
Company Secretary
M. No. A27032
Place: Gurugram
Date: 15 September 2023



Vani Mehta

Whole-time Director
DIN : 09668743
Place: Gurugram
Date: 15 September 2023

Kapil Chitlangya
Sr. Finance Manager
Place: Gurugram
Date: 15 September 2023

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GE India Industrial Private Limited
CIN : U31500DL1992PTC194724
Standalone Cash Flow Statement for the year ended 31 March 2023
(All amounts in INR lakhs, unless stated otherwise)

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
A. Cash flow from operating activities		
Profit before tax and after exceptional items from continuing operations	98,656	6,452
Profit before tax from discontinued operations	1,310	818
Total profit before tax	99,966	7,270
Non-cash adjustment to reconcile profit before tax to net cash flows:		
Depreciation and amortization expense	16,919	19,182
Impairment loss (exceptional item)	-	37,652
Bad debts written off	-	4,427
Expected credit loss on advances	52	353
Expected credit loss on trade receivables	893	7,709
Assets written off	16	108
Advances written off	42	805
(Profit)/loss on sale of property, plant and equipment	55	(252)
Profit on sale of investments	(10,384)	(370)
Change in fair value of investments	2,869	(3,736)
Unrealized foreign exchange (gain)/loss	(365)	(74)
Provision for warranty and replacement expenses	2,246	4,686
Provision for onerous contract	(127)	(6,723)
Liabilities no longer required written back	(718)	(1,048)
Provisions no longer required written back	(19,614)	(13,965)
Finance costs	11,252	10,358
Interest income	(14,555)	(13,129)
Profit acquired on purchase of business	-	(1,048)
Operating lease rentals	(4,106)	(6,536)
Facility income	(9,553)	(7,634)
Other non-cash items	1,655	1,503
Operating profit before working capital changes	76,543	39,538
Movements in working capital :		
<i>(Increase) / Decrease in operating assets</i>		
Trade receivables	3,513	(17,615)
Inventories	(26,867)	(5,432)
Loans	(32)	(17)
Other financial assets	514	5,961
Other assets	(2,631)	(1,168)
<i>Increase / (Decrease) in operating liabilities</i>		
Trade payables	(11,533)	38,480
Provisions	21,780	10,664
Other liabilities	(30,297)	27,664
Other financial liabilities	647	2,884
Cash (used in)/ generated from operations	31,637	100,959
Income-tax paid (net of refunds)	(17,194)	(8,798)
Net cash (used in)/ generated from operating activities (a)	14,443	92,161
B. Cash flow from investing activities		
Purchase of property, plant and equipment including intangible assets and capital advances	(9,035)	(6,548)
Proceeds from disposal of property, plant and equipment	19	379
Purchase of investment in subsidiary and associate	(9)	-
Purchase of investment in mutual funds	(165,000)	(175,000)
Proceeds from sale of mutual funds	289,500	75,261
Proceeds from sale of business	16	-
Intercompany loan granted	(754,092)	(846,834)
Intercompany loan repayment	774,399	852,838
Interest received	14,447	13,247
Purchase of business	-	(14,060)
Operating lease rentals	4,106	6,536
Facility income	9,553	7,634
Net cash generated from/ (used in) investing activities (b)	163,904	(86,547)
C. Cash flow from financing activities		
Intercompany borrowings availed	383,235	453,555
Intercompany borrowings repaid	(591,895)	(397,839)
Bank overdraft availed/(Repaid)	(10,501)	10,501
Payment of lease liabilities	(4,100)	(4,837)
Interest paid	(11,039)	(10,238)
Net cash (used in) financing activities (c)	(234,300)	51,142
Net (decrease) in cash and cash equivalents (a)+(b)+(c)	(55,953)	56,756
Cash and cash equivalent at the beginning of the year	213,329	156,573
Movement in cash and cash equivalents pertaining to discontinued operations	(324)	-
Cash and cash equivalent at the end of the year	157,052	213,329



GE India Industrial Private Limited
CIN : U31500DL1992PTC194724
Standalone Cash Flow Statement for the year ended 31 March 2023
(All amounts in INR lakhs, unless stated otherwise)

Components of cash and cash equivalents		
Particulars	As at 31 March 2023	As at 31 March 2022
Cash and cash equivalent	32,116	83,779
On current accounts	110,001	120,000
On deposit accounts (with original maturity of 3 months or less)	14,935	9,550
On EEFC accounts	157,052	213,329

Notes:

1. Reconciliation of liabilities arising from financing activities

Particulars	As at 31 March 2022	Cash flows	Non-cash changes	As at 31 March 2023
Current borrowings (net)	269,285	(219,163)	-	50,122
Lease liabilities	6,428	(4,100)	4,572	6,900
	275,713	(223,263)	4,572	57,022

Particulars	As at 31 March 2021	Cash flows	Non-cash changes	As at 31 March 2022
Current borrowings (net)	203,074	66,211	-	269,285
Lease liabilities	6,945	(4,837)	4,320	6,428
	210,019	61,374	4,320	275,713

As per our report of even date attached.

For Deloitte Haskins & Sells
Chartered Accountants
Vijay Agarwal

Partner
Membership No. 094468
Place: Gurugram
Date: 15 September 2023



For and on behalf of the Board of Directors of
GE India Industrial Private Limited

Amol Nagar
Whole-time Director
DIN : 03381846
Place: Gurugram
Date: 15 September 2023

Randeep Singh Thakur
Company Secretary
M. No. A27032
Place: Gurugram
Date: 15 September 2023

Vani Mehta
Whole-time Director
DIN : 09668743
Place: Gurugram
Date: 15 September 2023

Kapil Chitlangya
Sr. Finance Manager
Place: Gurugram
Date: 15 September 2023



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GE India Industrial Private Limited
CIN : U31500DL1992PTC194724
Standalone Statement of Changes in Equity for the year ended 31 March 2023
(All amounts in INR lakhs, unless stated otherwise)

A. Equity Share Capital		Reserves & Surplus				
Particulars	Notes	Amount	Capital reserve	Capital redemption reserve	Retained earnings	Security premium
As at 1 April 2021		254,728				
Changes in equity share capital	4.16	-				
As at 31 March 2022		254,728				
Changes in equity share capital	4.16	-				
As at 31 March 2023		254,728				
B. Other equity		Reserves & Surplus				
Particulars		Capital reserve	Capital redemption reserve	Retained earnings	Security premium	Other comprehensive income
As at 31 March 2021		(196,755)	1,810	123,330	88,050	-
On account of business combination with GE T&D Limited		(603)	-	-	-	-
Profit for the year		-	-	(6,952)	-	-
Other comprehensive income		-	-	590	-	590
Transferred to retained earnings		-	-	-	-	(590)
As at 31 March 2022		(196,358)	1,810	116,968	88,050	-
Profit for the year		-	-	75,415	-	-
Other comprehensive income		-	-	(639)	-	(639)
On account of discontinued operations		0	-	-	-	-
Transferred to retained earnings		-	-	-	-	639
As at 31 March 2023		(196,358)	1,810	191,744	88,050	-
						17,435
						(603)
						(6,952)
						1,180
						(590)
						10,470
						75,415
						(1,278)
						0
						639
						85,246

The notes referred to above form an integral part of the financial statements.

As per our report of even date attached.

For Deloitte Haskins & Sells
Chartered Accountants
Vijay Agarwal

Partner
Membership No. 094468
Place: Gurugram
Date: 15 September 2023



For and on behalf of the Board of Directors of
GE India Industrial Private Limited

Amol Nagar
Whole-time Director
DIN : 03381846
Place: Gurugram
Date: 15 September 2023

Randeep Singh Thakur
Company Secretary
M. No. A27032
Place: Gurugram
Date: 15 September 2023

Vani Mehta

Vani Mehta
Whole-time Director
DIN : 09568743
Place: Gurugram
Date: 15 September 2023



Kapil Chhatranya
Sr. Finance Manager
Place: Gurugram
Date: 15 September 2023

Kapil Chhatranya

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1. CORPORATE INFORMATION

GE India Industrial Private Limited ('GEIPL' or 'the Company') [CIN: U31500DL1992PTC194724] is a private limited company incorporated in India on 27 May 1992 under the erstwhile Companies Act, 1956. It is a subsidiary of GE Aviation Global Holdings BV, Netherlands and its ultimate holding company is General Electric Co. USA. The registered office of the Company is situated in New Delhi.

The Company through its divisions is engaged in the following businesses:

Sl. No.	Division (Segment)	Nature of business
(i)	Digital Energy ("DE") (Renewables)	Sale of industrial UPS and providing annual maintenance support services, sale, installation and commissioning of dissolved gas analysis kits and training of technicians and designing, engineering, supply, testing, installation and commissioning, technical services, hardware and software support (AMC's/ LTSA) for power transmission and distribution and sale and purchase of industrial filtration products.
(ii)	One Corporate ("OCL") (Corporate)	Providing strategic management, finance, human resources, sales and marketing, communication, legal and compliance, supply chain management, employee health and safety, government relations services, marketing support, infrastructure support, network infrastructure services and training services to General Electric group companies.
(iii)	Multi Model Facility ("MMF")	MMF manufactures and sells products to GE businesses and external customer in India and rest of world.
(iv)	Wind (Renewable)	Manufacturing, supply, installation and commissioning of wind turbine generators and providing related after sales services.
(v)	Energy (Gas Power)	Marketing support to General Electric group companies.
(vi)	India Technology Center ("ITC") (GEITC)	Research and development activity in the areas of material sciences, process technology and providing engineering analysis and related software development services/ export of customized electronic data.
(vii)	Hyderabad Technology Centre ("HTC") (Gas Power)	Provision of software development and engineering design services
(viii)	India Innovation Centre ("IIC")	Provision of software development and engineering design services
(ix)	Energy Applications and Systems Engineering ("EA & SE") (Gas Power)	Provision of engineering consultancy services
(x)	Aviation (Aviation)	Provision of repair services for propellers
(xi)	Additive (Aviation)	Provision of sale of additive machines and services

The accounting policies set out below have been applied consistently to the periods presented in these financial statements unless stated otherwise.

2. BASIS OF PREPARATION AND PRESENTATION**i) Statement of Compliance**

These standalone financial statements have been prepared on an accrual basis under historical cost convention except for certain financial instruments which are measured at fair value. These financial statements have been prepared in accordance with the Indian Accounting Standards ('Ind AS') as prescribed under Section 133 of the Companies Act, 2013 ('the Act') read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 and relevant amendments thereafter.

These standalone financial statements are approved by the Company's Board of Directors on 15 September 2023.



ii) Functional and presentation currency

These financials are presented in Indian Rupees (INR), which is also the Company's functional currency. All amounts have been rounded-off to nearest lakhs unless otherwise stated. Further, due to rounding off, certain amounts are appearing as '0'.

iii) Going concern and basis of measurement

The financial statements have been prepared on the accrual and going concern basis, and the historical cost convention except where the Ind AS requires a different accounting treatment. The principal variations from the historical cost convention relate to financial instruments classified as FVTPL or fair value through other comprehensive income ('FVTOCI') which are measured at fair value.

iv) Operating Cycle

All assets and liabilities have been classified as current or non-current as per the Company's operating cycle and other criteria set out in Schedule III to the Companies Act, 2013. Based on the nature of products and the time between the acquisition of assets for processing and their realization in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for the purpose of current and non-current classification of assets and liabilities.

3. SIGNIFICANT ACCOUNTING POLICIES

a. Revenue recognition

Revenue is recognised, when or as control over distinct goods or services is transferred to the customer; i.e. when the customer is able to direct the use of the transferred goods or services and obtains substantially all of the remaining benefits, provided a contract with enforceable rights and obligations exists and amongst others collectability of consideration is probable, taking into account customer's credit-worthiness. Revenue is the transaction price expected to be entitled to.

Amounts due in respect of price escalation claims including those linked to published indices and/or contract modification including variation in contract work are recognised, only if the contract allows for such claims or variations and /or there is evidence that the customer has accepted it and it is probable that these will result in revenue and are capable of being reliably measured. Variable consideration is included in the transaction price if it is highly probable that a significant reversal of revenue will not occur once uncertainties are resolved.

If a contract contains more than one distinct good or service, the transaction price is allocated to each performance obligation. Revenue is recognized for each performance obligation either at a point in time or over time.

Amounts disclosed as revenue are exclusive of Goods and Service Tax and net of returns, trade allowances, rebates, value added taxes and amounts collected on behalf of third parties.

Revenue from sale of products

Revenue from sale of products is recognized at a point in time when the control of goods is transferred to the buyer as per the terms of the contract. Control of goods refers to the ability to direct the use of and obtain substantially all of the remaining benefits from goods.

Revenue from sale of services

Revenue from installation and commissioning services is recognized at a point in time on completion or substantial completion of such services.

Revenue from operation and maintenance services under annual maintenance contracts is recognised over time on a straight-line basis over the term of the contract.

Revenue from sale of research and development and marketing support services are recognized over time and as and when services are rendered in accordance with terms of contract entered with customers (including group companies).



Revenue from sale of scrap

Revenue from sale of scrap is recognised into other operating income at a point in time when the control of scrap is transferred to the buyer.

Rental income

Rental income is recognised in the statement of profit and loss on a straight-line basis over the term of the lease.

Incentives and duty refunds

Incentives and duty refunds are recognised when it is virtually certain that these incentives and refunds will be received by the Company.

Interest Income

Interest income from a financial asset is recognised when it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably. Interest income is accrued on a time basis, by reference to the principle outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Dividend Income

Dividend on investments is recognised when the right to receive dividend is established and the amount of income can be reliably measured.

b. Property, plant and equipment, intangible assets, depreciation and amortization**i. Property, plant and equipment**

Property, plant and equipment are measured at cost of acquisition or construction less accumulated depreciation and/or accumulated impairment loss, if any. Property, plant and equipment purchased in foreign currency are recorded at actual rupee cost incurred. The cost of an item of property, plant and equipment comprises its purchase price, including import duties and other non-refundable taxes or levies and any directly attributable costs of bringing an asset to its working condition for its intended use; after reducing any trade discounts and rebates.

Subsequent expenditures related to an item of property, plant and equipment are capitalised only if it is probable that the future benefits associated with the expenditure will flow to the Company.

Borrowing costs relating to borrowed funds are attributable to construction or acquisition of qualifying assets for the period up to the completion of construction or acquisition of such assets is included in the cost of the assets. Other borrowing costs are recognised as an expense in the period in which they are incurred.

The cost of property, plant and equipment acquired but not ready for their intended use before the balance sheet date are disclosed as capital work-in-progress. Cost of construction that relate directly to specific property, plant and equipment and that are attributable to construction activity in general and can be allocated to specific property, plant and equipment are included in capital work-in-progress.

Depreciation methods, estimated useful lives and residual value

Leasehold improvements and right-of-use assets are depreciated over the period of lease or the useful life, whichever is shorter.

The depreciation for all divisions is provided on straight-line method (SLM) as per the useful life specified in Part C of Schedule II of the Companies Act, 2013, as below: -

Description	Useful life (in years)
Plant and equipment	15
Buildings	5 to 60
Electrical equipment	10
Furniture and fixtures	10
Office equipment	5
Computer – servers and network equipment	6



Computer – Laptops, Desktops	3
Vehicles	8

If the management's estimate of the useful life of a property, plant and equipment at the time of acquisition of the asset or of the remaining useful life on a subsequent review is different than that envisaged in the aforesaid schedule, depreciation is provided based on the management's estimate of the useful life/remaining useful life. The table below lists down useful life which are different from those specified in Part C of Schedule II of the Companies Act, 2013.

The Management based on technical evaluation has assessed the useful life of assets as below:

Divisions	Building	Plant & machinery	Furniture & fixtures	Vehicles (owned)	Electrical Equipment	Office equipment	Life in years
							Computer (including server & software)
One Corporate	-	-	-	-	-	3 to 5	-
MMF	5 to 60	-	-	-	-	-	-
ITC	10 to 40	3 to 16	4 to 10	3 to 4	10	4	3 to 4
Wind	-	4 to 5	-	-	-	-	-

Freehold land is not depreciated.

Depreciation is provided on a pro-rata basis i.e. from the date on which asset is ready for use.

Gains or losses arising from disposal of fixed assets which are carried at cost are recognised as income or expense in the Statement of Profit and Loss.

ii. Intangible assets

Intangible assets are measured initially at cost of acquisition less any accumulated amortisation and any accumulated impairment losses, if any.

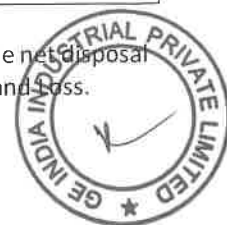
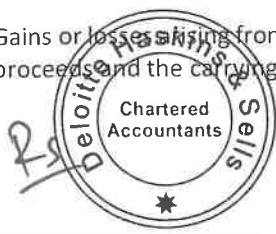
Intangible assets are recognised when it is probable that the future economic benefits that are attributable to the asset will flow to the enterprise and the cost of the asset can be measured reliably.

Amortization methods, estimated useful lives and residual value

Intangible assets are amortised on a straight-line basis over their estimated useful lives. The amortisation period, residual value and the amortisation method are reviewed at least at each financial year end. If the expected useful life of the asset is significantly different from previous estimates, the amortisation period is changed accordingly. The useful lives of such intangible assets are mentioned below:

Division	Components	Estimated economic useful life
Digital Energy	Testing software	1.5 years
One Corporate	Software licence / Server	5 years
MMF	Machine operating software	5 years
Wind	Computer software	5 years
ITC	Computer software	3 - 6 years
HTC	Computer software	5 years
EA & SE	Computer software	5 years

Gains or losses arising from retirement or disposal of an intangible asset are determined as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised as income or expense in the Statement of Profit and Loss.



c. Measurement of fair value

A number of the Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities. The Company regularly reviews significant unobservable inputs and valuation adjustments. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 - inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 - inputs for the asset or liability that are not based on observable market data (unobservable inputs).

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period or each case.

d. Financial instruments

Recognition and initial measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. The financial instruments are recognised in the Balance Sheet when the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial instruments at initial recognition.

Investments in subsidiaries and associates are carried at cost less accumulated impairment losses, if any in the standalone financial statements. Where an indication of impairment exists, the carrying amount of the investment is assessed and written down immediately to its recoverable amount. On disposal of investments, the difference between net disposal proceeds and the carrying amounts are recognized in the statement of profit and loss.

A financial asset is initially measured at fair value plus, in the case of financial asset not recorded at fair value through profit and loss ('FVTPL'), transaction costs that are directly attributable to its acquisition of the financial asset. However, trade receivables that do not contain a significant financing component are measured at transaction price.

All financial liabilities are recognised initially at fair value, in the case of loans and borrowings and payables, net of directly attributable transaction costs. Other transaction costs are expensed as incurred in the statement of profit and loss.

Classification and subsequent measurement

Financial assets

The Company classifies its financial assets in following measurement categories:



- those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss), and those measured at amortised cost.

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Company changes its business model for managing financial assets.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI (designated as FVOCI – equity investment). This election is made on an investment-by-investment basis

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets: Subsequent measurement and gains and losses

Financial assets at FVTPL

These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.

Financial assets at amortised cost

These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Equity investments at FVOCI

These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are not reclassified to profit or loss.

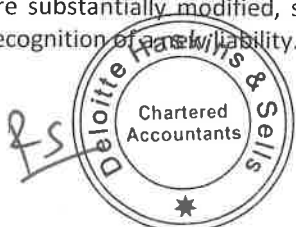
Financial liabilities: Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, or it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down.

De-recognition

The Company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party.

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit and loss.



Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is presented in the balance sheet when and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the assets and settle the liabilities simultaneously.

Impairment of financial assets

The Company recognises loss allowances for expected credit losses on financial assets measured at amortised cost. At each reporting date, the Company assesses whether financial assets carried at amortised cost are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer; or
- a breach of contract such as a default or being past due.

The Company measures loss allowances at an amount equal to lifetime expected credit losses, except for the following, which are measured as 12 month expected credit losses.

- bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowances for trade receivables are always measured at an amount equal to lifetime expected credit losses.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of a financial instrument. 12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months). In all cases, the maximum period considered when estimating expected credit losses is the maximum contractual period over which the Company is exposed to credit risk.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating expected credit losses, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment and including forward looking information.

Measurement of impairment - expected credit losses

Expected credit losses are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the Company in accordance with the contract and the cash flows that the Company expects to receive).

The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivable. Under the simplified approach, the Company does not track changes in credit risk for individual customers. Rather, it recognizes impairment loss allowance based on lifetime ECLs at each reporting date, right from initial recognition.

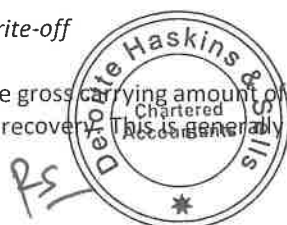
The Company uses a provision matrix to determine impairment loss allowance on the portfolio of trade receivables. The provision matrix is based on its historically observed default rates and delays in realisations over the expected life of the trade receivable and is adjusted for forward looking estimates. At every balance sheet date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

Presentation of allowance for expected credit losses in the balance sheet

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Write-off

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Company determines that the debtor does not have assets or sources of income



that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

e. Business combination

Acquisitions of businesses are accounted for using the acquisition method. Acquisition related costs are recognised in profit or loss as incurred. The acquiree's identifiable assets, liabilities and contingent liabilities that meet the conditions for recognition are recognised at their fair value at the acquisition date, except certain assets and liabilities that are required to be measured as per the applicable standard. Purchase consideration in excess of the Company's interest in the acquiree's net fair value of identifiable assets, liabilities and contingent liabilities is recognised as goodwill. Excess of the Company's interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities over the purchase consideration is recognised, after reassessment of fair value of net assets acquired, in the capital reserve.

Common control transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and the control is not transitory. Business combinations involving entities under common control are accounted for using the pooling of interest method. Assets / liabilities that are transferred or received are accounted at their respective carrying amounts on the date of transactions subject to necessary adjustments required to harmonise accounting policies. The difference, between any consideration paid / received and the aggregate carrying amounts of assets / liabilities, is recorded in capital reserve / retained earnings, as applicable.

f. Inventories

Inventories which comprise raw materials, work-in-progress, finished goods, stock-in-trade, goods-in-transit and spares and loose tools are carried at the lower of cost and net realisable value ('NRV'). Cost of inventories comprises all cost of purchase (net of recoverable taxes where applicable), cost of production or conversion and other costs incurred in bringing the inventories to their present location and condition. Finished goods and work-in-progress include appropriate proportion of overheads. The method of determination of cost for various categories of inventories is as follows:

Raw materials, packing materials and components – at cost determined on First in First Out ('FIFO') basis.

Work-in-progress and finished goods – based on the material cost and cost of production or conversion, including appropriate proportion of overheads. Material cost is arrived at using FIFO basis.

Stock in trade – at cost determined on First in First Out ('FIFO') basis.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale.

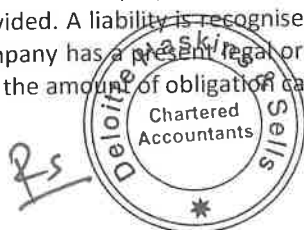
The net realisable value of work-in-progress is determined with reference to the selling prices of related finished products. Raw materials and other supplies held for use in the production of finished products are not written down below cost except in cases where prices of such finished goods are declined and it is estimated that the cost of the finished products will exceed their net realisable value.

The comparison of cost and net realisable value is made on an item-by-item basis. Provision/write-downs for obsolescence, damaged and slow-moving inventory are made, wherever necessary and inventory is stated net of such provisions/write-downs.

g. Employee benefits

Short-term obligations

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid e.g., wages and salaries, short-term cash bonus, etc. if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the amount of obligation can be estimated reliably.



Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in the current and prior periods, discounting that amount and deducting the fair value of any plan assets.

The Company's gratuity plan is a defined benefit plan. The present value of gratuity obligation under such defined benefit plans is determined based on actuarial valuation carried out by an independent actuary using the projected unit credit method, which recognises each period of service as giving rise to additional unit of employee benefit entitlement and measure each unit separately to build up the final obligation. The obligation is measured at the present value of estimated future cash flows. The discount rates used for determining the present value of obligation under defined benefit plans, is based on the market yields on Government securities as at the balance sheet date, having maturity periods approximating to the terms of related obligations. Actuarial gains and losses are recognised immediately in Other Comprehensive Income.

Compensated absences

The Company's net obligation in respect of long-term employee benefits other than post-employment benefits is the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value, and the fair value of any related assets is deducted. The obligation is measured on the basis of an annual independent actuarial valuation using the projected unit credit method. Remeasurements gains or losses are recognised in profit or loss in the period in which they arise. Long term compensated absences are provided for on the basis of its actuarial valuation as per the projected unit credit method as on the Balance Sheet date.

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays specified contributions to a separate entity and has no obligation to pay any further amounts.

Provident fund: The Company makes specified monthly contributions to the Government administered recognised provident fund schemes. Obligations for contributions to defined contribution plans are charged to the statement of profit and loss during the period in which the employee renders the related service.

Superannuation fund: The Company makes contributions to a trust fund, the corpus of which is invested with the Life Insurance Corporation of India to discharge superannuating liabilities to the employees, a defined contribution plan, and the same is expensed to the Statement of Profit and Loss. The Company has no liability other than its annual contribution.

h. Leases

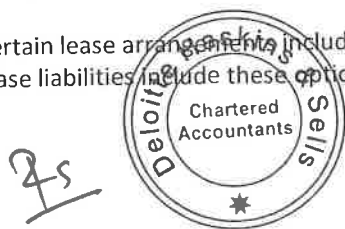
The Company as a Lessee

The company's lease assets classes primarily consist of leases for land, building, vehicles and Computer equipments. The company assesses whether a contract contains a lease, at the inception of the contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the company assesses whether:

- (i) The control involves the use of an identified asset
- (ii) The company has substantially all of the economic benefits from use of the asset through the period of lease
- (iii) The company has right to direct the use of the asset

At the date of commencement of lease, the company recognizes a right-of-use ('ROU') asset and a corresponding lease liability for all the lease arrangements in which it is a lessee, except for leases with a term of 12 months or less (short-term leases) and leases where underlying asset is of low value. For these short-term leases and leases where underlying asset is of low value, the company recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

Certain lease arrangements include the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities include these options when it is reasonably certain that they will be exercised.



The ROU assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct cost less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

ROU assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. ROU assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value in use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases the recoverable amount is determined for the cash generating unit to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related ROU asset if the company changes its assessment of whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

The Company as a Lessor:

Leases for which the Company is a lessor are classified as finance or operating leases. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

Income from operating leases where the Company is a lessor is recognised as income on a straight-line basis over the lease term unless the receipts are structured to increase in line with expected general inflation to compensate for the expected inflationary cost increases. The respective leased assets are included in the Balance Sheet based on their nature.

Leases of property, plant and equipment where the Company as a lessor has substantially transferred all the risks and rewards are classified as finance lease. Finance leases are capitalised at the inception of the lease at the fair value of the leased property or, if lower, the present value of the minimum lease payments. The corresponding rent receivables, net of interest income, are included in other financial assets. Each lease receipt is allocated between the asset and interest income. The interest income is recognised in the statement of profit and loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the asset for each period. Under combined lease agreements, land and building are assessed individually.

i. Foreign currency transactions

Initial recognition and settlement

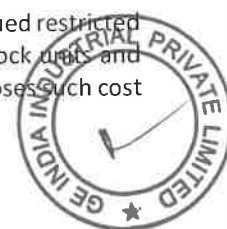
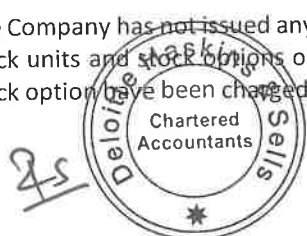
Transactions in foreign currencies are translated into the functional currency at the exchange rates at the dates of the transactions or an average rate if the average rate approximates the actual rate at the date of the transaction. Foreign exchange gains and losses resulting from the settlement of such transactions are generally recognised in the Statement of Profit and Loss.

Subsequent recognition

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary assets and liabilities that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Exchange differences are recognised in the statement of profit and loss.

j. Share based compensation

The Company has not issued any shares / stock options on its shares. The ultimate holding company has, however, issued restricted stock units and stock options on its own shares to certain employees of the Company. As cost of such restricted stock units and stock options have been charged to the Company based on the grant date fair value, the Company measures and discloses such cost



using fair value method. Fair value is calculated using the Black Scholes method of valuation. The compensation cost is amortized over the vesting period of the stock option / restricted stock units on a graded vesting basis.

k. Earnings per share

The basic and diluted earnings / (loss) per share is computed by dividing the net profit / (loss) attributable to equity shareholders for the year by the weighted average number of equity shares outstanding during the year. Diluted earnings per share are computed and disclosed after adjusting the effects of all dilutive potential equity shares, if any, except when the results will be anti-dilutive.

l. Segment reporting

An operating segment is a component that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the other components, and for which discrete financial information is available. Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker (CODM). The CODM is considered to be the Board of Directors who makes strategic decisions and is responsible for allocating resources and assessing performance of the operating segments.

m. Taxation

Tax expense recognised in statement of profit or loss comprises the sum of deferred tax and current tax except the ones recognised in other comprehensive income or directly in equity.

Current tax is the amount of tax payable in respect of taxable income for the year and is computed in accordance with relevant tax regulations. Current income tax relating to items recognised outside the statement of profit or loss is recognised outside the statement of profit or loss (either in other comprehensive income or in equity). The current tax is calculated using the tax rate that have been enacted or subsequently enacted by the end of the reporting period.

Deferred tax is recognised in respect of temporary differences between carrying amount of assets and liabilities for financial reporting purposes and corresponding amount used for taxation purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date. Deferred tax relating to items recognised outside statement of profit or loss is recognised outside statement of profit or loss (either in other comprehensive income or in equity).

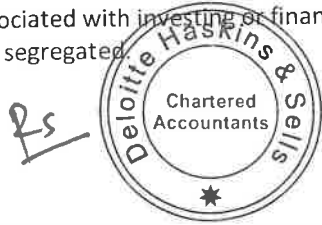
Current tax assets and current tax liabilities are offset when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle the asset and liability on a net basis. Deferred tax assets and deferred tax liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities; and the deferred tax assets and the deferred tax liabilities relate to income taxes levied by the same taxation authority.

Upon adoption of Appendix C to Ind AS 12, the Company considered whether it has any uncertain tax positions based on past experience pertaining to income taxes including those related to transfer pricing. The Company has determined its tax position based on tax compliance and present judicial pronouncements and accordingly expects that its tax treatments will be accepted by the taxation authorities.

The Company determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty. The Company applies significant judgement in identifying uncertainties over income tax treatments. The Company assesses whether the Appendix has an impact on its Financial Statements.

n. Cash flow statement

Cash flows are reported using the indirect method, whereby net profit / (loss) before tax is adjusted for the effects of transactions of a non-cash nature and any deferrals or accruals of past or future cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated.



o. Provisions and contingencies

Provisions

The Company creates a provision when there is a present obligation (legal/constructive) as a result of a past event that probably requires an outflow of resources and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Contingent Liabilities

A disclosure for a contingent liability is made when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events may but probably will not require an outflow of resources. Disclosure is also made in respect of a present obligation that probably requires an outflow of resources, where it is not possible to make a reliable estimate of the related outflow. Where there is a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

p. Non-current assets held for sale and discontinued operations

An entity shall classify a non-current asset (or disposal group) as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset is available for immediate sale in its present condition subject only to terms that are usual and customary for sale of such asset and its sale is highly probable. Management must be committed to sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are presented separately and measured at the lower of their carrying amounts immediately prior to their classification as held for sale and their fair value less costs to sell. However, some held for sale assets such as financial assets, assets arising from employee benefits and deferred tax assets, continue to be measured in accordance with the Company's relevant accounting policy for those assets. Once classified as held for sale, the assets are not subject to depreciation or amortisation.

A discontinued operation is a component of the Company that either has been disposed of, or is classified as held for sale. Profit or loss from discontinued operations comprise the post-tax profit or loss of discontinued operations and the post-tax gain or loss resulting from the measurement and disposal of assets classified as held for sale. Any profit or loss arising from the sale or re-measurement of discontinued operations is presented as part of a single line item, profit or loss from discontinued operations. The results of discontinued operation are presented separately in the statement of profit and loss for all the periods presented.

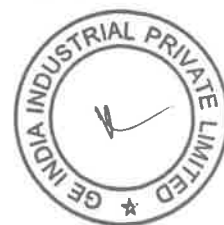
q. Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Upon initial recognition, an investment property is measured at cost including related transaction costs and where applicable, borrowing costs. Subsequent expenditure is capitalized to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost of the item can be measured reliably. All other repairs and maintenance costs are expensed when incurred. When part of an investment property is replaced, the carrying amount of the replaced part is derecognized.

Transfers are made to (or from) investment properties only when there is a change in use. Transfers between investment property, owner-occupied property and inventories do not change the carrying amount of the property transferred and they do not change the cost of that property for measurement or disclosure purposes.

Any gain or loss on disposal of an investment property is recognised in the Statement of Profit and Loss.

Investment properties are depreciated using the straight-line method over the useful lives as mentioned in Part C of Schedule II of the Act.



r. Government grants

Government grants are recognised when there is reasonable assurance that the Company will comply with the conditions attached to them and the grants will be received.

Government grants whose primary condition is that the Company should purchase, construct or otherwise acquire non-current assets are recognised as deferred revenue in the balance sheet and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

s. Cash and cash equivalents

Cash and cash equivalents comprise cash in hand, balance in bank in current accounts and balance in deposit accounts having an original maturity of less than or equal to three months, which are subject to an insignificant risk of changes in value. The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. For the purpose of statement of cash flows, cash and cash equivalents consist of cash and cheque at hand / remittance in transit and cash and deposit with bank.

t. Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of the borrowings using the effective interest method. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the Balance Sheet when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss as other income / (expense).

Borrowings are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

u. Exceptional items

Exceptional items refer to items of income or expense within the statement of profit and loss from ordinary activities which are non-recurring and are of such size, nature or incidence that their separate disclosure is considered necessary to explain the performance of the Company.

v. Use of estimates

The preparation of financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions. In preparing these financial statements, management has made judgements, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income, expenses and disclosures of contingent assets and liabilities at the date of these financial statements and the reported amount of revenues and expenses for the years presented. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised, and future periods affected.

Significant management judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognized in the financial statements are:

- Evaluation of indicators for impairment of assets
- Useful lives of property, plant and equipment and intangible assets
- Measurement of defined benefit obligation and key actuarial assumptions
- Provision for income taxes and related tax contingencies and evaluation of recoverability of deferred tax assets
- Provision for warranties



• Financial Instruments

Significant estimates

The following are the significant estimates in applying the accounting policies of the Company that have the most significant effect on the financial statements.

- Estimation of useful lives of property, plant and equipment
- Fair value measurements
- Impairment of trade receivables
- Measurement of defined benefit obligations
- Estimation of provisions and contingent liabilities
- Recognition of deferred tax assets
- Estimation of incremental borrowing rate for measurement of lease liability

w. Recent pronouncements

The Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On 31 March 2023, the MCA amended the Companies (Indian Accounting Standards) Rules, 2015 by issuing the Companies (Indian Accounting Standards) Amendment Rules, 2023, which are applicable for annual reporting periods beginning from April 01, 2023, as below:

- Ind AS 1 – Presentation of Financial Statements: This amendment requires companies to disclose their material accounting policies information rather than their significant accounting policies. Accounting policy information, together with other information, is material when it can reasonably be expected to influence decisions of primary users of general purpose financial statements. The Company does not expect to have any significant impact in its financial statements due to this amendment
- Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors: This amendment will help entities to distinguish between accounting policies and accounting estimates. The definition of a change in accounting estimates has been replaced with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The Company does not expect to have any significant impact in its financial statements due to this amendment.
- Ind AS 12 – Income Taxes: The amendment has narrowed the scope of the recognition exemption so that it no longer applies to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. The Company does not expect to have any significant impact in its financial statements due to this amendment.

Other amendments

Other amendments include amendments in Ind AS 102, Share-based Payments, Ind AS 103, Business Combination, Ind AS 109, Financial Instruments, Ind AS 115, Revenue from Contract with Customers, are mainly editorial in nature in order to provide better clarification of respective Ind AS. The Company does not expect to have any significant impact in its financial statements due to these amendments.



4.1- Property, plant and equipment

Particulars	Land (Refer note below)	Buildings	Plant and equipment	Furniture & fixtures	Vehicles	Office equipment	Computers	Total
Gross block as at 31 March 2021	1,901	44,149	104,727	11,799	50	11,092	21,495	195,213
Additions	-	619	2,936	947	-	1,102	879	6,483
Disposals	(1)	(43)	(745)	(869)	(16)	(757)	(956)	(3,367)
Transferred (to)/from investment property (refer note 4.6)	(63)	3,564	-	-	-	-	-	3,501
Gross block as at 31 March 2022	1,837	48,289	106,918	11,877	34	11,437	21,418	201,810
Additions	-	1,187	5,659	429	-	1,158	725	9,158
Disposals	(269)	(57)	(2,342)	(370)	-	(176)	(2,706)	(5,651)
Transferred (to)/from investment property (refer note 4.6)	(605)	(838)	-	-	-	-	-	(1,443)
Transferred to Assets held for sale (refer note 4.2)	963	-	-	-	-	-	-	963
Gross block as at 31 March 2023	963	48,581	110,235	11,936	34	12,419	19,437	203,605
Accumulated depreciation as at 31 March 2021	-	16,135	68,177	11,146	50	7,624	19,750	122,882
For the year	-	1,282	10,254	810	-	945	840	14,131
Disposals	-	(40)	(645)	(847)	(16)	(666)	(955)	(3,169)
Transferred (to)/from investment property (refer note 4.6)	-	1,372	-	-	-	-	-	1,372
Adjustment / Reclassification	-	(64)	(101)	-	-	(235)	272	(3,220)
Accumulated depreciation as at 31 March 2022	-	18,685	77,685	8,017	34	7,668	19,807	131,996
For the year	-	1,232	9,335	888	-	976	519	12,950
Disposals	-	(46)	(2,213)	(295)	-	(174)	(2,661)	(5,409)
Transferred (to)/from investment property (refer note 4.6)	-	(513)	-	-	-	-	-	(513)
Accumulated depreciation as at 31 March 2023	-	19,358	84,807	8,610	34	8,471	17,745	139,024
Net block as at 31 March 2022	1,837	29,604	29,233	3,860	-	3,768	1,512	69,814
Net block as at 31 March 2023	963	29,223	25,428	3,326	-	3,949	1,692	64,581

Note :

- The title deed of freehold land located at Bengaluru District, Karnataka amounting to INR 1,609 (previous year INR 1,609) is in the name of GE India Technology Centre Private Limited, erstwhile company that was merged with the Company under the Companies Act in terms of the approval of the Honorable High Court of Judicature.
- The title deeds of freehold land located at Pansora and Nadiad Gujarat amounting to INR 19 (previous year INR 19) are in erstwhile name of the Company, GE Lighting India Private Limited, as name was changed in 2004.

4.2- Assets held for sale

Particulars	As at 31 March 2023	As at 31 March 2022
Land*	590	-

*As at March 31, 2023, the Company plans to sell a land parcel in District Palakkad, Kerala and is actively in process of identifying a buyer. Accordingly, aforesaid land has been classified as 'Non-current assets held for Sale' as per Ind AS 105 'Non-current Assets Held for Sale and Discontinued Operations'. The Company has carried out fair valuation of the land from a registered valuer and loss on account of such fair valuation of INR 15 is charged to statement of profit and loss.

4.3- Capital work-in-progress

Particulars	As at 31 March 2023	As at 31 March 2022
Capital work-in-progress	990	1,266

CWIP ageing schedule
FY 2022-23

CWIP	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	794	196	-	-	990

FY 2021-22

CWIP	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	1,234	-	-	32	1,266

* Project execution plans are modulated basis capital requirement assessment on an annual basis and executed as per rolling annual plan.



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Notes to the standalone financial statements for the year ended 31 March 2023
(All amounts in INR lakhs, unless stated otherwise)

4.4. Right-of-use assets

	Buildings	Vehicles	Equipments	Computer Equipments	Land	Total
Gross carrying amount						
Balance as at 1 April 2021	15,590	7,622	-	2,587	6,816	32,615
Additions/ modifications during the year	794	1,202	2,001	1,368	-	5,365
Adjustment / Reclassification	(121)	(1,669)	166	1,624	-	-
Disposal / derecognized during the year	(566)	(502)	-	-	-	(1,068)
Balance as at 31 March 2022	15,697	6,653	2,167	5,579	6,816	36,912
Additions/ modifications during the year	483	1,128	-	3,058	-	4,669
Disposal / derecognized during the year	(49)	(144)	(25)	-	-	(218)
Balance as at 31 March 2023	16,131	7,637	2,142	8,637	6,816	41,363
Accumulated depreciation						
Balance as at 1 April 2021	10,479	4,677	-	597	509	16,262
Depreciation expense	952	1,099	447	2,125	74	4,697
Adjustment / Reclassification	3,220	(840)	94	746	-	3,220
Balance as at 31 March 2022	14,651	4,936	541	3,468	583	24,179
Depreciation expense	741	1,060	455	1,560	74	3,890
Balance as at 31 March 2023	15,392	5,996	996	5,028	657	28,069
Net carrying amount as at 31 March 2022	1,046	1,717	1,626	2,111	6,233	12,733
Net carrying amount as at 31 March 2023	739	1,641	1,146	3,609	6,159	13,294

4.5. Lease liabilities

	Buildings	Vehicles	Equipments	Computer Equipments	Total
Balance as at 1 April 2021	1,922	2,164	74	2,785	6,945
Additions/ modifications during the year	791	1,206	2,002	1,345	5,344
Accrual of finance cost	50	33	8	28	119
Payments	(995)	(1,183)	(485)	(2,174)	(4,837)
Adjustment for termination of leases	(629)	(514)	-	-	(1,143)
Balance as at 31 March 2022	1,139	1,706	1,599	1,984	6,428
Current	764	864	397	876	2,901
Non-current	375	842	1,202	1,108	3,527
Balance as at 1 April 2022	1,139	1,706	1,599	1,984	6,428
Additions/ modifications during the year	483	1,099	-	3,010	4,592
Accrual of finance cost	22	65	14	111	212
Payments	(800)	(1,111)	(455)	(1,734)	(4,100)
Adjustment for termination of leases	(51)	(156)	(26)	-	(233)
Balance as at 31 March 2023	793	1,604	1,132	3,371	6,900
Current	550	725	364	1,206	2,845
Non-current	243	879	768	2,165	4,055

Note:

(i) Lease hold land includes land amounting to INR 6,816 (previous year 6,816) representing land leased from Maharashtra Industrial Development Corporation taken on 17 September 2012 for a period of 95 years.

Amounts recognized in statement of profit and loss

	For the year ended 31 March 2023	For the year ended 31 March 2022
Depreciation on right of use assets	3,890	4,697
Interest on lease liabilities	212	119
Expense relating to low value assets	11,017	10,816
Total	15,119	15,632

Contractual maturities of lease liabilities on an undiscounted basis are as follows:

	As at 31 March 2023	As at 31 March 2022
Less than one year	3,253	3,146
One to five years	4,775	3,647
Total	8,028	6,793

Principal and interest repayment are as follows:

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Principal repayments	3,887	4,718
Interest expense	212	119
Total	4,100	4,837



GE India Industrial Private Limited

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Notes to the standalone financial statements for the year ended 31 March 2023

(All amounts in INR lakhs, unless stated otherwise)

4.6 - Investment Property

Particulars	Land*	Building	Total
Gross carrying value as at 31 March 2021	332	14,691	15,023
Additions	-	-	-
Deletions	-	-	-
Transferred (to)/from property, plant and equipment (refer note 4.1)	63	(3,564)	(3,501)
Gross carrying value as at 31 March 2022	395	11,127	11,522
Additions	-	-	-
Deletions	-	-	-
Transferred (to)/from property, plant and equipment (refer note 4.1)	269	838	1,107
Gross carrying value as at 31 March 2023	664	11,965	12,629
Accumulated depreciation as at 31 March 2021	-	5,967	5,967
For the year	-	233	233
Deletions	-	-	-
Transferred (to)/from property, plant and equipment	-	(1,372)	(1,372)
Accumulated depreciation as at 31 March 2022	-	4,828	4,828
For the year	-	271	271
Deletions	-	-	-
Transferred (to)/from property, plant and equipment	-	513	513
Accumulated depreciation as at 31 March 2023	-	5,612	5,612
Net Carrying Value			
As at 31 March 2022	395	6,299	6,694
As at 31 March 2023	664	6,353	7,017

*Land value proportionately designated as investment property based on intended use of assets.

(i) Amount recognized in profit or loss for investment property

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Rental income from investment property	4,106	6,536
Direct operating expenses *	2,004	898
Profit from investment property before depreciation	2,102	5,638
Depreciation during the year	271	233
Profit from investment property	1,831	5,405

*Allocated based on area let out

(ii) Fair Value

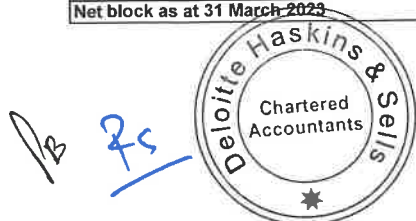
Particulars	As at 31 March 2023	As at 31 March 2022
Investment property	60,123	52,170

Estimation of Fair Value

The company carried out fair valuation of Investment Property as per market approach. Valuation was conducted by an External Independent Valuer, registered under the Companies (Registered Valuers and Valuation) Rules, 2017. While applying the market approach, consideration has also been given to circle rates issued by the relevant regulatory authority.

4.7 - Other intangible assets

Particulars	Computer software
Gross block as at 31 March 2021	6,620
Additions	58
Deletions	(6)
Gross block as at 31 March 2022	6,672
Additions	156
Adjustment	-
Deletions	(37)
Gross block as at 31 March 2023	6,791
Accumulated depreciation as at 31 March 2021	6,472
For the year	121
Additions	-
Deletions	(6)
Accumulated depreciation as at 31 March 2022	6,587
For the year	69
Adjustment	-
Deletions	(37)
Accumulated depreciation as at 31 March 2023	6,619
Net block as at 31 March 2022	85
Net block as at 31 March 2023	172



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Notes to the standalone financial statements for the year ended 31 March 2023
(All amounts in INR lakhs, unless stated otherwise)

4.8 - Investments

Particulars	As at 31 March 2023		As at 31 March 2022	
	Current	Non Current	Current	Non Current
Category-wise investment				
Investment in Equity Instruments	4	27	-	22
Investment in Mutual Funds (Quoted)	52,089	-	169,074	-
	52,093	27	169,074	22

(I) Non-current investments

Particulars	As at 31 March 2023	As at 31 March 2022
Unquoted (Measured at cost)		
Investment in Equity Instruments - Associate		
GE Power Systems India Private Limited	59,872	59,867
- 514,091,340 (31 March 2022: 514,042,340) equity shares of INR 10 each fully paid up		
Less: Impairment losses (refer note 4.49)	(59,845)	(59,845)
	27	22
Aggregate cost of unquoted investments	59,872	59,867
Aggregate amount of impairment in value of investments	59,845	59,845

(II) Current investments

Particulars	As at 31 March 2023	As at 31 March 2022
Unquoted (Measured at cost)		
Investment in Equity Instruments - Subsidiary		
GE Renewable Energy Technologies Private Limited	4	-
45,000 (31 March 2022: Nil) equity shares of INR 10 each fully paid up		
Investments carried at fair value through profit or loss		
Investment in mutual funds, quoted	52,089	169,074
	52,093	169,074
Aggregate cost of quoted investments	51,029	165,146
Aggregate cost of unquoted investments	4	-

4.9 - Trade receivables *

(I) Trade receivables - non-current

Particulars	As at 31 March 2023	As at 31 March 2022
Unsecured		
- Considered good	3,786	-
- Credit impaired	-	1,030
	3,786	1,030
Less: Expected credit loss	-	(1,030)
	3,786	-



(II) Trade receivables - current

Particulars	As at 31 March 2023	As at 31 March 2022
<i>Unsecured</i>		
Considered good		
- Related parties (refer note 4.45)	22,869	20,077
- Others	65,519	76,919
	5,371	21,019
<i>Credit impaired</i>		
	93,759	118,015
Less: Expected credit loss	(5,371)	(21,019)
	88,388	96,996

* Refer note 4.37

Ageing of trade receivable*

	As at 31 March 2023					As at 31 March 2022				
	Undisputed, considered good	Undisputed, considered credit impaired	Disputed, considered good	Disputed, considered credit impaired	Total	Undisputed, considered good	Undisputed, considered credit impaired	Disputed, considered good	Disputed, considered credit impaired	Total
Not Due	65,605	2,873	-	-	68,478	71,259	4,547	-	-	75,806
Less than 6 months	26,095	162	-	-	26,257	24,254	6,987	-	-	31,241
6 months to 1 year	356	330	-	-	686	1,378	371	-	-	1,749
1-2 years	43	43	-	-	86	105	515	-	2,400	3,020
2-3 years	75	-	-	-	75	-	157	-	-	157
More than 3 year	-	1,963	-	-	1,963	-	1,800	-	5,272	7,072
	92,174	5,371	-	-	97,545	96,996	14,377	-	7,672	119,045

*As per guidelines issued by the Reserve Bank of India (RBI), the Company is required to realize foreign currency receivables within a stipulated time period. The Company has foreign currency receivables amounting to INR 154 (previous year INR 391) which are outstanding for a period of more than nine months. The management believes that the Company will be able to obtain approvals, if applicable, from the authorities for realizing such amounts.

4.10 - Loans *

(I) Loans - non-current

Particulars	As at 31 March 2023	As at 31 March 2022
<i>Advances recoverable in cash or kind</i>		
<i>Unsecured</i>		
-Credit impaired**	-	4,350
Less: Expected credit loss	-	(4,350)
	-	-

**Includes loan granted to subcontractor in lieu of project cost.

(II) Loans - current

Particulars	As at 31 March 2023	As at 31 March 2022
<i>Unsecured, considered good</i>		
Inter-corporate deposits (refer note 4.47)*		
- Related parties (refer note 4.45) #	122,585	142,892
Balance with employees	78	46
	122,663	142,938
<i>Unsecured, credit impaired</i>		
Balance with employees	56	73
Less: Expected credit loss	(56)	(73)
	122,663	142,938

* Refer note 4.35

Rate of interest range between 5.007% p.a. to 8.09% p.a. (3.72% p.a. to 5.60% p.a.)

*Inter corporate deposit to related parties includes loan given to GE Power Systems India Private Limited, an associate, with outstanding balance as at March 31, 2023 of INR 49,435 (March 31, 2022: INR 51,953). This loan and other recoverable is supported by the parent of the said associate, GE Power Netherlands B.V., who has contractually unlimited access to General Electric Company's, ultimate holding company, liquidity through its cash pool arrangement.

As per the plan and in line with the global announcement, the Company will be an Aviation focused entity and plans to spin off Energy divisions into a separate legal entity and a separate Energy cash pool will be created. This cash pool will support GE Power Systems India Private Limited (associate) to pay off its debt to the Company.

4.11 - Other financial assets - non-current

Particulars	As at 31 March 2023	As at 31 March 2022
<i>Security deposits</i>		
<i>Unsecured</i>		
- Considered good	984	1,238
- Considered doubtful	83	83
Less: Expected credit loss	(83)	(83)
	984	1,238



4.12 - Income tax expense/(credit)

Income tax expense/(credit) recognized in Statement of Profit and Loss

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Tax expense from continuing operations:		
Current tax	21,728	8,990
Deferred tax expense/(credit)	3,773	3,984
Tax relating to earlier years		
- Current tax	(1,789)	3,092
- Deferred tax expense/(credit)	-	(2,058)
	23,712	14,008
Tax expense from discontinuing operations:		
Current tax	300	304
Deferred tax expense	386	(57)
Tax relating to earlier years		
- Current tax	(62)	(33)
- Deferred tax expense/(credit)	-	-
	624	214
Total tax expense	24,336	14,222

Reconciliation of tax expenses and accounting profit on applicable tax rate

Particulars	For the year ended	
	2023	2022
Accounting profit (Profit before tax from continuing and discontinuing operations)	99,966	7,270
Enacted tax rate in India	25.17%	25.17%
Tax using the Company's domestic rate of 25.168% (March 31, 2021: 25.168%)	25,160	1,830
Provision for impairment of investment in associate (refer note 4.49)	-	9,476
Profit on account of business combination as per Ind AS 103	-	(264)
Adjustments on account of assets acquired pursuant to purchase of business	(192)	
Tax effect of non deductible expenses	236	185
Items of income taxed at different tax rates	-	(5)
Adjustments on account of transfer of assets and liabilities pursuant to sale of business	288	-
Tax adjustments for earlier years	(961)	3,059
Tax effect on defined employee benefit plans		
Other adjustments	(195)	(60)
Income tax expense/(credit) recognized in Statement of Profit and Loss	24,336	14,222

Recognized deferred tax assets and liabilities as at 31 March 2023

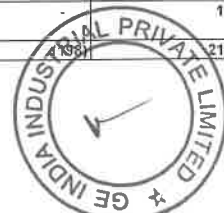
The following is movement of deferred tax assets tax assets/ liabilities presented in balance sheet

Particulars	Opening balance	Recognized in profit and loss	Recognized in OCI / Equity	Closing balance
Deferred tax assets				
Provision for doubtful debts and advances	8,438	(5,285)	-	3,153
Provisions for retirement benefits	4,909	704	215	5,828
Provision for pending sales tax forms and other sales tax disputes	846	(159)	-	687
Provision for onerous contracts/ provision for foreseeable losses	313	(72)	-	241
Provision for merger expenses	51	14	-	65
Provision for impairment on investment (refer note below)	-	-	-	-
Property, plant and equipment	758	243	-	1,001
Provision for contingency, claims and pending litigations	1,387	(188)	-	1,199
Year end accruals not allowable under section 37 of the Income-tax Act, 1961	658	(657)	-	1
Provision for warranty	1,998	504	-	2,502
Lease liabilities	1,612	124	-	1,736
Others	1,144	(520)	-	624
Total deferred tax assets	22,114	(5,292)	215	17,037
Deferred tax liabilities				
Others	1,033	(702)	-	331
	1,033	(702)	-	331
Deferred tax assets, net	21,081	(4,590)	215	16,706

Recognized deferred tax assets and liabilities as at 31 March 2022

The following is movement of deferred tax assets tax assets/ liabilities presented in balance sheet

Particulars	Opening balance	Recognized in profit and loss	Recognized in OCI / Equity	Closing balance
Deferred tax assets				
Provision for doubtful debts and advances	7,400	1,038	-	8,438
Provisions for retirement benefits	3,720	1,387	(198)	4,909
Provision for pending sales tax forms and other sales tax disputes	1,051	(205)	-	846
Provision for onerous contracts/ provision for foreseeable losses	3,563	(3,250)	-	313
Provision for merger expenses	711	(660)	-	51
Provision for impairment on investment (refer note below)	1,732	(1,732)	-	-
Property, plant and equipment	699	59	-	758
Provision for contingency, claims and pending litigations	1,494	(107)	-	1,387
Year end accruals not allowable under section 37 of the Income-tax Act, 1961	1,018	(360)	-	658
Provision for warranty	-	1,998	-	1,998
Lease liabilities	1,748	(136)	-	1,612
Others	845	299	-	1,144
Total deferred tax assets	23,981	(1,669)	(198)	22,114
Deferred tax liabilities				
Others	1,033	-	-	1,033
	1,033	-	-	1,033
Deferred tax assets, net	22,948	(1,669)	(198)	21,081



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4.13 - Non current tax assets (net)

Particulars	As at 31 March 2023	As at 31 March 2022
Advance tax and tax deducted at source, net of provision for taxation	11,838	14,605
	11,838	14,605

4.14 - Other assets

(I) Other non-current assets

Particulars	As at 31 March 2023	As at 31 March 2022
Advances		
<i>Unsecured, considered good</i>		
Prepaid expenses	169	352
Balances with customs, excise and other authorities	3,591	4,374
	3,760	4,726
<i>Considered doubtful</i>		
Balances with customs, excise and other authorities	13,078	13,143
Less: Expected credit loss	(13,078)	(13,143)
	3,760	4,726

(II) Other current assets

Particulars	As at 31 March 2023	As at 31 March 2022
Advances		
<i>Unsecured, considered good</i>		
Advance to suppliers	5,005	434
Deferred cost for contract inventory	4,576	4,364
Prepaid expenses	2,629	2,689
Balances with customs, excise and other authorities	22,223	24,069
Others	4,788	4,157
	39,221	35,713
<i>Unsecured, considered doubtful</i>		
Balances with customs, excise and other authorities	131	68
Advance to suppliers	13	-
Others	270	266
Less: Expected credit loss	(414)	(334)
	39,221	35,713

4.15 - Inventories

(valued at lower of cost and net realizable value)

Particulars	As at 31 March 2023	As at 31 March 2022
Raw materials, packing material and components (includes Goods in transit INR 8,766 (INR 10,132 for 31 March 2022))	49,065	40,006
Finished goods	15,250	13,536
Work-in-progress	5,110	5,888
Stock-in-trade	41,804	29,166
(includes Goods in transit INR 76 (INR 784 for 31 March 2022))		
Contract inventory with customers	8,158	3,924
	119,387	92,520

Note:

Inventories have been reduced by INR 4,671 (31 March 2022 : reduced by INR 8,793) as a result of write-down to net realizable value. The write-downs and reversals are included in cost of sales.



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4.16 - Cash and cash equivalents

Particulars	As at 31 March 2023	As at 31 March 2022
Cash and cash equivalents		
Balance with banks		
On current accounts	32,116	83,779
On deposit accounts (with original maturity of 3 months or less)	110,001	120,000
On Exchange Earners Foreign Currency (EEFC) accounts	14,935	9,550
	157,052	213,329

4.16(a) - Bank balances other than cash and cash equivalents

Particulars	As at 31 March 2023	As at 31 March 2022
Bank balances other than cash and cash equivalents		
Bank balance in deposit accounts*	300	1,264
	300	1,264

*Fixed deposits as restricted and held on behalf of fellow subsidiaries i.e. GE Energy Parts, Inc., GE Packaged Power LLC and General Electric International Inc. (refer note 4.45)

4.17 - Other financial assets (current) (refer note 4.37)

Particulars	As at 31 March 2023	As at 31 March 2022
Interest accrued on inter-corporate deposits		
- Related parties (refer note 4.45)	2,117	2,200
Interest accrued on term deposit accounts	364	173
Unbilled revenue		
- Related parties (refer note 4.45)	4,556	2,904
- Others	4,972	6,181
Security deposits	622	580
	12,631	12,038

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4.18 - Equity share capital

Particulars	As at 31 March 2023	As at 31 March 2022
Authorized		
30,877,959,000 equity shares of INR 1 each (31 March 2022: 30,877,959,000 equity shares of INR 1 each)	308,780	308,780
	308,780	308,780
Issued, subscribed and paid-up		
25,472,770,575 equity shares of INR 1 each (31 March 2022: 25,472,770,575 equity shares of INR 1 each)	254,728	254,728
	254,728	254,728

(I) Reconciliation of number of shares and amount outstanding at the beginning and at the end of the financial year is as under:

Particulars	For the year ended 31 March 2023		For the year ended 31 March 2022	
	No. of Shares	Amount	No. of Shares	Amount
Equity shares				
Opening balance	254,728	254,728	254,728	254,728
Issued during the year	-	-	-	-
Closing balance	254,728	254,728	254,728	254,728

Notes :

(i) Rights, preferences and restrictions attached to equity shares

The Company has a single class of equity shares of INR 1 each. Accordingly, all equity shares rank equally with regard to dividends and share in the Company's residual assets. The equity shares are entitled to receive dividend as declared from time to time subject to payment of dividend to preference shareholders. The voting rights of an equity shareholder on show of hands are in proportion to its share of the paid-up equity capital of the Company. Voting rights cannot be exercised in respect of shares on which any call or other sums presently payable have not been paid.

On winding up of the Company, the holders of equity shares will be entitled to receive the residual assets of the Company, remaining after distribution of all preferential amounts in proportion to the number of equity shares held.

(II) Shares held by holding Company or ultimate holding Company and/or their subsidiaries or associates:

Particulars	As at 31 March 2023		As at 31 March 2022	
	No. of shares	Amount	No. of shares	Amount
Equity shares of INR 1 each fully paid up held by				
(i) GE Aviation Global Holdings BV, Netherlands (Holding company)	254,728	254,728	254,728	254,728
(ii) GE Brazil Holding Limited (as nominee of GE Aviation Global Holdings BV)	0	0	0	0
	254,728	254,728	254,728	254,728

(III) Detail of shareholders holding more than 5% shares of a class of shares and shares held by promoters:

Name of the shareholder	As at 31 March 2023		As at 31 March 2022	
	No. of shares	% holding	No. of shares	% holding
Equity shares of INR 1 each fully paid up held by				
(i) GE Aviation Global Holdings BV, Netherlands (Holding company)	254,728	99.99%	254,728	99.99%
	254,728	99.99%	254,728	99.99%

(IV) The Company has not allotted any fully paid up equity shares by way of bonus shares nor has bought back any class of equity shares during the period of five years immediately preceding the balance sheet date.

(V) No share issued for consideration other than cash during last 5 years.

(VI) Preference share capital

Particulars	As at 31 March 2023	As at 31 March 2022
Authorized		
569,04,000 - 6.60% cumulative redeemable preference shares of INR 10 each (31 March 2022: 56,904,000)	5,690	5,690
22,500,000 - 6.60% cumulative redeemable non-convertible preference shares of INR 10/- each (31 March 2022: 22,500,000)	2,250	2,250
10 - 1% non-cumulative redeemable preference shares of INR 100 each * (31 March 2022: 10)	0	0
	7,940	7,940

Notes :

(i) Rights, preferences and restrictions attached to preference shares

Preference shares carries a preferential right as to dividend over equity shareholders. Where dividend on preference shares is not declared for a financial year, the entitlement thereto is carried forward. The preference shares are entitled to one vote per share at meetings of the company on any resolutions of the Company directly affecting their rights. In the event of liquidation, preference shareholder have a preferential right over equity shareholders to be repaid to the extent of capital paid up and dividend in arrears on such shares.



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4.19 - Other equity

Particulars	As at 31 March 2023	As at 31 March 2022
Capital reserve		
Opening Balance	(196,358)	(195,755)
On account of business combination (refer I(e) below)	-	(603)
On account of discontinued operations (refer I(f) below)	0	-
Closing balance	(196,358)	(196,358)
Capital redemption reserve		
Opening balance	1,810	1,810
Closing balance	1,810	1,810
Retained earnings		
Opening balance	116,968	123,330
Add: Profit in the statement of profit and loss	75,415	(6,952)
Add: Remeasurement of defined benefit obligations	(639)	590
Closing balance	191,744	116,968
Securities premium		
Opening balance	88,050	88,050
Closing balance	88,050	88,050
	85,246	10,470

Nature and Purpose of Reserves

(I) Capital reserve

(a) Capital reserve was created on account of employee stock option scheme amounting to INR 183.

(b) Capital reserve on account of amalgamation

The Company adopted Ind AS on 1 April 2017, with a transition date of 1 April 2016. Accordingly, on transition, loss on amalgamation of business between entities under common control, has been accounted for in accordance with Ind AS 103 "Business Combinations" and accordingly "Deficit on account of amalgamation" has been transferred to capital reserve amounting to INR (185,710).

(c) Capital reserve on account of business combination with GE T&D Limited

On 3 November 2017, the Company had acquired accounting support services business (GFSS division) from GE T&D India Limited at a purchase consideration of INR 650 (based on valuation from external expert). Considering entities are under common control prior and post effectiveness of combination, the restructuring has been accounted for using the "Pooling of interest method" amounting to INR (742).

(d) Capital reserve on account of demerger

Capital reserve on account of demerger amounting to INR 4,462 as at 31 March 2021

(e) On 31 March 2022, the Company had acquired Global Engineering Operations division from GE T&D Limited at a purchase consideration of INR 14,060 under common control transaction. In accordance with IND AS 103 'Business Combination', excess of purchase consideration paid over the net assets has been transferred to Capital Reserve amounting to Rs. (14,551).

(f) Capital reserve on account of discontinued operations

On 31 December 2022, the Company has transferred its India Innovation Centre Division to Meridium Services and Labs Private Limited a fellow subsidiary together with the assets and manpower comprised therein on a slump sale basis for a total cash consideration of INR 16.50. In the absence of any explicit guidance regarding the accounting treatment to be followed in common control transactions in the books of the transferor, the excess of consideration received over carrying value of net assets amounting to INR 0.04, has been credited to capital reserve.

(II) Capital redemption reserve

6.60 % cumulative redeemable preference shares amounting to INR 1,810 issued by the Company to GE Medical Systems India Private Limited were redeemed at par on 24 May 2007. As per the requirements of Section 80 of the erstwhile Companies Act, 1956, the Company had transferred, in the earlier year, an amount equal to the nominal amount of shares redeemed i.e. INR 1,810 to capital redemption reserve account out of the surplus (profit and loss balance) available on that date.

(III) Retained earnings

Retained earnings represents accumulated earnings of the Company including other comprehensive income and re-measurement differences on defined benefits plan.

(IV) Security premium

Security premium represents premium on issue of shares.

4.20 - Borrowings

Particulars	Rate of Interest	As at 31 March 2023	As at 31 March 2022
Loans repayable on demand			
<i>Unsecured</i>			
- From related parties (refer note 4.45)			
Inter-corporate deposits (refer note 4.47)	4.667% p.a. to 7.38% p.a. [previous year 3.63% p.a. to 5.35% p.a.]	50,122	258,784
- From banks			
Overdraft	6.80% p.a. [previous year 6.80% p.a.]	-	10,501
		50,122	269,285

4.21 - Other financial liabilities

(I) Other financial liabilities - non current

Particulars	As at 31 March 2023	As at 31 March 2022
Employee stock option payable (refer note 4.43)	1,054	967
	1,054	967



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(II) Other financial liabilities - current

Particulars	As at 31 March 2023	As at 31 March 2022
Interest accrued but not due on inter-corporate deposits (refer note 4.45)	600	2,493
Interest on dues to micro and small enterprises	1,060	813
Employee stock option payable (refer note 4.43)	6,471	6,069
Employee related payable	14,232	10,721
Security deposits	307	307
Capital creditors	411	818
Others	2	84
	23,083	21,305

4.22 - Provisions

(I) Provisions - non-current

Particulars	As at 31 March 2023	As at 31 March 2022
Provision for employee benefits	12,255	10,199
Gratuity (refer note (ii) below)	8,914	8,184
Compensated absences		
Others (refer note below)	3,393	2,408
Provision for warranty	-	-
Provision for onerous contracts	6	6
Provision for claims and litigations	24,568	20,797

(II) Provisions - current

Particulars	As at 31 March 2023	As at 31 March 2022
Provision for employee benefits	632	379
Gratuity (refer note (ii) below)	2,402	1,940
Compensated absences		
Others (refer note below)	6,548	5,529
Provision for warranty	960	1,087
Provision for onerous contracts	9,671	10,948
Provision for claims and litigations	20,213	19,883

Notes -

(i) Movement in provisions

For the year ended 31 March 2023

Nature of Provision	Balance as at 1 April 2022	Provisions made during the year	Provisions Reversed during the year	Utilizations during the year	Adjustment*	Balance as at 31 March 2023
Warranty	7,937	5,734	3,479	251	-	9,941
Onerous Contracts	1,087	584	711	-	-	960
Provision for claims and litigations	10,954	1,065	1,157	1,366	181	9,677

*Reclassification of INR 181 from other current liabilities.

For the year ended 31 March 2022

Nature of Provision	Balance as at 1 April 2021	Provisions made during the year	Provisions Reversed during the year	Utilizations during the year	Adjustment	Balance as at 31 March 2022
Warranty	4,554	7,318	2,654	1,281	-	7,937
Onerous Contracts	14,058	1,640	8,363	6,248	-	1,087
Provision for claims and litigations	12,104	1,409	2,058	501	-	10,954

(a) Warranty

Warranty costs are estimated on the basis of contractual agreement and after considering recent historical trends and past experience. The timing of outflows is expected to be as per warranty periods as specified in various contracts.

(b) Contingencies, claims and litigations

Provision for claims and litigations represents estimates made for probable claims arising out of litigations and disputes with authorities under various states (i.e. sales tax, duties of excise, service tax, value added tax, customs, income tax etc.) and related to stamp duty matters.

(c) Onerous contracts

The provision for onerous contracts is recognized in respect of contracts with customers wherein the expected unavoidable costs of fulfilling the obligations under the contract exceed the economic benefits to be derived from them.



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(ii) Employee benefit obligations

A) Gratuity

The Company makes contribution towards gratuity to a defined retirement benefits plan for qualifying employees. Gratuity is funded through an insurance policy with LIC for certain divisions of the Company.

The following table summarises the components of employee benefit expense recognised in the statement of profit and loss and the funded status and amounts in the Balance sheet respective plans.

(a) Reconciliation of present value of defined benefit obligation and the fair value of plan assets		
Particulars	As at 31 March 2023	As at 31 March 2022
Present value obligation as at the end of the year	20,363	18,530
Fair value of plan assets as at the end of the year	(7,476)	(7,952)
Net (asset)/liability recognized in the balance sheet	12,887	10,578
Provision for employee benefits - Gratuity (Non-current)	12,255	10,199
Provision for employee benefits - Gratuity (Current)	632	379
Total	12,887	10,578

(b) Changes in defined benefit obligations		
Particulars	As at 31 March 2023	As at 31 March 2022
Present value of obligations as at the beginning of the year	18,530	17,396
Current service cost	1,968	1,769
Interest cost	1,138	1,045
Benefits paid	(1,584)	(993)
Actuarial loss/(gain) on obligations	928	(710)
Liabilities assumed in a business combination	-	23
Settled on divestiture (slump sale)	(617)	-
Present value of obligations as at the end of the year	20,363	18,530

(c) Changes in the fair value of plan assets		
Particulars	As at 31 March 2023	As at 31 March 2022
Fair value of plan assets at the beginning of the year	7,952	7,850
Expected return on plan assets	525	505
Contributions	124	512
Benefits paid	(1,183)	(993)
Actuarial (loss)/gain on plan assets	74	78
Settled on divestiture (slump sale)	(16)	-
Fair value of plan assets at the end of the year	7,476	7,952

(d) Amount recognized in the statement of profit and loss		
Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Current service cost	1,968	1,769
Net interest cost	613	540
Amount recognized in the statement of profit and loss	2,581	2,309

(e) The major categories of plan assets as a percentage of the fair value of total plan assets are as follows:		
Particulars	As at 31 March 2023	As at 31 March 2022
Investment funds	Unquoted-100%	Unquoted-100%
Investment with Insurer under cash accumulation scheme	7,476	7,952

The overall expected rate of return on assets is determined based on the market prices prevailing on that date, applicable to the period over which the obligation is to be settled.

(f) Other Comprehensive Income		
Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Actuarial loss/(gain) arising from change in financial assumptions	84	(332)
Actuarial loss/(gain) arising from change in demographic assumptions	209	435
Actuarial loss/(gain) arising on account of experience adjustments	635	(813)
Actuarial gain/(losses) on plan assets	(74)	(78)
Total other comprehensive (income)/loss	854	(788)



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(g) Actuarial assumptions for gratuity and compensated absences

Particulars	As at 31 March 2023	As at 31 March 2022
Discount rate (refer table below)	7.54%	6.58%
Expected rate of salary increase*	10.90%	9.37%
Expected rate of return on plan assets	6.61%	6.43%
Retirement age	60 years	60 years

*The estimate of expected rate of salary increase considered for the purpose of actuarial valuation take into account of inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market.

Division	Discount rate	Expected rate of salary increase
India Technology Center	7.55%	9.93%
Energy Applications and Systems Engineering	7.55%	12.30%
One Corporate	7.55%	10.50%
Energy	7.55%	10.33%
Hyderabad Technology Centre	7.55%	10.38%
Multi Model Facility	7.55%	12.63%
Digital Energy	7.45%	10.00%
Wind	7.55%	11.15%
	7.54%	10.90%

(h) Sensitivity Analysis

Particulars	As at 31 March 2023		As at 31 March 2022	
	Discount Rate	Salary Escalation Rate	Discount Rate	Salary Escalation Rate
Impact of Increase in 50 bps on defined benefit obligations	(810)	845	(1,082)	366
Impact of decrease in 50 bps on defined benefit obligations	866	(798)	388	(1,071)

(i) History of Defined benefit obligations and experience (gains) and losses

Particulars	As at 31 March 2023	As at 31 March 2022	As at 31 March 2021	As at 31 March 2020	As at 31 March 2019
Defined benefit obligation	20,363	18,530	17,396	18,733	15,812
Plan assets	7,476	7,952	7,849	8,100	8,047
Net obligation / (deficit)	(12,887)	(10,578)	(9,547)	(10,633)	(7,765)
Experience (gains) & losses on plan liabilities	928	(710)	(3,282)	1,565	(2,395)
Experience gains & (losses) on plan assets	(74)	(78)	(76)	148	112

B) Defined contribution plans

The Company also has certain defined contribution plans. Apart from being covered under the gratuity plan, the employees of the Company also participate in a defined contribution plan maintained by the Company under GE industrial solution superannuation fund trust. The said trust invests the contribution made by the members in the plan administered by the life insurance corporation of India. The Company makes annual contribution based on a specified percentage of each covered employee's salary.

In addition to the above, all employees receive benefits from a provident fund. The employee and employer each make monthly contributions to the plan equal to 12% of the covered employee's salary. A portion of the contribution is made to the provident fund trust established by the Company, while the remainder of the contribution is made to the Government's provident fund.

The interest rate payable by the trust to the beneficiaries is regulated by the statutory authorities. The Company has an obligation to make good the shortfall, if any, between the returns from its investments and the administered rate.

Particulars	As at 31 March 2023	As at 31 March 2022
Employer's contribution to provident fund	4,981	4,311
Employer's contribution to superannuation fund	66	63

4.23 - Other liabilities

(I) Other non-current liabilities

Particulars	As at 31 March 2023	As at 31 March 2022
Unearned income*	9,606	11,975
	9,606	11,975

(II) Other current liabilities

Particulars	As at 31 March 2023	As at 31 March 2022
Other payables		
Advances from customers	35,650	54,940
Unearned income*	39,017	46,026
Statutory liabilities	6,434	8,174
Other	1,509	2,209
	82,610	111,349

* Include dues to related parties (refer note 4.45)



4.24 - Trade payables* (Current)

Particulars	As at 31 March 2023	As at 31 March 2022
Total outstanding dues of micro enterprises and small enterprises (refer note below)	10,039	2,625
Total outstanding dues of creditors other than micro enterprises and small enterprises *	147,311	166,324
	157,350	168,949

* Includes dues to related parties (refer note 4.45).

Ageing of Trade Payable

Year ended 31 March 2023

	Not Due*	Less than 1 year	1-2 years	2-3 years	More than 3 year	Total
Undisputed outstanding dues of micro enterprises and small enterprises	8,059	1,963	17	-	-	10,039
Undisputed outstanding dues of other than micro enterprises and small enterprises	101,930	41,193	957	326	2,905	147,311
Disputed outstanding dues of micro enterprises and small enterprises	-	-	-	-	-	-
Disputed outstanding dues of other than micro enterprises and small enterprises	-	-	-	-	-	-
Total	109,989	43,156	974	326	2,905	157,350

Year ended 31 March 2022

	Not Due*	Less than 1 year	1-2 years	2-3 years	More than 3 year	Total
Undisputed outstanding dues of micro enterprises and small enterprises	1,997	618	2	-	8	2,625
Undisputed outstanding dues of other than micro enterprises and small enterprises	73,517	86,481	-	762	5,564	166,324
Disputed outstanding dues of micro enterprises and small enterprises	-	-	-	-	-	-
Disputed outstanding dues of other than micro enterprises and small enterprises	-	-	-	-	-	-
Total	75,514	87,099	2	762	5,572	168,949

*includes unbilled dues.

As per guidelines issued by the Reserve Bank of India (RBI), the Company is required to make foreign currency payments within a stipulated time period. The Company has foreign currency payables amounting to INR 5,147 (Previous year INR 11,126) which are outstanding for a period of more than six months. The management believes that the Company will be able to obtain approvals, if applicable, from the authorities for remitting such amounts.

Dues to Micro and Small Enterprises

The company has certain dues to suppliers registered under Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006). The disclosure pursuant to the said act are as follows:

Particulars	As at 31 March 2023	As at 31 March 2022
The amounts remaining unpaid to micro and		
Principal	10,039	2,625
Interest due thereon	297	27
The amount of interest paid by the buyer as per the Micro Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006), alongwith amounts of the payment made to supplier beyond the appointed date during each accounting year	2,562	21,224
The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act, 2006	40	91
The amount of interest accrued and remaining unpaid at the end of each accounting year	1,060	813
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under the MSMED Act, 2006	337	118

The above information relates to vendors identified as micro and small enterprises on the basis of information available with the Company.



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4.25 - Revenue from operations

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Sale of manufactured products (gross)	285,669	189,779
Sale of traded products	152,253	131,542
Sales of services (refer note (i) below)	242,651	192,296
Other operating revenues (refer note (ii) below)	177	221
	680,750	513,838

(i) Sale of services *

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Research and development services	138,853	109,710
Installation, operation and maintenance services	91,624	65,771
Marketing support services	12,174	16,815
	242,651	192,296

* Includes sales to related parties (refer note 4.45)

(ii) Other operating revenues

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Sale of scrap arising from manufacturing process	177	221
	177	221

4.26 - Other income

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Interest income	14,555	13,129
Net gain on sale of investments	10,384	370
Change in fair value of investments	-	3,736
Operating lease rentals	4,106	6,536
Facility income	9,553	7,634
Exchange gain (net)	365	17
Liabilities no longer required written back	718	1,048
Provisions no longer required written back *	19,614	13,965
Duty drawback and other incentives	2,885	1,635
Profit on sale of property, plant and equipment	-	252
Miscellaneous income	3,793	2,715
	65,973	51,037

*Includes provision for doubtful debts written back INR 17,468 (previous year INR 140)

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4.27 - Cost of materials consumed

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Raw materials, packing materials and components consumed		
Opening inventories	39,832	34,001
Add: Purchases	202,755	130,550
Less: Closing inventories	(48,733)	(40,006)
	193,854	124,545

4.28 - Purchases of stock-in-trade

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Purchase of traded products	162,304	134,048
	162,304	134,048

4.29 - Changes in inventories of finished goods, work-in-progress and stock-in-trade

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Opening inventories		
Finished goods	13,537	8,636
Work-in-progress	5,888	3,948
Stock-in-trade	29,166	31,578
	48,591	44,162
Less: Closing inventories		
Finished goods	15,250	13,536
Work-in-progress	5,110	5,888
Stock-in-trade	41,804	29,166
	62,164	48,590
	(13,573)	(4,428)

4.30 - Change in contract inventory with customers

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
At the beginning of the year	3,924	8,927
At the end of the year	8,158	3,924
	(4,234)	5,003

4.31 - Employee benefits expense

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Salaries and wages	119,351	103,630
Contribution to provident and other funds	6,103	5,339
Employee stock options expense (refer note 4.43)	1,655	1,503
Staff welfare expenses	4,807	5,616
	131,916	116,088

4.32 - Finance costs

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Interest on inter-corporate deposits (refer note 4.45)	10,252	9,481
Interest on lease liabilities	199	117
Interest - others	801	758
	11,252	10,356

4.33 - Depreciation and amortization

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Depreciation on property plant and equipment	12,914	14,110
Depreciation on investment property	271	233
Depreciation on right-of-use of assets	3,665	4,411
Amortization of intangible assets	69	121
	16,919	18,875



4.34 - Other expenses

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Consumption of stores, loose tools and spare parts	4,326	3,556
Power and fuel	3,701	2,907
Rent	15,960	13,960
Repairs and maintenance:		
- buildings	2,562	2,003
- plant and machinery	2,898	1,433
- others	5,272	5,918
Rates and taxes	1,563	1,698
Traveling and conveyance	6,400	1,498
Communication	3,005	2,794
Contract labour charges	2,397	1,864
Legal and professional fees (refer note (i) below)	4,599	2,769
Freight outward	7,551	11,396
Sales promotion and advertisement	1,667	928
Royalty	8,350	6,002
Corporate social responsibility (refer note (ii) below)	167	116
Loss on sale of property, plant and equipment (net)	55	-
Warranty and replacement expenses	2,246	4,686
Expected credit loss on advances	52	353
Expected credit loss on trade receivables	893	7,709
Bad debts and loans written off	2,562	4,427
Less : adjusted against provision for doubtful debts and loans	-2,550	-
Advances written off	42	805
Training and seminar expenses	241	201
Service charges	664	721
Outsourced service costs	46,338	31,829
Corporate charges	856	493
Change in fair value of investments	2,869	-
Property, plant and equipment written off	1	108
Miscellaneous expenses	7,822	6,109
	132,509	116,284

Notes :-

(i) Payments to the auditor (excluding applicable taxes)

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
As Auditor		
Statutory audit fees*	124	62
Tax audit fees	15	13
Certification and other services	4	5
Reimbursement of expenses	5	-
Total	148	80

*Including cost overrun of INR 30 with respect to financial year 2021-22.

(ii) Expenditure on Corporate Social Responsibility (CSR)

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
(a) Gross amount required to be spent by the Company	157	116
(b) Amount spent during the year		
(i) Construction/acquisition of any asset	-	-
(ii) On purposes other than (i) above *	167	116

* The Company has spent on the causes like promoting environmental sustainability and promoting education which are also prescribed under section 135 of Companies Act, 2013.



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4.35 - Discontinued Operations

During the year, the Company transferred its India Innovation Centre Division ("IIC") to Meridium Services and Labs Private Limited ("Meridium") a fellow subsidiary together with the assets and manpower comprised therein on a slump sale basis for a total cash consideration of INR 16.50. IIC is engaged in the business of providing software development and support services to its GE fellow subsidiaries on a cost-plus markup basis. The transfer of the IIC business represents a strategic sale out to Meridium for the purpose of integrating existing Software development services within Meridium.

In the absence of any explicit guidance regarding the accounting treatment to be followed in common control transactions in the books of the transferor, the excess of consideration received over carrying value of net assets amounting to INR 0.04, is credited to capital reserve. The above transaction was approved by Board of Directors.

Revenue and expenses, gains and losses (as given below) relating to the discontinued operations of this sub group has been eliminated from the continuing operations and are shown as a single line item on the face of the statement of profit or loss.

Statement of Profit and Loss	IIC	
	For the year ended 31 March 2023	For the year ended 31 March 2022
Income		
Revenue from operations	3,651	6,281
Other income	834	142
Total income	4,485	6,423
Expenses		
Employee benefits expense	2,479	3,865
Finance costs	1	2
Depreciation and amortization	261	307
Other expenses	434	1,431
Total expenses	3,175	5,605
Profit/(loss) before tax from discontinued operations	1,310	818
Add: Profit on disposal of divisions	0	-
Profit/(loss) from discontinued operations	1,310	818

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Net cash inflow/(outflow) from operating activities of discontinued operations	51	869
Net cash inflow/(outflow) from investing activities of discontinued operations	-	(80)
Net cash inflow/(outflow) from financing activities of discontinued operations	(228)	(289)
Net cash inflow/(outflow) from discontinued operations	(177)	501



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4.36 - Fair value measurements

A) Financial assets and liabilities

The accounting classification of each category of financial instruments and their carrying amounts are set out below:-

Particulars	Fair value through profit or loss		At cost		Fair value through other comprehensive income		Amortized cost	
	As at 31 March 2023	As at 31 March 2022	As at 31 March 2023	As at 31 March 2022	As at 31 March 2023	As at 31 March 2022	As at 31 March 2023	As at 31 March 2022
Financial Assets								
(i) Investments	52,089	169,074	31	22	-	-	92,174	96,996
(ii) Trade receivables	-	-	-	-	-	-	157,052	213,329
(iii) Cash and cash equivalents	-	-	-	-	-	-	300	1,264
(iv) Bank balances other than cash and cash equivalents	-	-	-	-	-	-	122,663	142,938
(v) Loans	-	-	-	-	-	-	13,615	13,276
(vi) Other financial assets	-	-	-	-	-	-	-	-
Total	52,089	169,074	31	22	-	-	385,804	467,803
Financial liabilities								
(i) Borrowings	-	-	-	-	-	-	50,122	269,285
(ii) Lease liabilities	-	-	-	-	-	-	6,900	6,429
(iii) Trade payables	-	-	-	-	-	-	157,350	168,949
(iv) Other financial liabilities	-	-	-	-	-	-	24,137	22,272
Total	-	-	-	-	-	-	238,509	466,935

B) Fair value hierarchy

The different levels of fair value have been defined below:

Level 1: Level 1 hierarchy includes financial instruments measured using quoted prices. This includes listed equity instruments and mutual funds that have quoted price.

Level 2: Directly (i.e. as prices) or indirectly (i.e. derived from prices) observable market inputs, other than Level 1 inputs; and

Level 3: Inputs which are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a net asset value or valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

B) (I) Financial assets and liabilities measured at fair value - recurring fair value measurements

Particulars	Refer	Level used	As at 31 March 2023	As at 31 March 2022
Financial Assets				
Investments in units of quoted mutual funds	(i)	1	52,089	169,074
Total			52,089	169,074

(i) Fair value of investments in mutual fund units is based on the net asset value (NAV) as stated by the issuers of these mutual fund units in the published statements as at the balance sheet date. NAV represents the price at which issuer will issue further units of mutual fund and the price at which issuers will redeem such units from investors.

B) (II) Fair value of financial assets and liabilities measured at amortized cost

The management assessed that fair values of cash and cash equivalents, trade receivables, loans, other financial assets, borrowings, lease liabilities, trade payables and other financial liabilities approximate their respective carrying amounts largely due to short term maturities of these instruments.

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4.37 - Financial risk management

Risk management

The Company's activities expose it to market risk, liquidity risk and credit risk. The management has the overall responsibility for the establishment and oversight of the Company's risk management framework. This note explains the sources of risk which the entity is exposed to and how the entity manages the risk and the related impact in the financial statements.

(A) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. The Company's exposure to credit risk is influenced mainly by cash and cash equivalents, trade receivables, loans and other financial assets measured at amortized cost. The Company continuously monitors defaults of customers and other counter parties and incorporates this information into credit risk controls.

(I) Credit risk management

Credit risk rating

The Company assesses and manages credit risk of financial assets based on following categories arrived on the basis of assumptions, inputs and factors specific to the class of financial assets.

- (i) Low credit risk on financial reporting date
- (ii) Moderate credit risk
- (iii) High credit risk

The Company provides for expected credit loss based on the following:-

Asset group	Basis of categorization	Provision for expected credit loss
Low credit risk	Investments, cash and cash equivalents, other bank balances and other financial assets	12 month expected credit loss
Moderate credit risk	Trade receivables, loans	Life time expected credit loss
High credit risk	Trade receivables, loans	Life time expected credit loss or fully provided for

Financial assets that exposes the entity to credit risk

Particulars	As at 31 March 2023	As at 31 March 2022
(i) Low credit risk on financial reporting date		
Investments	52,093	169,074
Cash and cash equivalent	157,052	213,329
Other financial assets	12,630	12,038
(ii) Moderate credit risk		
Trade receivables	92,174	96,996
Loans	122,663	142,938
(iii) High credit risk		
Trade receivables	5,371	22,049
Loans	56	73

(II) Credit risk exposure

Cash and cash equivalents

Credit risk relating to cash and bank balances is considered negligible as counterparties are banks. The management considers the credit quality of deposits with such banks to be good and reviews the banking relationships on an on-going basis.

Investments

Investments include investment in quoted mutual fund units having low credit risk.

Trade receivables

Trade receivables are mainly unsecured in nature and are derived from revenue earned from customers. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the credit worthiness of customers to whom the Company grants credit terms in the normal course of business.

Loans and other financial assets

Loans and other financial assets measured at amortized cost primarily includes loans given under cash pool arrangement to related parties and hence the credit risk is low. Other financial assets includes security deposits and unbilled revenue. Credit risk related to these financial assets are managed by monitoring the recoverability of such amounts continuously.



4.37 - Financial risk management (Cont'd)

(III) Provision for expected credit losses

(a) Expected credit loss for financial assets other than trade receivables

Company provides for expected credit losses on loans, advances and trade receivables by assessing individual financial instruments for expectation of any credit losses. Since, the Company deals with only high-rated banks and financial institutions, credit risk in respect of cash and cash equivalents and other bank balances is evaluated as very low. In respect of loans, comprising of security deposits, credit risk is considered low because the Company is in possession of the underlying asset. In respect of other financial assets, credit risk is evaluated based on Company's knowledge of the credit worthiness of those parties and loss allowance is measured as lifetime expected credit losses. The Company does not have any expected loss based impairment recognized on such assets considering their low credit risk nature, though incurred loss provisions are disclosed under each sub-category of such financial assets.

31 March 2023

Particulars	Gross carrying amount	Incurred loss	Carrying Amount net of impairment provision
Investments	52,093	-	52,093
Cash and cash equivalent	157,052	-	157,052
Other financial assets	12,631	-	12,631
Loans	122,719	56	122,663

31 March 2022

Particulars	Gross carrying amount	Incurred loss	Carrying Amount net of impairment provision
Investments	169,074	-	169,074
Cash and cash equivalent	213,329	-	213,329
Other financial assets	12,038	-	12,038
Loans	147,361	4,423	142,938

(b) Expected credit losses for financial assets under simplified approach

The Company has carried out a detailed analysis wherein they have identified certain divisions (as below) and recognized lifetime expected credit losses using a simplified approach. Under simplified approach the Company has calculated defined percentage of provision by analyzing historical trend of default relevant to each business segment based on the defined criteria and such provision percentage determined have been considered to recognize life time expected credit losses on trade receivables (other than those where default criteria are met).

31 March 2023

Particulars	Wind	One Corporate	Others
Gross carrying Amount	65,484	5,625	21,937
Expected loss rate	8%	0%	1%
Expected credit loss	5,068	23	281
Carrying amount of trade receivables	60,416	5,603	21,656

31 March 2022

Particulars	Wind	One Corporate	Others
Gross carrying Amount	79,821	5,286	19,587
Expected loss rate	8%	1%	0%
Expected credit loss	6,627	39	0
Carrying amount of trade receivables	73,194	5,247	19,586

Expected credit loss where credit risk has increased significantly

31 March 2023

Particulars	As at 31 March 2023	As at 31 March 2022
Gross carrying Amount	-	14,353
Expected loss rate	0%	100%
Expected credit loss	-	14,353
Carrying amount of trade receivables	-	-



4.37 - Financial risk management (Cont'd)

(B) Liquidity risk

Liquidity risk refers to the risk that the company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements.

The company's principal sources of liquidity are cash and cash equivalents and the cash flow that is generated from operations. The company believes that the working capital is sufficient to meet its current requirements. Accordingly, no liquidity risk is perceived.

Exposure to liquidity risk

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted.

Particulars as on 31 March 2023	Contractual cash flows			
	Carrying amount	Within 1 year	1-5 years	More than 5 years
Borrowings	50,122	50,122	-	-
Lease liabilities	6,900	2,845	4,055	-
Trade payable	157,350	157,350	-	-
Other financial liabilities	24,137	23,083	1,054	-

Particulars as on 31 March 2022	Contractual cash flows			
	Carrying amount	Within 1 year	1-5 years	More than 5 years
Borrowings	269,285	269,285	-	-
Lease liabilities	6,428	2,901	3,527	-
Trade payable	168,949	168,949	-	-
Other financial liabilities	22,272	21,305	967	-

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4.37 - Financial risk management (Cont'd)

(C) Market risk

Market risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises two types of risk namely: currency risk and interest rate risk. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

(I) Currency risk

The Company is exposed to currency risk on account of payables and receivables in foreign currency. The functional currency of the Company is Indian Rupee.

The exposure to foreign currency risk at the end of the reporting period expressed in INR are as follows :

(a) Foreign currency denominated financial assets and liabilities, translated at the closing rate, are as follows:

Particulars	31 March 2023				
	USD	EUR	GBP	CNY	Other Currencies
Earning/Receivable	34,399	1,495	105	-	238
Expenses/Payable	20,332	6,438	149	22,972	170
Net Assets/(Liabilities)	14,067	(4,943)	(44)	(22,972)	68

Particulars	31 March 2022				
	USD	EUR	GBP	CNY	Other Currencies
Earning/Receivable	25,924	648	76	-	196
Expenses/Payable	31,412	9,358	690	31,291	575
Net Assets/(Liabilities)	(5,488)	(8,710)	(614)	(31,291)	(379)

(b) Sensitivity Analysis

A reasonably possible change in foreign exchange rates by 10% would have increased/ (decreased) equity and profit or loss by the amounts shown below. This analysis assumes that all other variables in particular rates remain constant.

Particulars	Impact on Profit after tax	
	31 March 2023	31 March 2022
USD Sensitivity		
INR/USD - Increase by 10%	1,407	(416)
INR/USD - Decrease by 10%	(1,407)	416
EURO Sensitivity		
INR/EURO - Increase by 10%	(494)	(737)
INR/EURO - Decrease by 10%	494	737
GBP Sensitivity		
INR/GBP - Increase by 10%	(4)	(61)
INR/GBP - Decrease by 10%	4	61
CNY Sensitivity		
INR/CNY - Increase by 10%	(2,297)	(374)
INR/CNY - Decrease by 10%	2,297	374

(II) Interest rate risk

Interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's borrowings with floating interest rates.

(a) Exposure to interest rate risk

The Company's interest rate risk arises majorly from borrowings carrying floating rate of interest. These borrowings exposes the Company to cash flow interest rate risk. The exposure of the Company's borrowing to interest rate changes at the end of the reporting period are as follows:

Variable rate instruments	As at 31 March 2023	As at 31 March 2022
Current borrowings		
Inter-corporate deposits (refer note 4.47)	50,122	258,784
Bank Overdraft	-	10,501
Total	50,122	269,285

(b) Interest rate sensitivity analysis

A reasonably possible change of 100 basis point in interest rates at the reporting date would have affected the profit or loss by the amounts shown below:

Particulars	As at 31 March 2023	As at 31 March 2022
Interest rates - increase by 100 basis point (31 March 2022: 100 basis point)	501	2,693
Interest rates - decrease by 100 basis point (31 March 2022: 100 basis point)	(501)	(2,693)

The analysis is prepared assuming the amount of the borrowings outstanding at the end of the year was outstanding for the whole year.



4.37 - Financial risk management (Cont'd)

(III) Price risk

(a) Exposure:

The company's exposure to price risk arises from the investments held in mutual funds and classified in the balance sheet at fair value through profit and loss. To manage its price risk arising from the investments in mutual funds, the Company diversifies its portfolio.

(b) Sensitivity:

The below table summarizes the impact of increases/decreases of the index on Company's profit after tax. The analysis is based on the assumption that the NAV has increased or decreased by 12% with all other variables remain constant, and that all the Company's investments moved in line with index.

Particulars	Impact on Profit after tax	
	31 March 2023	31 March 2022
Investment in mutual funds, quoted		
Increase by 12%	6,251	20,289
Decrease by 12%	(6,251)	(20,289)

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4.38 - Capital Management

The Company's capital management objectives are to ensure the Company's ability to continue as a going concern by maintaining stable capital structure with the focus on total equity and future development of business, thereby increasing the confidence of stakeholders.

The Company monitors capital on the basis of carrying amount of equity and amount of borrowings adjusted for cash and cash equivalents and other liquid funds.

The Company manages its capital structure and make adjustments to it in the light of changes in the economic conditions and risk characteristics of the underlying assets for maintaining strong capital base so as to ensure independence, security as well as high financial flexibility for potential future borrowings, if required.

In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, return capital to shareholders or issue new shares. The amounts managed as capital by the Company are summarized as follows:-

Particulars	As at 31 March 2023	As at 31 March 2022
Short-term borrowings(including interest accrued, but not due)	50,722	271,778
Less: Cash and cash equivalents	(157,052)	(213,329)
Less: Investment in mutual funds	-	(169,074)
Total debt	(106,330)	(110,625)
Total equity	339,974	265,198
Debt to equity ratio	(31%)	(42%)

4.39 - Ratio Analysis

Ratio	Numerator	Denominator	31 March 2023	31 March 2022	% change	Reason for variance
Current ratio	Current Assets	Current Liabilities	1.76	1.29	37%	Better management of inventory and trade receivable in Renewables and Aviation.
Debt- Equity Ratio	Borrowings	Shareholder's Equity	0.15	1.02	(85%)	
Debt Service Coverage ratio	Earnings for debt service (Net profit before tax + Interest on borrowings)	Borrowings	2.07	0.20	922%	Reduction on account of repayment of borrowings under cash pool
Return on Equity ratio	Net Profits after taxes	Shareholder's Equity	0.25	(0.02)	(1130%)	During previous year there was an exceptional item - impairment loss for INR 37,652.
Inventory Turnover ratio	Cost of goods sold	Average Inventory	3.19	2.89	11%	-
Trade Receivable Turnover Ratio	Revenue from operations	Trade Receivable	7.20	5.54	30%	Improved Sales in current year for Renewables. Better management of Trade receivable
Trade Payable Turnover Ratio	Purchases + Other expenses	Average Trade Payables	2.89	1.68	72%	Better management of inventory in Renewables and Aviation.
Net Capital Turnover Ratio	Revenue from operations	Working capital (Current assets - Current liabilities)	2.66	3.02	(12%)	-
Net Profit ratio	Net Profits before taxes	Revenue from operations	0.17	0.09	98%	Improved overall margins in Sales from aviation and renewables segments
Return on Capital Employed	Earnings before finance cost and taxes	Capital Employed (Total Assets - Total Current Liabilities)	0.41	0.18	125%	Improved Earnings before finance cost and taxes over capital employed attributable to Renewables and Aviation business

4.40 - Contingent liabilities, contingent assets and commitments**(A) Contingent liabilities**

Particulars	As at 31 March 2023	As at 31 March 2022
(i) Demands relating to :		
- Direct Tax	6,484	6,587
- Indirect tax		
Service Tax	353	-
Custom Duty (refer note (c) below)	20,570	19,597
- Others	1,182	1,182
(ii) Claims not acknowledged as debt	240	2,040
Total	28,829	29,407

(a) Show cause notices 'SCN' including intimation prior to SCN relating to direct and indirect taxes have neither been acknowledged as claims nor considered as contingent liability and hence, not disclosed. Contingent liability amount disclosed above includes interest and penalty only to the extent such amounts are demanded by various tax authorities through demand order.

(b) During the previous year, the Company received letter from custom authorities demanding Rs. 16,572 with respect to anti-dumping duty on certain equipments imported in earlier years. The Company deposited Rs. 2,491 against the same as interim payment which was provided for in the financial statement.

(c) Pending resolution of the respective proceedings, it is not practicable for the Company to estimate the timing of cash outflows, if any, in respect of the above as it is determinable only on receipt of judgment / decisions pending with various forums / authorities.

(d) The Company has reviewed all its pending litigations and proceedings and has adequately provided for where provisions are required and disclosed as contingent liabilities where applicable, in its financial statements. The Company does not expect the outcome of these proceedings to have a material adverse effect on its financial position. The Company does not expect any reimbursements in respect of above contingent liabilities.

(B) Commitments

Estimated amounts for contracts remaining to be executed on capital account (net of advances) and not provided for amounts to INR 1,078 (previous year INR 840).

4.41 - Earnings per share

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
(Loss)/Profits attributable to equity shareholders from continuing operations	74,729	(7,556)
Profits attributable to equity shareholders from discontinuing operations	686	604
Nominal value per share (INR)	1.00	1.00
Weighted average number of equity shares outstanding during the year (Number in lakhs)	254,728	254,728
(Loss)/Earnings per equity share		
Basic & diluted (from continuing operations) (INR)	0.29	(0.03)
Basic & diluted (from discontinuing operations) (INR)	0.00	0.00



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(All amounts in INR lakhs, unless stated otherwise)

4.42 - Segment Reporting

An operating segment is a component that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the other components, and for which discrete financial information is available.

The Company is primarily engaged in the business to supply and commissioning of wind turbine generators and providing research and development and other support services. Accordingly, the Company's activities/business is reviewed regularly by the board of directors from an overall business perspective, rather than reviewing its products/services as individual standalone components. Thus, the Company has identified following segments as reportable segments in accordance with Ind AS - 108 'Operating Segments'.

Description of segments and principal activities

1. **Renewables** : Manufacturing, supply, installation and commissioning of wind turbine generators and providing related after sales services.
2. **Multi-Model Facility** : Provide shared manufacturing support to certain GE businesses within and outside India.
3. **Aviation** : Service contracts for aircrafts engines. Sale of additive machines & provision of services.
4. **Corporate** : Providing strategic management, finance, human resources, sales and marketing, communication, legal and compliance, supply chain management, employee health and safety, government relations services, marketing support, infrastructure support, network infrastructure services and training services to General Electric group companies.
5. **India Technology Center ("ITC")** : Research and development activity in the areas of material sciences, process technology and providing engineering analysis and related software development services/ export of customized electronic.
6. **Gas Power** : Provision of software development, engineering design, engineering consultancy and marketing support services.
7. **India Innovation Centre ("IIC")** : Provision of software development and engineering design services.



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4.42 - Segment Reporting

Under Ind AS 108, Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

Identification of segments under Ind AS 108

Identification of segments under Ind AS 108 is based on "management approach" i.e. operating segments are identified based on the internal reports regularly reviewed by entity's chief operating decision maker to allocate resources to the segments and assess their performance.

An operating segment is a division of the Company that engages in business activities from which it earns revenues and incurs expenses, including revenues and expenses that relate to transactions with any of the Company's other divisions. Results of the operating segments are reviewed regularly by the board of directors which has been identified as the chief operating decision maker (CODM), to make decisions about resources to be allocated to the segment and assess its performance and for which discrete financial information is available.

In accordance with Ind AS 108, the Board of directors being the Chief operating decision maker of the Company has determined the segments disclosed hereunder as business segments of the Company.

Further, in terms of Paragraph 4 and 31 of Ind AS 108 "Operating segments", entitywide disclosures have been presented below :-

Business segment

Year ended 31 March 2023

Particulars	Renewables	Multi-Model facility	Aviation	Corporate	GEITC	Gas Power	*IIC	Others	Total
Inter segmental revenue	34	153,106	20	6,441	3,307	207	-	-	163,115
External revenue	432,544	94,231	4,131	50,450	138,666	26,060	4,485	641	751,208
Total revenue	432,578	247,337	4,151	56,891	141,973	26,267	4,485	641	914,323
Less:- Interest and other non operating income	140	119	-	22,035	138	30	-	-	22,462
Segment Revenue	432,438	247,218	4,151	34,856	141,835	26,237	4,485	641	891,861
Inter segmental expense	155,759	934	62	1,720	3,365	986	289	-	163,115
External expense	222,384	223,453	2,146	40,364	120,817	20,978	2,886	664	633,692
Add:- Unallocable Interest Expense									430
Total Expenses	378,143	224,387	2,208	42,084	124,182	21,964	3,175	664	797,237
Less:- Interest and other non operating expenses	351	20	3	10,355	77	14	1	2	10,823
Less:- Unallocable Interest Expense									430
Segment Expenses	377,792	224,367	2,205	31,729	124,105	21,950	3,174	662	785,984
Segment result									
Operating profit/(loss)	54,646	22,851	1,946	3,127	17,730	4,287	1,311	(21)	105,877
Add:- Interest and other non operating income									22,462
Less:- Interest and other non operating expenses									10,823
Less:- Settlement with customer									17,120
Less:- Unallocable Interest Expense									430
Profit before tax	54,646	22,851	1,946	3,127	17,730	4,287	1,311	(21)	99,966
Less:- Income taxes									23,927
Less:- Income taxes-Discontinuing Operations									624
Add:- Other comprehensive income, net of income tax									(639)
Segment result	54,646	22,851	1,946	3,127	17,730	4,287	1,311	(21)	74,776
Profit from continuing operations									74,090
Profit from discontinuing operations									686
Depreciation & Amortisation	4,258	6,119	-	203	5,579	760	261	-	17,180
Capital Expenditure									13,983
Other Information									
Segment Assets	165,428	183,295	5,357	611,833	80,745	49,670	6,058	7,573	1,109,959
Add:- Inter segmental assets	(13,314)	(54,479)	(4,481)	(281,562)	(20,288)	(39,033)	(5,151)	(4,715)	(423,023)
Add:- Unallocable corporate assets									28,544
Total Assets	152,114	128,816	876	330,271	60,457	10,637	907	2,858	715,480
Segment Liabilities	195,395	76,153	1,795	452,788	56,430	12,605	8	3,355	798,529
Less:- Inter segmental liabilities	(11,751)	(12,681)	(87)	(391,309)	(4,858)	(1,828)	-	(509)	(423,023)
Less:- Unallocable corporate liabilities & Equity									-
Total liabilities	183,644	63,472	1,708	61,479	51,572	10,777	8	2,846	375,506

* Discontinued operations (Refer note: 4.35)



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Notes to the Standalone financial statements for the year ended 31 March 2023
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4.42 - Segment Reporting
Business segment (Cont'd)
Year ended 31 March 2022

Particulars	Renewables	Multi-Model facility	Aviation	Corporate	GEITC	Gas Power	IIC	Others	Total
Inter segmental revenue	1,280	1,03,058	22	6,002	4,848	300	-	-	1,15,510
External revenue*	3,25,784	60,254	1,438	43,133	1,12,227	20,326	6,423	1,713	5,71,298
Total revenue	3,27,064	1,63,312	1,460	49,135	1,17,075	20,626	6,423	1,713	6,86,808
Less:- Interest and other non operating income	585	593	-	16,649	-	29	-	108	17,964
Segment Revenue	3,26,479	1,62,719	1,460	32,486	1,17,075	20,597	6,423	1,605	6,68,844
Inter segmental expense	1,06,806	2,558	107	1,666	3,213	702	458	-	1,15,510
External expense*	2,15,236	1,49,791	186	38,535	99,076	16,653	5,139	1,760	5,26,376
Total Expenses	3,22,042	1,52,349	293	40,201	1,02,289	17,355	5,597	1,760	6,41,886
Less:- Interest and other non operating expenses	508	37	1	9,721	50	39	2	0	10,358
Segment Expenses	3,21,534	1,52,312	292	30,480	1,02,239	17,316	5,595	1,760	6,31,528
Segment result	4,945	10,407	1,168	2,006	14,836	3,281	828	(155)	37,316
Operating profit/(loss)									17,964
Add:- Interest and other non operating income									10,358
Less:- Interest and other non operating expenses									37,652
Profit before tax*	4,945	10,407	1,168	2,006	14,836	3,281	828	(155)	44,922
Less: Income taxes									14,222
Add : Other comprehensive income, net of income tax									590
Less: Impairment Loss									37,652
Segment result	4,945	10,407	1,168	2,006	14,836	3,281	828	(155)	(6,362)
Profit from continuing operations									(6,362)
Profit from discontinuing operations									
Depreciation & Amortisation	4,345	6,556	-	437	6,754	782	308	-	19,182
Capital Expenditure									11,905
Other Information									
Segment Assets	1,38,867	1,61,454	2,655	8,05,471	1,71,428	49,094	20,857	7,414	13,57,240
Less: Inter segmental assets	(479)	(40,737)	(2,264)	(2,75,554)	(1,16,624)	(38,633)	(18,012)	(4,486)	(4,96,789)
Add:-Unallocable corporate assets*									35,685
Total Assets	1,38,388	1,20,717	391	5,29,917	54,804	10,461	2,845	2,928	8,96,136
Segment Liabilities	3,13,095	70,254	117	6,11,946	60,018	15,108	3,540	56,436	11,30,514
Less: Inter segmental liabilities	(87,920)	(8,031)	(276)	(3,40,343)	(3,718)	(2,871)	(56)	(53,574)	(4,96,789)
Less:- Unallocable corporate liabilities & Equity									(2,787)
Total liabilities	2,25,175	62,223	(159)	2,71,603	56,300	12,237	3,484	2,862	6,30,938

*Includes revenue and expense of discontinued operations

Geographical Information*

Revenue from External customers	31-Mar-23	31-Mar-22
In India	4,96,920	3,87,534
Outside India	2,54,288	1,83,764
Total	7,51,208	5,71,298

Non-current Assets	31-Mar-23	31-Mar-22
In India	1,23,155	1,32,264
Outside India	-	-
Total	1,23,155	1,32,264

Revenue as per customers (more than 10% of revenue)

Particulars	31-Mar-23	31-Mar-22
SBESS Services Projecto Two Private Limited/Adani Wind	7,091	64,032
General Electric Company	1,27,150	95,346
Silac Kabini Renewables Private Limited	9,791	74,574
JSW Renew Energy Two Limited	97,989	-
Others	5,09,187	3,37,346
Total	7,51,208	5,71,298

* Includes discontinued operations (Refer note: 4.35)



Rs



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4.43 - Shared Based Payments

Employee share purchase plan and employee stock options

Ind AS 102 "Share-based Payment" establishes financial and reporting principles for employees share based payment plans. Further, Ind AS 102 also applies to transfer of shares or stock options of the parent of the enterprise, or shares or stock options of another enterprise in the same group as the enterprise, to the employees of the enterprise.

A) Employee Share purchase plan (ESPP)

Under the globally designed employee share purchase plan (Plan), all the permanent employees of the Company get an opportunity to build a stake in the General Electric Co., USA (being the ultimate holding Company). An employee can invest up to a maximum of 25% of their monthly salary (eligible for provident fund) in the shares of General Electric Co., USA. The Company makes a matching contribution of 15% on every purchase made by the employee. All shares are bought at market price on the transaction date. The fair value of the shares granted under the plan is determined on the basis of market value of the shares on the grant date. During the year, the following numbers of shares were purchased at the below mentioned weighted average fair value:

(i) The following table summarizes information about shares purchased under ESPP:

Month	Number of shares purchased		Weighted average fair value per share (INR)	
	For the year ended 31 March 2023	For the year ended 31 March 2022	For the year ended 31 March 2023	For the year ended 31 March 2022
April	1,229	7,447	5,720	986
May	1,150	7,242	6,079	1,031
June	1,399	7,341	4,996	999
July	1,140	964	5,904	7,728
August	1,154	937	5,875	7,836
September	1,361	989	5,060	7,620
October	1,050	937	6,449	7,876
November	936	1,015	7,046	7,084
December	1,138	1,023	5,823	7,066
January	1,010	1,015	6,572	7,077
February	954	988	7,016	7,135
March	891	997	7,866	6,985

Weighted average value per share at which the shares were purchased during the year is INR 6095 (previous year INR 2831).

B) Employees stock options

Employees of the Company are entitled to shares of General Electric Co., USA, the ultimate holding Company under an equity-settled share-based compensation plan. Details of these plans are given below:

The ultimate holding company (General Electric Co., USA) grant stock options, restricted stock units to employees under the 2007 Long-Term Incentive Plan post approval of Board of directors of ultimate holding company. Incentive stock options can be granted only to employees.

As restricted stock units (RSU's) and stock options have been granted at fair value of options on the grant date, therefore the Company measures and discloses the employee's compensation expense relating to restricted stock units and stock options using the fair value method.

The employee's compensation expense for restricted stock units (RSU's) and stock options for the year ended 31 March 2023 amount to INR 1,655 (31 March 2022 : INR 1,503) as included in the employee benefit expense. Further, the Ultimate Holding Company will raise charge to the Company for both stock options and RSUs at the time awards are exercised or lapsed by employees.

The options become exercisable over the vesting period (typically three or five years) and expire 10 years from the grant date if not exercised. Restricted stock units (RSU) provide an employee with the right to receive shares of GE stock when the restrictions lapse over the vesting period.

(i) Details of stock options and restricted stock units (RSU's) issued (Equity settled) during the year are given below:

Type of arrangement	Date of grant	Options/ RSU granted (number of options)	Fair value on the grant date (USD)*	Weighted average remaining contractual life (years)
RSU's	01-Apr-22	2,185	91.43	9.01
RSU's	01-Jun-22	25,236	69.82	9.18
RSU's	01-Sep-22	7,496	68.77	9.43
RSU's	01-Nov-22	8,073	71.98	9.60
RSU's	01-Mar-23	23,378	75.43	9.93
		66,368		



FY 2021-22

Type of arrangement	Date of grant	Options/ RSU granted (number of options)	Fair value on the grant date (USD)*	Weighted average remaining contractual life (years)
RSU's	1-Apr-21	1,455	105.92	9.01
RSU's	1-Jun-21	3,125	111.91	9.18
RSU's	1-Sep-21	2,074	103.66	9.43
RSU's	1-Dec-21	1,749	93.00	9.68
RSU's	1-Mar-22	24,389	82.78	9.93
		32,792		

*The purchase price per share mentioned above is after taking into effect the impact of 1-for-8 reverse stock split done in July 30, 2021

(II) A summary of activity under the Option plan for the year ended 31 March 2023 is given below:

Particulars	Stock options (numbers)	Weighted-average exercise price (USD)	RSU's (numbers)	Weighted-average exercise price (USD)
Outstanding, beginning of the year	215,898	126.53	90,947	-
	249,248	127.97	78,276	-
Granted during the year	-	-	66,368	-
	-	-	32,792	-
Exercised during the year	10,716	76.41	13,061	-
	2,380	79.83	14,671	-
Cancelled during the year	21,984	152.78	10,346	-
	1,650	89.68	4,909	-
Forfeited during the year	178,473	122.99	94,385	-
	31,201	145.87	-	-
Transferred / Adj during the year (net)	207,547	97.73	79,982	-
	(1,881)	161.39	541	-
Outstanding at end of the year	212,272	101.16	119,505	-
	215,898	126.53	90,947	-
Exercisable at the end of the year	212,272	101.16	-	-
	204,595	128.35	-	-

Figures in italics represent previous year figures.

(iii) The Following table summarizes information about outstanding stock option:

2023				2022			
Non-Qualified		RSUs		Non-Qualified		RSUs	
No. of Shares	Weighted average remaining life (years)	No. of Shares	Weighted average remaining life (years)	No. of Shares*	Weighted average remaining life (years)	No. of Shares	Weighted average remaining life (years)
212,272	4.33	119,505	8.57	215,898	4.59	90,947	8.90

The fair value of each restricted stock unit is the market price of the stock on the date of grant.

Particulars	31 March 2023	31 March 2022
Strike Price	USD 92.33	USD 105.12
Expected Lives	6.8	6.2
Expected volatility for stock options*	37%	40%
Dividend yield *	0.40%	0.30%
Risk-free interest rate *	1.60%	1%

*Risk free interest rates reflect the yield on zero-coupon U.S. Treasury securities. Expected dividend yields presume a set dividend rate. Expected volatilities are based on implied volatilities from traded options and historical volatility of General Electric Company, USA stock.



4.44 - Disclosures of Ind AS 115

Disaggregation of revenue

The Company has performed a disaggregated analysis of revenues considering the nature, amount, timing and uncertainty of revenues. This includes disclosure of revenues by segment and type.

Revenue from contract with customer	Year ended 31 March 2023	Year ended 31 March 2022
Type of service		
Cost plus project/contract	151,027	120,244
Fixed price project/contract	529,723	393,594
	680,750	513,838
Timing of revenue recognition		
Products/Services transferred at a point in time	470,325	337,723
Products/Services transferred over time	210,425	176,115
	680,750	513,838

Assets and liabilities related to contracts with customers

Description	Year ended 31 March 2023		Year ended 31 March 2022	
	Non-current	Current	Non-current	Current
Contract assets				
Unbilled revenue	-	9,528	-	9,085
Trade receivable	3,786	88,388	-	96,996
Contract liabilities				
Advance from customers	-	35,650	-	54,940
Unearned revenue	9,606	39,017	11,975	46,026

Reconciliation of revenue recognized in Statement of Profit and Loss with Contract price

Description	Year ended 31 March 2023	Year ended 31 March 2022
Contract price	680,750	520,119
Add: Adjustments	-	-
Revenue from operations as per Statement of Profit and Loss	680,750	520,119

Significant changes in contract assets and liabilities

Contract liabilities	Year ended 31 March 2023	Year ended 31 March 2022
Opening balance of Contract liabilities	54,940	34,257
Less: Amount of revenue recognized against opening contract liabilities	(54,640)	(33,957)
Add: Addition in balance of contract liabilities for current year	35,350	54,640
Closing balance of Contract liabilities	35,650	54,940

Contract assets	Year ended 31 March 2023	Year ended 31 March 2022
Opening balance of Contract assets	9,085	15,824
Add: Addition in balance of contract assets for current year	9,528	9,085
Less: Amortization of contract assets	(9,085)	(15,824)
Less: Impairment of contract assets	-	-
Closing balance of Contract assets	9,528	9,085

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Notes to the standalone financial statements for the year ended 31 March 2023 (continued)

4.45 - Related party transactions

Names of related parties and nature of relationship:

(a) Parties with whom control exist:

Ultimate Holding Company
Holding Company

General Electric Company
GE Aviation Global Holdings BV, Netherlands
(Before 19 Dec 2018, Holding company: GE Pacific Private Limited, Singapore)

(b) Key managerial personnel

(I) Whole time directors

- 1 Deepak Sachdeva (Till December 14, 2021)
- 2 Alok Nanda
- 3 Azhisur Sridhar Karunakaran
- 4 Parag Arvind Marathe (Till October 31, 2022)
- 5 Sharmila Barathan
- 6 Vinayak Tilak (Till June 17, 2022)
- 7 Amol Nagar
- 8 John Thaliath (Till April 29, 2022)
- 9 Vani Mehta (Addition director from July 19, 2022 and WTD from September 22, 2022)
- 10 Renjith Viripullian Keekaroth (Addition director from July 26, 2022 and WTD from September 22, 2022)
- 11 Ashish Jainandan Prasad (Addition director from November 23, 2022 WTD from December 16, 2022)

(II) Non whole time directors

- 1 Tata Kranthi Kumar (Till October 14, 2021)

(III) Entities under which key managerial personnel are directors

- 1 Spirit of the Wild Private Limited

(IV) Employee benefit trusts where control exists

- 1 GE India Industrial Private Limited Technology Centre Employees Group Gratuity Fund Trust (ITC-GFT)
- 2 GE India Industrial Private Limited Global Technology solutions Gratuity Trust (GTS-GFT)
- 3 GE India Industrial Private Limited HTC Employees Group Gratuity Fund (HTC-GFT)
- 4 GE India Industrial Private Limited HTC Employees Group Superannuation Scheme (HTC-SAFS)
- 5 GE India Industrial Private Limited Power Control Officers Superannuation Fund Trust (GEIPL-SAFT)
- 6 GE India Industrial Private Limited Technology Centre Employees Group Superannuation Fund Trust (ITC-SAFT)
- 7 GE India Industrial Private Limited IIC Employees Superannuation Scheme (IIC-SS)

(V) Parties under common control with whom transactions have taken place during the year and comparative previous year

Name	Country	Name	Country
Alstom Grid Sas - Branch - Tz	France	GE Mexico S.de R.L. de C.V.	Mexico
Bhel-Ge Gas Turbine Services Private Limited	India	GE Multilin	Canada
Cogeflex Jeddah Branch	Saudi Arabia	GE Operations Indonesia PT	Indonesia
Concept Laser GmbH	Germany	GE Pacific Private Limited	Singapore
Critical Technologies, Inc.	USA	GE PMTP Power Service LLC	Vietnam
Employers Reassurance Corporation	United States	GE Power & Water Equipamentos e Servicos de Energia e Tratamento de Agua Ltda.	Brazil
Eurt General Electric International Operations (Algeria)	Algeria	GE Power Boilers Services Limited	India
Factory Of Ge Oil & Gas Pressure Control Middle Ea	SAUDI ARABIA	GE Power Conversion India Private Limited	India
Fieldcore Service Solutions International India Private Limited	India	GE Power Electronics (India) Private Limited	India
Fieldcore Service Solutions LLC	United States	GE Power India Limited	India
GE (China) Co. Ltd.	India	GE Power Management S.L.	Spain
GE (China) Energy Development Co. Ltd.	India	GE Power Services (India) Private Limited	India
GE AIRCRAFT ENGINES	USA	GE Power Systems India Private Limited	India
GE Australia Pty Ltd	Australia	GE Power Systems Vietnam Company Limited	Vietnam
GE Aviation Czech s.r.o.	Czech Republic	GE Power Vietnam Company Limited	Vietnam
GE Aviation Engine Services - Singapore Pte. Ltd.	Singapore	GE Precision Healthcare LLC	USA
GE Aviation Systems Limited	United Kingdom	GE Renewable Energy Australia Pty Ltd	Australia
GE Aviation Systems LLC	USA	GE Renewable Energy Technologies Private Limited	India
GE Avio S.r.l.	Italy	GE Renewable Hydro Spain S.L.	Spain
GE BE Private Ltd	India	GE Renewable Malaysia Sdn. Bhd.	Malaysia
GE Capital Aviation Services Limited	Ireland	GE Renewable Management	France
GE Capital Commercial Services Inc.	USA	GE Renewable R&D India Private Limited	India
GE Capital Europe Limited	United Kingdom	GE Renewables Grid LLC	USA
GE Capital Treasury Services (U.S.) LLC	USA	GE Renewables North America LLC	USA
GE Capital US Holdings Inc.	USA	Ge Sensing & Inspection Technologies GmbH	Germany
GE Commerce (Shanghai) Co. Ltd.	China	GE SENSING EMEA	Ireland
GE Digital Holdings LLC	USA	GE Smallworld	United Kingdom
GE Digital International LLC	USA	GE Solutions W.L.L.	Bahrain
GE Digital LLC	USA	GE Steam Power (Thailand) Ltd	Thailand
GE Digital Services Europe	France	GE Steam Power Inc.	USA
GE Digital UK Limited	United Kingdom	Ge Steam Power Service (Pty) Ltd	South Africa
GE Drives & Controls Inc.	USA	GE Steam Power Services Switzerland GmbH	Taiwan
GE East Africa Services Limited	Kenya	GE Steam Power Switzerland GmbH	Switzerland
GE Egypt Services LLC	Egypt	GE T&D India Limited	India
GE Energy (Shenyang) Co. Ltd.	China	GE Treasury Ireland Services Unlimited Company	Ireland
GE Energy (Shenyang) Co., Ltd	China	GE Vietnam Limited	Vietnam
GE Energy Control Solutions, LLC	USA	GE Wind Energy Equipment Manufacturing (Henan) Co. Ltd.	India
GE Energy Germany GmbH	Germany	GE Wind Energy Equipment Manufacturing (Shenyang) Co. Ltd.	China
GE Energy Management Services LLC	USA	Ge Wind Energy Equipment Manufacturing Henan Co. Ltd.	India
GE Energy Parts Inc.	USA	Ge Wind Energy Equipment Manufacturing Shenyang Co Ltd	India
GE Energy Power Conversion UK Limited	United Kingdom	GE Wind Energy GmbH	Germany
GE Energy Products France SNC	France	GE Wind Energy S.L.	Spain
GE Energy Switzerland GmbH	Switzerland	GE WIND France SAS	France
GE Engine Services LLC	USA	GECAS Services India Private Limited	India
GE Engine Services Malaysia Sdn. Bhd.	Malaysia	General Electric (Switzerland) GmbH	Switzerland



GE India Industrial Private Limited
CIN : U31500DL1992PTC194724

Notes to the standalone financial statements for the year ended 31 March 2023 (continued)

4.45 - Related party transactions

Names of related parties and nature of relationship:

(a) Parties with whom control exist:

Ultimate Holding Company	General Electric Company
Holding Company	GE Aviation Global Holdings BV, Netherlands
	(Before 19 Dec 2018, Holding company: GE Pacific Private Limited, Singapore)

(b) Key managerial personnel

(I) Whole time directors

- 1 Deepak Sachdeva (Till December 14, 2021)
- 2 Alok Nanda
- 3 Azhisur Sridhar Karunakaran
- 4 Parag Arvind Marathe (Till October 31, 2022)
- 5 Sharmila Barathan
- 6 Vinayak Tilak (Till June 17, 2022)
- 7 Amol Nagar
- 8 John Thaliath (Till April 29, 2022)
- 9 Vani Mehta (Addition director from July 19, 2022 and WTD from September 22, 2022)
- 10 Renjith Viripulan Keekaroth (Addition director from July 26, 2022 and WTD from September 22, 2022)
- 11 Ashish Jainandan Prasad (Addition director from November 23, 2022 WTD from December 16, 2022)

(II) Non whole time directors

- 1 Tata Kranthi Kumar (Till October 14, 2021)

(III) Entities under which key managerial personnel are directors

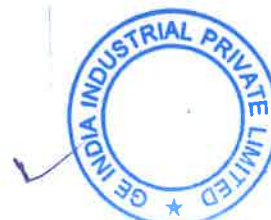
- 1 Spirit of the Wild Private Limited

(IV) Employee benefit trusts where control exists

- 1 GE India Industrial Private Limited Technology Centre Employees Group Gratuity Fund Trust (ITC-GFT)
- 2 GE India Industrial Private Limited Global Technology solutions Gratuity Trust (GTS-GFT)
- 3 GE India Industrial Private Limited HTC Employees Group Gratuity Fund (HTC-GFT)
- 4 GE India Industrial Private Limited HTC Employees Group Superannuation Scheme (HTC-SAFS)
- 5 GE India Industrial Private Limited Power Control Officers Superannuation Fund Trust (GEIPL-SAFT)
- 6 GE India Industrial Private Limited Technology Centre Employees Group Superannuation Fund Trust (ITC-SAFT)
- 7 GE India Industrial Private Limited IIC Employees Superannuation Scheme (IIC-SS)

(V) Parties under common control with whom transactions have taken place during the year and comparative previous year

Name	Country	Name	Country
Alstom Grid Sas - Branch - Tz	France	GE Mexico S.de R.L. de C.V.	Mexico
Bhel-Ge Gas Turbine Services Private Limited	India	GE Multilin	Canada
Cogeflex Jeddah Branch	Saudi Arabia	GE Operations Indonesia PT	Indonesia
Concept Laser GmbH	Germany	GE Pacific Private Limited	Singapore
Critical Technologies, Inc.	USA	GE PMTP Power Service LLC	Vietnam
Employers Reassurance Corporation	United States	GE Power & Water Equipamentos e Servicos de Energia e Tratamento de Agua Ltda.	Brazil
Eurl General Electric International Operations (Algeria)	Algeria	GE Power Boilers Services Limited	India
Factory Of Ge Oil & Gas Pressure Control Middle Ea	SAUDI ARABIA	GE Power Conversion India Private Limited	India
Fieldcore Service Solutions International India Private Limited	India	GE Power Electronics (India) Private Limited	India
Fieldcore Service Solutions LLC	United States	GE Power India Limited	India
GE (China) Co. Ltd.	India	GE Power Management S.L.	Spain
GE (China) Energy Development Co. Ltd.	India	GE Power Services (India) Private Limited	India
GE AIRCRAFT ENGINES	USA	GE Power Systems India Private Limited	India
GE Australia Pty Ltd	Australia	GE Power Systems Vietnam Company Limited	Vietnam
GE Aviation Czech s.r.o.	Czech Republic	GE Power Vietnam Company Limited	Vietnam
GE Aviation Engine Services - Singapore Pte. Ltd.	Singapore	GE Precision Healthcare LLC	USA
GE Aviation Systems Limited	United Kingdom	GE Renewable Energy Australia Pty Ltd	Australia
GE Aviation Systems LLC	USA	GE Renewable Energy Technologies Private Limited	India
GE Avio S.r.l.	Italy	GE Renewable Hydro Spain S.L.	Spain
GE BE Private Ltd	India	GE Renewable Malaysia Sdn. Bhd.	Malaysia
GE Capital Aviation Services Limited	Ireland	GE Renewable Management	France
GE Capital Commercial Services Inc.	USA	GE Renewable R&D India Private Limited	India
GE Capital Europe Limited	United Kingdom	GE Renewables Grid LLC	USA
GE Capital Treasury Services (U.S.) LLC	USA	GE Renewables North America LLC	USA
GE Capital US Holdings Inc.	USA	Ge Sensing & Inspection Technologies GmbH	Germany
GE Commerce (Shanghai) Co. Ltd.	China	GE SENSING EMEA	Ireland
GE Digital Holdings LLC	USA	GE Smallworld	United Kingdom
GE Digital International LLC	USA	GE Solutions W.L.L.	Bahrain
GE Digital LLC	USA	GE Steam Power (Thailand) Ltd	Thailand
GE Digital Services Europe	France	GE Steam Power Inc.	USA
GE Digital UK Limited	United Kingdom	Ge Steam Power Service (Pty) Ltd	South Africa
GE Drives & Controls Inc.	USA	GE Steam Power Services Switzerland GmbH	Taiwan
GE East Africa Services Limited	Kenya	GE Steam Power Switzerland GmbH	Switzerland
GE Egypt Services LLC	Egypt	GE T&D India Limited	India
GE Energy (Shenyang) Co. Ltd.	China	GE Treasury Ireland Services Unlimited Company	Ireland
GE Energy (Shenyang) Co., Ltd	China	GE Vietnam Limited	Vietnam
GE Energy Control Solutions, Llc	USA	GE Wind Energy Equipment Manufacturing (Henan) Co. Ltd.	India
GE Energy Germany GmbH	Germany	GE Wind Energy Equipment Manufacturing (Shenyang) Co. Ltd.	China
GE Energy Management Services LLC	USA	Ge Wind Energy Equipment Manufacturing Henan Co. Ltd.	India
GE Energy Parts Inc.	USA	Ge Wind Energy Equipment Manufacturing Shenyang Co Ltd	India
GE Energy Power Conversion UK Limited	United Kingdom	GE Wind Energy GmbH	Germany
GE Energy Products France SNC	France	GE Wind Energy S.L.	Spain
GE Energy Switzerland GmbH	Switzerland	GE WIND France SAS	France
GE Engine Services LLC	USA	GE CAS Services India Private Limited	India
GE Engine Services Malaysia Sdn. Bhd.	Malaysia	General Electric (Switzerland) GmbH	Switzerland



GE India Industrial Private Limited
CIN : U31500DL1992PTC194724

Notes to the standalone financial statements for the year ended 31 March 2023 (continued)

4.45 - Related party transactions

Names of related parties and nature of relationship:

4.45 - Related party transactions (Cont'd.)

Name	Country	Name	Country
GE Flight Efficiency Services Incorporated	USA	General Electric Canada	Canada
GE Flight Efficiency Services, Incorporated	USA	General Electric Canada Company	Canada
GE Gas Turbines (Greenville) L.L.C.	USA	General Electric Company	United States
GE Global Parts & Products GmbH	Switzerland	General Electric Company Polska Sp. z o.o.	Poland
GE Grid (Switzerland) GmbH	Switzerland	General Electric Deutschland Holding GmbH	Germany
GE Grid Australia Pty Ltd	Australia	General Electric do Brasil Ltda.	Brazil
GE Grid GmbH	Germany	General Electric Global Services GmbH	Switzerland
GE Grid Solutions (Australia) Pty Ltd	Australia	General Electric Healthcare Lanka (Private) Limited	Sri Lanka
GE Grid Solutions (UK) Limited	United Kingdom	General Electric International (Benelux) B.V.	Netherlands
GE Grid Solutions LLC	USA	General Electric International Inc.	USA
GE Grid Solutions Pte. Ltd.	Singapore	General Electric International Operations Company Inc.	USA
GE GRID SOLUTIONS S.A.	Spain	General Electric International, Inc.-Kr	Korea
GE Grid Solutions Technology LLC	USA	General Electric International, Inc.-Kw	Kuwait
GE Grid Solutions, Llc	USA	General Electric International, Inc.-Nl	Netherlands
GE Healthcare Australia Pty Limited	Australia	General Electric International, Inc.-Sa	Saudi Arabia
GE Healthcare Bangladesh Limited	Bangladesh	General Electric Renovables Espana S.L.	Spain
GE Healthcare Global Private Limited	India	General Electric South Africa (Pty) Ltd	South Africa
GE Healthcare Inc.	USA	General Electric Technology GmbH	Switzerland
GE Healthcare Japan Corporation	Japan	General Elektrik Ticaret ve Servis A.S.	Turkey
GE Healthcare Limited	United Kingdom	Granite Services International India Pvt. Ltd	India
GE Healthcare Pte Ltd	Singapore	Grid Equipments Private Limited	India
GE Hungary Kft.	Hungary	Grid Solutions SAS	France
GE India Business Services Private Limited	India	Grid Solutions Vietnam Company Limited	Vietnam
GE India Industrial Pvt Ltd	India	LM Wind Power A/S	Denmark
GE Infrastructure Hungary Holding Kft.	Hungary	LM Wind Power Blades (India) Private Limited	India
GE Infrastructure Technology International LLC	United States	LM Wind Power Blades (Qinhuangdao) Co. Ltd.	China
GE Inspection Technologies, Lp	USA	Meridium Services and Labs Private Limited	India
GE International Inc. Branch - UZ - Representative Office	Uzbekistan	Montana Precision Products Llc	USA
GE International Operations (NIG) Limited	Nigeria	PT GE Oil & Gas Pressure Control	Indonesia
GE Japan Inc.	Japan	PT GE Technology Indonesia	Indonesia
GE MDS LLC	USA	UK Grid Solutions Limited	United Kingdom
GE Medical Systems Information Technologies Inc.	USA	Unison Engine Components Poland Sp. Z O.O.	Poland
GE Medical Systems Israel Ltd	Israel	Unison Industries LLC	USA
GE Medical Systems Societe en Commandite Simple	France	Wipro GE Healthcare Private Limited	India
GE Medical Systems Trade and Development (Shanghai) Co. Ltd.	China	Wipro GE Medical Device Manufacturing Private Limited	India
General Electric Bahrain Co.	Bahrain		



4.45 - Related party transactions (Cont'd.)

i. The following is the summary of significant transactions with related parties

Related party transactions and balances:

Description	For the year ended				For the year ended 31 March 2022			
	Ultimate Holding company	Wholly owned subsidiary	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts	Ultimate Holding company	Wholly owned subsidiaries
Transactions								
Revenue from operations								
(i) Sales of Products	34,573	-	20,453	-	-	-	19,530	15,218
GE Drives & Controls Inc.	-	-	18,148	-	-	-	-	8,238
General Electric Company	-	-	1,726	-	-	-	-	1,179
Unison Industries LLC	-	-	40,328	-	-	-	-	24,634
Others	-	-	-	-	-	-	-	-
(ii) Income from software development services								
General Electric Company	84,464	-	23,905	-	-	-	66,361	-
GE Energy Switzerland GmbH	-	-	12,012	-	-	-	-	20,211
General Electric Renovables Espana S.L.	-	-	1,643	-	-	-	-	7,828
GE Aviation Systems LLC	-	-	4,637	-	-	-	-	6,244
General Electric International Inc.	-	-	1,767	-	-	-	-	1,734
GE Multilin	-	-	1,153	-	-	-	-	1,140
General Electric (Switzerland) GmbH	-	-	1,521	-	-	-	-	-
GE Grid Solutions (UK) Limited	-	-	1,253	-	-	-	-	-
Grid Solutions SAS	-	-	6,248	-	-	-	-	-
Others	-	-	54,138	-	-	-	66,361	6,260
(iii) Income from installation, operation and maintenance								
General Electric Company	4,837	-	-	-	-	-	7,097	6,047
Wipro GE Healthcare Private Limited	-	-	4,326	-	-	-	-	566
GE Energy Management Services LLC	-	-	1,770	-	-	-	-	2,584
GE Technology GmbH	-	-	2,001	-	-	-	-	1,631
Meridium Services and Labs Private Limited	-	-	968	-	-	-	-	-
GE T&D India Limited	-	-	1,331	-	-	-	-	1,334
GE Capital Treasury Services (U.S.) LLC	-	-	2,383	-	-	-	-	949
GE Grid Solutions Limited	-	-	2,885	-	-	-	-	1,631
GE Power India Limited	-	-	1,654	-	-	-	-	1,007
LM Wind Power Blades (India) Private Limited	-	-	1,030	-	-	-	-	7,330
General Electric International Inc.	-	-	1,806	-	-	-	-	23,079
Grid Solutions SAS	-	-	1,355	-	-	-	-	-
Others	-	-	7,654	-	-	-	-	-
(iv) Income from marketing support services								
General Electric International Inc.	4,837	-	28,963	-	-	-	7,097	6,071
General Electric Company	-	-	7,918	-	-	-	-	-
GE Energy Switzerland GmbH	-	-	766	-	-	-	-	-
Others	-	-	213	-	-	-	-	-
(v) Interest Income								
LM Wind Power Blades (India) Private Limited	3,275	-	8,997	-	-	-	2,589	124
GE Power Systems India Private Limited	-	-	-	-	-	-	-	6,195
GE Power Conversion India Private Limited	-	-	2,092	-	-	-	-	3,389
GE Renewable Energy Technologies Private Limited	-	-	2,550	-	-	-	-	1,564
Others	-	-	1,882	-	-	-	-	0
(vi) Other Income								
Wipro GE Healthcare Private Limited	-	-	6,524	-	-	-	-	2,347
General Electric Renovables Espana S.L.	-	-	3,693	-	-	-	-	7,300
GE Healthcare Global Private Limited	-	-	6,691	-	-	-	-	7,238
Others	-	-	1,081	-	-	-	-	1,737
	-	-	1,045	-	-	-	-	1,361
	-	-	2,233	-	-	-	-	1,197
	-	-	11,050	-	-	-	-	11,534



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4.45 - Related party transactions (Cont'd.)

i. The following is the summary of significant transactions with related parties

Related party transactions and balances:

Description	For the year ended				For the year ended 31 March 2022			
	Ultimate Holding company	Wholly owned subsidiary	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts	Ultimate Holding company	Wholly owned subsidiaries
Transactions								
2. Expenses								
(i) Purchase of stock-in-trade								
General Electric Company	272	-	58,422	-	-	-	-	-
LM Wind Power Blades (India) Private Limited	-	-	3,327	-	-	-	-	-
Unison Industries LLC	-	-	2,125	-	-	-	-	-
GE Drives & Controls Inc.	-	-	1,992	-	-	-	-	-
Concept Laser GmbH	-	-	1,898	-	-	-	-	-
GE Wind Energy GmbH	-	-	385	-	-	-	-	-
General Electric International Inc.	-	-	134	-	-	-	-	-
GE Energy (Shenyang) Co. Ltd.	-	-	1,908	-	-	-	-	-
Montana Precision Products LLC	-	-	1,376	-	-	-	-	-
Others	272	-	71,568	-	-	-	-	-
(ii) Managerial remuneration (included under salary and wages)								
Gross Salary	-	-	-	-	1,409	-	-	-
Retirement Benefits (Gratuity, PF etc)	-	-	-	-	57	-	-	-
	-	-	-	-	1,467	-	-	-
(iii) Interest on inter-corporate deposits								
Wipro GE Healthcare Private Limited	-	-	7,120	-	-	-	-	-
GE BE Private Ltd	-	-	1,082	-	-	-	-	-
Grid Equipments Private Limited	-	-	924	-	-	-	-	-
Others	-	-	1,121	-	-	-	-	-
	-	-	10,246	-	-	-	-	-
(iv) Rent expense								
GE Power India Limited	-	-	33	-	-	-	-	-
GE Power Conversion India Private Limited	-	-	264	-	-	-	-	-
GE T&D India Limited	-	-	762	-	-	-	-	-
	-	-	1,059	-	-	-	-	-
(v) Repairs and maintenance								
General Electric Company	622	-	-	-	-	-	168	-
GE Digital UK Limited	-	-	-	-	-	-	-	-
GE Engine Services Malaysia Sdn. Bhd.	-	-	2	-	-	-	-	-
Others	-	-	(21)	-	-	-	-	-
	622	-	(18)	-	-	-	168	-
(vi) Legal and professional fees								
General Electric International Inc.	-	-	21	-	-	-	-	-
General Electric Company	1,290	-	-	-	-	-	708	-
Others	-	-	7	-	-	-	-	-
	1,290	-	28	-	-	-	708	-
(vii) Royalty								
General Electric Company	4,034	-	-	-	-	-	3,034	-
General Electric Renovables Espana S.L.	-	-	4,309	-	-	-	-	-
	4,034	-	4,309	-	-	-	3,034	-
(viii) Training and seminar expenses								
General Electric Company	52	-	-	-	-	-	18	-
	52	-	-	-	-	-	18	-



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4.45 - Related party transactions (Cont'd.)
 i. The following is the summary of significant transactions with related parties

Description	For the year ended					For the year ended 31 March 2022				
	Ultimate Holding company	Wholly owned subsidiary	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts	Ultimate Holding company	Wholly owned subsidiaries	Fellow Subsidiaries	Associate company
Transactions										
(ix) Service charges	427	-	-	-	-	-	288	-	-	-
General Electric Company	-	-	4	-	-	-	-	-	-	-
Others	427	-	4	-	-	-	288	-	-	-
(x) Outsourced service cost	-	-	282	-	-	-	-	-	-	-
LM Wind Power Blades (India) Private Limited	-	-	-	-	-	-	-	-	-	-
GE Digital UK Limited	124	-	-	-	-	-	53	-	146	-
General Electric Company	-	-	-	-	-	-	-	-	-	-
FieldCore Service Solutions International India Private Limited	-	-	250	-	-	-	-	-	(8)	-
Others	124	-	532	-	-	-	53	-	138	-
(xi) Corporate charges	-	-	3	-	-	-	-	-	36	-
General Electric International Inc.	841	-	-	-	-	-	411	-	-	-
General Electric Company	-	-	-	-	-	-	-	-	-	-
Others	841	-	3	-	-	-	411	-	43	79
(xii) Purchase of property, plant and equipment	-	-	-	-	-	-	-	-	21	-
GE Aviation Systems Limited	-	-	0	-	-	-	-	-	13	-
GE Drives & Controls Inc.	-	-	74	-	-	-	-	-	7	-
GE Grid Solutions (UK) Limited	-	-	(1)	-	-	-	-	-	4	-
Others	-	-	73	-	-	-	-	-	45	-
(xiii) Travelling and Conveyance	146	-	-	-	-	-	-	-	-	-
General Electric Company	-	-	30	-	-	-	-	-	-	-
General Electric International Inc.	-	-	(4)	-	-	-	-	-	-	-
Others	146	-	26	-	-	-	-	-	-	-
(xiv) Other expenses	-	-	359	-	-	-	-	-	-	-
GE T&D India Limited	-	-	201	-	-	-	-	-	-	-
Meridium Services and Labs Private Limited	-	-	94	-	-	-	-	-	-	-
GE Aviation Hungary Kft.	251	-	-	-	-	-	664	-	-	-
General Electric Company	-	-	71	-	-	-	-	-	114	-
GE Renewable Malaysia Sdn. Bhd.	-	-	740	-	-	-	-	-	1,250	-
General Electric International Inc.	-	-	175	-	-	-	-	-	(275)	-
Others	251	-	1,640	-	-	-	664	-	1,089	-
(xv) Borrowings Availed	-	-	255,773	-	-	-	-	-	327,678	-
Wipro GE Healthcare Private Limited	-	-	57,453	-	-	-	-	-	92,066	-
GE BE Private Ltd	-	-	31,359	-	-	-	-	-	24,761	-
GE Power Conversion India Private Limited	-	-	38,649	-	-	-	-	-	9,035	-
Others	-	-	383,235	-	-	-	-	-	453,540	-



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4.45 - Related party transactions (Cont'd.)

i. The following is the summary of significant transactions with related parties

Related party transactions and balances:

Description	For the year ended					For the year ended 31 March 2022				
	Ultimate Holding company	Wholly owned subsidiary	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts	Ultimate Holding company	Wholly owned subsidiaries	Fellow Subsidiaries	Associate company
Transactions										
(xvii) Borrowings Repaid										
Wipro GE Healthcare Private Limited	-	-	426,557	-	-	-	-	-	289,516	-
GE BE Private Ltd	-	-	107,260	-	-	-	-	-	77,534	-
GE Power Conversion India Private Limited	-	-	25,051	-	-	-	-	-	22,248	-
Others	-	-	33,027	-	-	-	-	-	8,341	-
	-	-	591,895	-	-	-	-	-	397,839	-
(xviii) Loans Granted										
LM Wind Power Blades (India) Private Limited	-	-	266,030	-	-	-	-	-	318,124	-
GE T&D India Limited	-	-	153,516	-	-	-	-	-	118,963	-
GE Power India Limited	-	-	155,432	-	-	-	-	-	246,017	-
GE Power Systems India Private Limited	-	-	-	-	-	-	-	-	-	104,369
Others	-	5	119,094	60,016	-	-	-	-	59,361	-
	-	5	694,071	60,016	-	-	-	-	742,465	104,369
(xix) Loans Repaid										
LM Wind Power Blades (India) Private Limited	-	-	312,096	-	-	-	-	-	315,338	-
GE T&D India Limited	-	-	148,218	-	-	-	-	-	123,912	-
GE Power India Limited	-	-	147,544	-	-	-	-	-	259,354	-
GE Power Systems India Private Limited	-	-	-	-	-	-	-	-	-	87,025
Others	-	3	104,005	62,533	-	-	-	-	67,265	-
	-	3	711,863	62,533	-	-	-	-	765,869	87,025
(xx) Contribution to employee related trust										
ITC-GFT	-	-	-	-	-	0	-	-	-	-
GTS-GFT	-	-	-	-	-	-	-	-	-	-
HTC-GFT	-	-	-	-	-	124	-	-	-	-
HTC-SAFS	-	-	-	-	-	13	-	-	-	-
GEIPL-SAFT	-	-	-	-	-	3	-	-	-	-
ITC-SAFT	-	-	-	-	-	49	-	-	-	-
IIC-SS	-	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	190	-	-	-	184

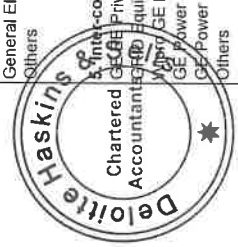
Note : Amounts in brackets represents credit notes, reimbursements and reversals



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4.45 - Related party transactions (Cont'd.)
Related party transactions and balances:

Description	For the year ended 31 March 2023						For the year ended 31 March 2022					
	Ultimate Holding company	Wholly owned subsidiary	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts	Ultimate Holding company	Wholly owned subsidiaries	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts
Outstanding balances												
1. Trade payable												
LM Wind Power Blades (India) Private Limited	-	-	13,270	-	-	-	-	-	14,723	-	-	-
GE Grid Solutions (UK) Limited	2,067	-	1,650	-	-	-	-	-	2,257	-	-	-
General Electric Company	-	-	-	-	-	-	3,498	-	-	-	-	-
GE Drives & Controls Inc.	-	-	447	-	-	-	-	-	852	-	-	-
General Electric International Inc.	-	-	2,054	-	-	-	-	-	4,211	-	-	-
Concept Laser GmbH	-	-	1,394	-	-	-	-	-	38	-	-	-
Unison Industries LLC	-	-	619	-	-	-	-	-	1,158	-	-	-
LM Wind Power A/S	-	-	1,058	-	-	-	-	-	-	-	-	-
GE Wind Energy GmbH	-	-	3,343	-	-	-	-	-	1,793	-	-	-
Others	2,067	-	3,428	-	-	-	3,498	-	13,226	-	-	-
			27,262						38,257			
2. Advance payable												
LM Wind Power A/S	-	-	-	-	-	-	-	-	-	-	-	-
General Electric Company	334	-	-	-	-	-	-	-	-	-	-	-
GE Wind Energy GmbH	-	-	-	-	-	-	-	-	-	-	-	-
GE Infrastructure Technology International LLC	-	-	-	-	-	-	-	-	-	-	-	-
Unison Industries LLC	-	-	-	-	-	-	-	-	-	-	-	-
GE Mexico S.de R.L. de C.V.	-	-	-	-	-	-	-	-	-	-	-	-
General Electric International Inc.	-	-	178	-	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-	-	-	-	-
	334	-	178	-	-	-	-	-	-	-	-	-
3. Payable-Others												
General Electric Company	440	-	-	-	-	-	-	-	-	-	-	-
	440	-	-	-	-	-	-	-	-	-	-	-
4. Unbilled revenue - receivable												
General Electric Renovables Espana S.L.	-	-	53	-	-	-	-	-	-	-	-	-
General Electric International Inc.	-	-	1,953	-	-	-	-	-	1,641	-	-	-
General Electric Company	965	-	-	-	-	-	779	-	-	-	-	-
GE Capital US Holdings Inc.	-	-	171	-	-	-	-	-	327	-	-	-
GE Capital Treasury Services (U.S.) LLC	-	-	224	-	-	-	-	-	-	-	-	-
GE Energy Switzerland GmbH	-	-	532	-	-	-	-	-	-	-	-	-
General Electric Company - Branch - RQ	-	-	486	-	-	-	-	-	-	-	-	-
Others	-	-	172	-	-	-	-	-	157	-	-	-
	965	-	3,591	-	-	-	779	-	2,125	-	-	-
Inter-corporate deposits - payable												
GE India Industrial Private Limited	-	-	-	-	-	-	-	-	49,807	-	-	-
GE Healthcare Private Limited	-	-	27,220	-	-	-	-	-	26,016	-	-	-
GE Power Services (India) Private Limited	-	-	5,905	-	-	-	-	-	170,784	-	-	-
GE Power Conversion India Private Limited	-	-	8,820	-	-	-	-	-	5,840	-	-	-
Others	-	-	8,177	-	-	-	-	-	6,338	-	-	-
	-	-	50,122	-	-	-	-	-	258,785	-	-	-



Handwritten signature and initials: BPS

GE India Industrial Private Limited

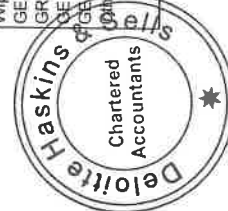
CIN : U31500DL1992PTC194724

Notes to the standalone financial statements for the year ended 31 March 2023 (continued)

4.45 - Related party transactions (Cont'd.)

Related party transactions and balances:

Description	For the year ended 31 March 2023					For the year ended 31 March 2022						
	Ultimate Holding company	Wholly owned subsidiary	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts	Ultimate Holding company	Wholly owned subsidiaries	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts
Outstanding balances												
6. Inter- corporate deposits - receivable												
LM Wind Power Blades (India) Private Limited	-	-	-	49,435	-	-	-	-	46,066	51,953	-	-
GE Power Systems India Private Limited	-	-	41,336	-	-	-	-	-	-	-	-	-
GE Power Conversion India Private Limited	-	3	-	-	-	-	-	-	26,247	-	-	-
GE Renewable Energy Technologies Private Limited	-	-	31,811	-	-	-	-	-	1	-	-	-
Others	-	3	73,147	49,435	-	-	-	-	18,625	-	-	-
	-	-	-	-	-	-	-	-	90,939	51,953	-	-
7. Interest accrued on Inter-corporate deposit- receivable												
LM Wind Power Blades (India) Private Limited	-	-	120	-	-	-	-	-	642	-	-	-
GE Power Systems India Private Limited	-	-	-	871	-	-	-	-	-	624	-	-
GE Power India Limited	-	-	-	-	-	-	-	-	374	-	-	-
GE Power Conversion India Private Limited	-	-	714	-	-	-	-	-	388	-	-	-
GE Renewable Energy Technologies Private Limited	-	0	-	-	-	-	-	-	0	-	-	-
Others	-	-	411	-	-	-	-	-	172	-	-	-
	-	0	1,246	871	-	-	-	1,576	1,576	624	-	-
8. Other current assets - others												
GE T&D India Limited	-	-	918	-	-	-	-	-	904	-	-	-
FieldCore Service Solutions International India Private Limited	-	-	129	-	-	-	-	-	130	-	-	-
LM Wind Power Blades (India) Private Limited	-	-	528	-	-	-	-	-	209	-	-	-
GE Power Conversion India Private Limited	-	-	377	-	-	-	-	-	178	-	-	-
GE Vietnam Limited	-	-	116	-	-	-	-	-	-	-	-	-
GE Power India Limited	-	-	585	-	-	-	-	-	1,016	-	-	-
General Electric International Inc.	-	-	66	-	-	-	-	-	63	-	-	-
Others	-	-	134	-	-	-	-	-	900	-	-	-
	-	-	2,854	-	-	-	-	-	3,400	-	-	-
9. Interest accrued but not due on inter-corporate deposits and advances												
Wipro GE Healthcare Private Limited	-	-	-	-	-	-	-	-	1,638	-	-	-
GE BE Private Ltd	-	-	-	-	-	-	-	-	442	-	-	-
GRID Equipments Private Limited	-	-	274	-	-	-	-	-	267	-	-	-
GE Power Conversion India Private Limited	-	-	142	-	-	-	-	-	37	-	-	-
GE Power Services (India) Private Limited	-	-	85	-	-	-	-	-	60	-	-	-
Others	-	-	600	-	-	-	-	-	49	-	-	-
	-	-	-	-	-	-	-	-	2,493	-	-	-



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4.45 - Related party transactions (Cont'd.)
Related party transactions and balances:

Description	For the year ended 31 March 2023					For the year ended 31 March 2022						
	Ultimate Holding company	Wholly owned subsidiary	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts	Ultimate Holding company	Wholly owned subsidiaries	Fellow Subsidiaries	Associate company	Key management personnel	Employee benefit trusts
Outstanding balances												
10. Trade receivables												
General Electric Company	7,843	-	-	-	-	-	5,639	-	-	-	-	-
GE Energy Switzerland GmbH	-	-	2,474	-	-	-	-	-	1,966	-	-	-
General Electric International Inc.	-	-	976	-	-	-	-	-	1,685	-	-	-
GE Drives & Controls Inc.	-	-	1,292	-	-	-	-	-	1,577	-	-	-
Wipro GE Healthcare Private Limited	-	-	-	-	-	-	-	-	1,592	-	-	-
GE Power India Limited	-	-	916	-	-	-	-	-	1,246	-	-	-
General Electric Renovables Espana S.L.	-	-	1,652	-	-	-	-	-	1,048	-	-	-
Others	-	-	7,715	-	-	-	-	-	5,324	-	-	-
	7,843	-	15,026	-	-	-	5,639	-	14,438	-	-	-
11. Investment in Associate/ Subsidiary												
GE Power Systems India Private Limited	-	-	-	27	-	-	-	-	-	22	-	-
GE Renewable Energy Technologies Private Limited	-	4	-	-	-	-	-	-	-	-	-	-
	-	4	-	27	-	-	-	-	-	22	-	-
12. Unearned Revenue												
General Electric Company*	7,169	-	-	-	-	-	15,294	-	-	-	-	-
Others	-	-	-	-	-	-	-	-	1,287	-	-	-
*includes balance of General Electric Company and its affiliates	7,169	-	-	-	-	-	15,294	-	1,287	-	-	-
13. Royalty Payable												
General Electric Company	3,598	-	-	-	-	-	5,571	-	-	-	-	-
General Electric Renovables Espana S.L.	-	-	3,838	-	-	-	-	-	(1,260)	-	-	-
	3,598	-	3,838	-	-	-	5,571	-	(1,260)	-	-	-
14.Employee stock options payable												
General Electric Company,USA	7,524	-	-	-	-	-	7,036	-	-	-	-	-
15. Deposits held on behalf												
Others	-	-	300	-	-	-	-	-	1,264	-	-	-
16. Performance guarantees given on behalf												
GE Power Systems India Private Limited	-	-	-	6,230	-	-	-	-	-	6,230	-	-

Following GE's global transformation plans to form three independent industry-leading, public companies focused on the growth sectors of aerospace, healthcare and energy, GE has reduced its stake in Healthcare entities less than 20% effective 1st April 2023. Resulting transactions and balances with Healthcare entities not considered as related party transactions.



RS

GE India Industrial Private Limited

CIN : U31500DL1992PTC194724

Notes to the standalone financial statements for the year ended 31 March 2023 (continued)

(All amounts in INR lakhs, unless stated otherwise)

4.46 - Demerger

During the year, pursuant to the GE's, ultimate parent company, plan for global spin off into three different listed companies, the Company filed a scheme of arrangement with National Company Law Tribunal, Delhi ('NCLT') for demerger of 'Power and Renewable Undertaking' comprising of Onshore Wind, Hyderabad Technology Centre, JFWTC Power and Renewable Energy, Energy Applications and Systems Engineering, Grid Centre of Excellence and Energy divisions into its wholly owned subsidiary GE Renewable Energy Technologies Private Limited ('GERETPL'). Subsequent to the year end, the Company filed an amended Scheme with NCLT to exclude Onshore Wind division from Renewable Undertaking from the demerger plans.

Further in August 2023, the company filed another scheme with the NCLT for demerger of services business of onshore wind division to fellow subsidiary, GE Renewable R&D India Private Limited.

These schemes are pending for approval with NCLT.

4.47 - Inter corporate deposits and borrowings

The Company operates the cash pool arrangement with related parties ('Participants') wherein it borrows and invests short term funds based upon the requirement of working capital and availability of funds on daily basis. Pursuant to the arrangement, during the year, the Company has borrowed loans (from time to time) aggregating to Rs. 383,235 and granted loans aggregating to Rs. 754,092 at the stipulated rate of interest from and in the cash pool account. Outstanding balance of loans borrowed and invested as at 31 March 2023 is Rs. 50,122 and Rs. 122,585 respectively. Refer note 4.45 for details.

4.48 - Code on Social Security, 2020

The Code on Social Security, 2020 ('Code') relating to employee benefits during employment and post-employment benefits received Presidential assent in September 2020. The Code has been published in the Gazette of India, however, the date on which the Code will come into effect has not been notified. The Company will assess the impact of the Code when it comes into effect and will record any related impact in the period the Code becomes effective.

4.49 - Impairment of associate

During the previous year, due to announcement on February 10, 2022 by the General Electric Company that it has entered into an exclusive agreement with an identified buyer to sell part of steam power's nuclear power activities, the Company decided to test its investment in GE Power Systems India Private Limited (GEPSIPL), associate, for impairment as per the requirement of Ind AS 36 'Impairment of Assets'. The Company engaged an independent third party valuer to arrive at recoverable amount i.e. higher of value in use and fair value less cost of sale. The Company considered fair value less cost of sell ("the fair value") of investment in associate as its recoverable amount.

Valuation technique and some of the key assumptions used by the valuer for the fair value of the investment in associate were as follows:

- GEPSIPL has long term thermal and nuclear supply and service contracts which involves significant penalties in the form of liquidated damages and performance guarantees for delay in delivery or non-performance. Further, the Company has given performance guarantee to customers of GEPSIPL for execution of contracts. On account of this, the valuer considered free cash flows projected out of operating activities for the period of restriction and realizable value of tangible assets at the end of restriction period for arriving at the fair value.

- Leasehold land at the end of restriction period is valued at allotment rates approach and not discounted for present value as at March 31, 2022.

- Other tangible assets such as factory building, plant and machinery etc. is valued at cost approach at the end of restriction period and discounted as at March 31, 2022.

- Rate used for discounting the free cash flow is 13.25% (pre-tax rate).

Based on above factors and as per the report issued by the valuer (Level 3), the Company recorded impairment amounting to Rs. 37,652 against carrying amount of Rs. 37,674 resulting in net carrying amount of Rs. 22 in the financial statements and disclosed the impairment loss as an 'exceptional item' in standalone statement of profit and loss."

4.50 Settlement with customer

In 2021, following the expiry of the warranty period, a customer formally filed claims against the Company alleging defects in certain equipment supplied, which the company had disputed. In March 2023, the Company entered into an agreement with the customer whereby the Company agreed to waive recovery of certain trade receivables pertaining to disputed and other projects amounting to Rs. 17,120 for settlement of aforesaid dispute. This settlement is disclosed as an 'exceptional item' in the standalone statement of profit and loss.



GE India Industrial Private Limited

CIN : U31500DL1992PTC194724

Notes to the standalone financial statements for the year ended 31 March 2023

(All amounts in INR lakhs, unless stated otherwise)

4.51 Other Statutory Information

(i) The Company do not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property.

(ii) The Company do not have any transactions with companies struck off.

(iii) The Company do not have any charges or satisfaction which is yet to be registered with Registrar of companies beyond the statutory period,

(iv) The Company have not traded or invested in Crypto currency or Virtual Currency during the financial year.

(v) The Company do not have any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income-tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income-tax Act, 1961

(vi) The Company has not been declared willful defaulter by any bank or financial institution or government or any government authority.

(vii) The Company is maintaining its proper books of account as required by law except for keeping the backup on daily basis for such books of account maintained in electronic mode on the server physically located in India.

The notes referred to above form an integral part of the financial statements.

For and on behalf of the Board of Directors of
GE India Industrial Private Limited


Amol Nagar

Whole-time Director

DIN : 03381846

Place: Gurugram

Date: 15 September 2023



Randeep Singh Thakur

Company Secretary

M. No. A27032

Place: Gurugram

Date: 15 September 2023





Vani Mehta

Whole-time Director

DIN : 09668743

Place: Gurugram

Date: 15 September 2023



Kapil Chitlangya

Sr. Finance Manager

Place: Gurugram

Date: 15 September 2023





केंद्रिय कर के सहायक आयुक्त का कार्यालय,
मंडल -7, माल एवं सेवा कर पूर्व आयुक्तालय, बेंगलूरु,
तृतीय तल, त्राफिक और ट्रांजिट मैनेजमेंट सेंटर, बी एम टी सी बस स्टैण्ड,
पुराना हवाई अड्डा मार्ग, डोम्लुरु, बेंगलूरु - ५६० ०७१

**OFFICE OF THE ASSISTANT COMMISSIONER OF CENTRAL TAX, DIV-7
GST COMMISSIONERATE BENGALURU EAST, 3rd FLOOR, TTMC,
BMTC BUS STAND, OLD AIRPORT ROAD,
DOMMALURU, BENGALURU - 560 071**

File No: GEXCOM/RFD/ST/1301/2024-CGST-RANGE-B-DIV-7-COMMRTE

DIN-20240857000000020362

Date: "As approved"

To,

GSTIN: 29AAACG4901D1Z0

M/s. GE INDIA INDUSTRIAL PRIVATE LIMITED,

Plot No.122, Floor 7th, EPIP, Phase -2,

Whitefield Road, Bengaluru Urban-560066

(By registered mail/SPAD)

Gentlemen,

Sub: Service Tax Refund Claims – Reg.

Please refer to your letters addressed to this office in respect of following refund claims filed by you under Rule 5 of the Cenvat Credit Rules, 2004 read with Notification No. 5/2006-CE (NT) and 27/2012- CE (NT).

Sl. No.	Period	Amount involved (Rs.)
1	April 2012 to June 2012	2943792
2	Jan 2013 to Mar 2013	5354148
3	July 2012 to September 2012	5461016
4	October 2012 to December 2012	5124193
5	October 2011 to March 2012	6116529

2. It is noticed that the claims were preferred before the jurisdictional service tax office having jurisdiction in the pre GST period. This office presently has the jurisdiction over your GST registration 29AAACG4901D1Z0. In order to consider the veracity of your claim in the present letters, the following information is sought on each of the claims.

- The refund claims were filed by M/s. GE Global Technology Solutions – STC No.AABCG1257BST008, M/s.GE India Exports Pvt Ltd - STC No.AABCG1257BST008 and M/s. GE Global

Technology Solutions - STC No.AABCG1257BST008. It can be seen that though the STC number remains the same, the name of the claimant has changed for each of the period. The same needs to be clarified as to the actual person who was allotted STC No. AABCG1257BST008.

ii) Whether STC No. AABCG1257BST008 was migrated into GST and if so what is the present GSTIN. If not, whether business ceases to exists for PAN AABCG1257B.

iii) Explain how the PAN AABCG1257B is related to your firm who are otherwise holding GSTIN: 29AAACG4901D1Z0.

3. You have filed the letters on the refund claims stating that the refund claims have not been processed. The details are as under.

Sl. No.	Period	Amount involved (Rs.)	SCN date	Reply date	SCN issuing office
1	April 2012 to June 2012	2943792	07.06.2013	12.07.2013	Dy. Commr. Of Ser. Tax Division -1, Domlur
2	Jan 2013 to Mar 2013	5354148	03.03.2014	07.04.2014	Dy. Commr. Of Ser.Tax Division -1, Domlur
3	July 2012 to September 2012	5461016	23.09.2013	25.10.2013	Dy. Commr. Of Ser.Tax Division -1, Domlur
4	October 2012 to December 2012	5124193	11.12.2013	12.02.2014	Dy. Commr. Of Ser.Tax Division -1, Domlur
5	October 2011 to March 2012	6161529	11.12.2012	17.01.2013	Asst. Commr. Of Ser Tax, Div-I, SP. Complex, Lalbagh Road

4. As you are aware the service tax refund claims are time bound in nature. The SCNs, if any issued would form a part of monitoring mechanism. Further, the replies to these SCNs would be considered while passing the order on these refund claims. Further, department underwent re-organisation during 2014 to 2017 and exclusive service tax Commissionerate were merged with Central Excise Commissionerate and new Commissionerate were formed. Thereafter, upon introduction of the GST, new GST Commissionerate with new jurisdiction came into existence. During such re-organisation, all pending SCNs, refunds were migrated to the respective new Commissionerate. As noticed from the records of this office, no such SCNs/refund claims were transmitted which implies that the same were not pending.

5. You have stated in your letter that these refund claims are pending adjudication. On perusal of timeline / periodicity of refund claims, the claims are preferred by you on quarterly basis. If your contention that the claims are kept pending needs to be substantiated, there would be the correspondences made by you with regard to pending claims with the then jurisdictional offices. You are therefore requested to furnish the copies of correspondences made by you. Further, you are also requested to inform whether any reply was received by you on such correspondences. You are requested to furnish the copies of such

correspondences after filing replies to the SCNs chronologically. Furnish the said data in the format provided in the table along with relevant documents.

S.No	Refund tax period	Date of filing of refund	SCN date	Date of reply	First follow up with department after reply (date and Documentary evidence needed)	Susequent follow ups(Date and corresponding documents)

6. Furnish the said data by 03.09.2024. You are hereby informed that a personal hearing has been granted in the matter by the undersigned at **11.30 AM on 04.09.2024** in the Office of the Assistant Commissioner of Central Tax, East Division 7, 3rd Floor, Bengaluru GST East Commissionerate, TTMC- BMTC Building, Domlur, Old Airport Road, Bengaluru- 560071. You are requested to attend the said personal hearing with all such copies of correspondences made by you, so as to enable this office to proceed further on the request letters filed by you.

Yours faithfully,

(कंकनाला अनिल कुमार / Kankanala Anil Kumar)
 सहायक आयुक्त / Assistant Commissioner, पूर्वमंडल -7/East Division-7,
 पूर्व आयुक्तालय/Bangalore East Commissionerate



GE India Industrial Private Limited
Building No. 7A, 1st, 5th & 6th Floor
DLF Cyber City, DLF Phase-III
Sector-25A, Gurgaon-122 002
Haryana
Tel: 0124-4906000; Fax: 01244906511
CIN: U31500DL1992PTC194724
Website: www.ge.com

27th September 2024

To,

The Assistant Commissioner of Central Tax,
Office of Commissioner of Central Tax,
GST Commissionerate, Bangalore East, Division 7
BMTCL building, Old Airport road,
Domluru, Bengaluru -560071

Sub: Reply to the letter issued in relation to the application for refund of CENVAT credit under Rule 5 of CENVAT Credit Rules, 2004, dated 28 August 2024

Ref: Service Tax Registration No. AABCG1257BST008

1. We, M/s GE India Industrial Private Limited (hereinafter referred as 'Company' or 'we') are in receipt of the captioned letter dated 28 August 2024, directing the company to attend the personal hearing in relation to the refund claims filed and also to furnish the correspondences made in relation to the refund applications. We have enclosed the captioned letter and also the extension letter filed by the company as **Annexure-1 and Annexure-2**, respectively.
2. At the outset, we thank your goodself for granting additional time to furnish the correspondences. The relevant period and the refund details are provided below for your reference:

Sl. No	ST refund period	Amount
1	October 2011 to March 2012	61,16,529
2	April 2012 to June 2012	29,43,792
3	July 2012 to September 2012	54,61,016
4	October 2012 to December 2012	51,24,193
5	January 2013 to March 2013	53,54,148



3. In the captioned letter issued by your goodself, the company has been directed to furnish the following information / documents to substantiate that the refund applications for the above period are pending to be processed.
- a) The refund claims were filed by M/s. GE Global Technology Solutions bearing Service tax registration number AABCG1257BST008, M/s. GE India Exports Pvt Ltd bearing Service tax registration number No. AABCG1257BST008. It can be seen that though the STC number remains the same, the name of the claimant has changed for each of the period. The same needs to be clarified as to the actual person who was allotted STC No. AABCG1257BST008.
 - b) Whether STC No. AABCG1257BST008 was migrated into GST and if so what is the present GSTIN. If not, whether business ceases to exist for PAN AABCG1257B.
 - c) Explain how the PAN AABCG1257B is related to your firm who are otherwise holding GSTIN: 29AAACG4901D1Zo
 - d) To Furnish the copies of correspondences with regard to pending refund claims.

Submission

The Company has categorically divided the submission into the two parts.

- A. Submission with respect to registration
- B. Submission to substantiate that refund claims are pending before relevant authorities

A. Submission with respect to registration.

Vide ST refund letter, your goodself has requested to provide the clarity on service tax registration number of the Company.



GE India Industrial Private Limited
Building No. 7A, 1st, 5th & 6th Floor
DLF Cyber City, DLF Phase-III
Sector-25A, Gurgaon-122 002
Haryana
Tel: 0124-4906000; Fax: 01244906511
CIN: U31500DL1992PTC194724
Website: www.ge.com

1. The Company humbly submits that M/s. Global Technology Solutions (“GTS”) was a division of GE India Industrial Private Limited, (Formerly a division of GE India Exports Pvt Ltd. Ltd, which got merged with GE India Industrial Private Limited). GE GTS had a separate service tax registration number AABCG1257BST008. We have enclosed a copy of ST-2 as **Annexure-3**. Further, we have provided below the details of registration of all the entities your ready reference.

Entity Name	PAN	ST/GST number	Remarks
GE India Exports Private Limited	AABCG1257BS	AABCG1257BST008	GE GTS was a division of GE India Exports Private Limited
GE GTS			
GE India Industrial Private Limited	AAACG4901D1Z	29AAACG4901D1Z0	GE India Exports Private Limited merged with GE India Industrial Private Limited

We have enclosed a copy of the amalgamation order as **Annexure-4**.

2. Hence, all the assets and liabilities of GE India Exports Private Limited (including GE GTS) is pertaining to GE IIPL.



3. The Company submits that your goodself has stated in the letter that the name of the claimant for each refund period is changed though the service tax registration number i.e. **AABCG1257BST008** remains the same. In this regard, the Company wishes to submit that all the above refund applications are filed by GE GTS (a division of GE India Exports Private Limited) vide registration number **AABCG1257BST008**. Hence there is no change in the applicant's name. The service tax registration number AABCG1257BST008 belongs to GE GTS (a division of GE India Exports Private Limited).

B. Submission to substantiate that refund claims are pending before relevant authorities

4. The Company submits that the financial statement of the Company discloses the above refund claim as other current assets. Therefore, the refund amount appearing as receivable in financials, substantiates that the Company has not received any refund for these periods. We have enclosed the Schedule working of current assets along with the Financials as **Annexure-5**.
5. Further, we wish to also submit that the Company has followed up multiple times both orally as well as vide written submissions for processing the pending refund applications. The details of relevant correspondence have been provided in the below table for your ready reference:

Sl.No	Date	Particulars
1	25/06/2020	Request for allocation and processing for refund claim
2	22/10/2020	request to process the pending ST refund claim
3	14/07/2022	Submission of reconstructed refund claim
4	09/10/2023	Record of PH
5	25/01/2023	Remainder letter for processing the refund amount

We have enclosed the above correspondences as **Annexure-6**.



GE India Industrial Private Limited
Building No. 7A, 1st, 5th & 6th Floor
DLF Cyber City, DLF Phase-III
Sector-25A, Gurgaon-122 002
Haryana
Tel: 0124-4906000; Fax: 01244906511
CIN: U31500DL1992PTC194724
Website: www.ge.com

6. Further, the Company submits that the Company attended a personal hearing(PH) on 9 October 2023 and reiterated the submissions made in the reply to the SCN. In this regard, as directed in the PH, the Company submitted the following additional documents on 13 December 2023.

- a. Indemnity bond
- b. Letter of undertaking
- c. Debit proof letter
- d. Schedule of current assets in the Financials

We have enclosed the acknowledgment for having filed the above documents and re-submitting the same as **Annexure-7**.

The Company requests your goodself to expedite the refund process, as the delay is impacting the company's working capital.

We request you to take the same on record and acknowledge the receipt of the same. Further, we also request you to kindly provide the opportunity of being heard pursuant to such submissions being made.

Thanking you.

GE India Industrial Private Limited



Authorised Signatory



केन्द्रीयकरकेसहायक-आयुक्तकाकार्यालय,
OFFICE OF THE ASSISTANT COMMISSIONER OF CENTRAL TAX,
मालऔरसेवाकरआयुक्तालय, बेंगलूरुपूर्व, मंडल - 7.
GST COMMISSIONERATE, BANGALORE EAST, DIVISION-7,
बी.एम.टी.सीबसस्टैंड: ओल्डएयरपोर्टरोड: दोमलूर: बेंगलूरु- 560 071

Date: 27.03.2025

RECORD OF PERSONAL HEARING

Name of the Company: M/s GE Industrial Private Limited, Service Tax Registration No. AABCG1257BST008 Plot No.122, Floor 7th, EPIP, Phase-2, Whitefield Road. Bengaluru Urban-560066

Service tax refund claims

Period: October 2011 to March 2013

Represented by: Smt. Karishma Shah, CA
Smt. Swastika Jain

Date of Hearing: 27.03.2025

Smt. Karishma Shah and Swastika Jain, CA, the authorized representatives of M/s. GE Industrial Private Limited, has appeared before me at 04:30 PM on 27.03.2025. During the personal hearing, they have mentioned that all the documents required for the processing of refund claims have been furnished to the department. They mentioned that the follow ups have been done for the above claims from time to time and acknowledgement to follow up letters have been submitted. Specially the refund claims i.e. July 2012 to Sep 2012, a PH was conducted in 2014 and additional submissions were also made. They mentioned that the refund claims pertaining to the period post March 2013 were processed by the department in 2019 and OIO's for all such claims would be submitted. Pursuant to processing of those refund claims, they have started following up for processing for the refund claims for the above-mentioned claims. Further they shall be making additional submission and requested to consider the additional submissions and process the refund for the above claims at the earliest.


Karishma Shah
(C.A-Authorised representative)


Swastika Jain


(KANKANALA ANIL KUMAR)
ASSISTANT COMMISSIONER
EAST DIVISION-7



GE India Industrial Private Limited
Building No. 7A, 1st, 5th & 6th Floor
DLF Cyber City, DLF Phase-III
Sector-25A, Gurgaon-122 002
Haryana
Tel: 0124-4906000; Fax: 01244906511
CIN: U31500DL1992PTC194724
Website: www.ge.com

Received
Jul. 4
01/04/25
GALETI AVINASH
Supdt, BED-7

28 March 2025

To,
Assistant Commissioner of Central Tax
Office of the Assistant Commissioner of Central Tax
BMTC Bus stand, Domlur
Bangalore

Dear Sir,

Sub: Additional submissions in relation to the service tax refund claims for the period October 2011 to March 2013 pursuant to the personal hearing dated 27 March 2025

- Ref 1: Personal hearing dated 27 March 2025 and 9 October 2023**
- 2. Service Tax Registration No. AABCG1257BST008**
 - 3. SCN bearing ref C.No.IV/16/106/2012/ST (R) Div-I dated 11.12.2012**
 - 4. SCN bearing ref C.No.IV/16/427/2013/ST (V) dated 7.6.2013**
 - 5. SCN bearing ref C.No.IV/16/618/2013/ST (V) dated 23.9.2013**
 - 6. SCN bearing ref C.No.IV/16/765/2013/ST (R) Group V dated 11.12.2013**
 - 7. SCN bearing ref C.No.IV/16/896/2013/ST (R) DVN-1/1561/14 dated 03.03.2014**

1. We, GE Global Technology Solutions (Division of GE India Industrial Private Limited) ("GE GTS" or "Company") are registered under Service Tax under the category "Information Technology Software Services" and 'Management Maintenance or Repairs services' vide registration No. **AABCG12578ST008**.
2. Notification No. 05/2006 dated 14.03.2006 and 27/2012 CE dated 18.06.2012 allows refund of input service tax which is used for providing output services that are exported out of India. The

Regd. Off

Unit F9, First Floor, Hyatt Delhi Residences, Aerocity, New Delhi – 110 037



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Company has filed refund applications for the following periods. The summary of the refund application is provided in the below table:

Sl. No	Period	Date of filing the refund claim	Refund Amount (INR)
1	October 2011 to March 2012	28-09-2012	61,61,529
2	April 2012 to June 2012	28-03-2013	29,43,792
3	July 2012 to September 2012	26-06-2013	54,60,102
4	October 2012 to December 2012	30-09-2013	51,24,193
5	January 2013 to March 2013	06-12-2013	53,54,148
Total			2,50,43,764

3. We wish to submit that the Company has submitted all the documents, as mentioned below, for processing of the above refund applications:

- A write up on the services exported and their classification
- Category wise summary of input tax credit eligible for refund
- CA certificate
- Statement of export invoices and FIRC's
- Copies of FIRC's evidencing realization of export proceeds
- Copy of Service Tax registration
- Copy of Master Service Agreement with the group companies
- Copy of ST 3 filed by us for the period
- Copies of Input Service Invoices



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- j) Copies of Export invoices for the period
4. On filing the refund applications, Show Cause Notices (SCNs) were issued for all the refund claims. The Appellant filed a detailed and comprehensive reply to the show cause notices. The date of issue of SCNs and reply to SCNs for each refund claim is tabulated below:

Refund tax period	SCN date	SCN reference no.	Date of reply
October 2011 to March 2012	11-12-2012	C.No.IV/16/106/2012/ST (R) Div-I dated 11.12.2012	Reply to SCN - 17 -01-2013 Additional submission- 10-05- 2013
April 2012 to June 2012	07-06- 2013	C.No.IV/16/427/2013/ST (V) dated 7.6.2013	12-Jul-13
July 2012 to September 2012	26-09- 2013	C.No.IV/16/618/2013/ST (V) dated 23.9.2013	Reply to SCN: 25-10-2013 Additional submission: 13-01- 2014
October 2012 to December 2012	11-12-2013	C.No.IV/16/765/2013/ST (R) Group V dated 11.12.2013	12-02-2014
January 2013 to March 2013	08-03- 2014	C.No.IV/16/896/2013/ST (R) DVN-1/1561/14 dated 03.03.2014	07-04-2014

The said SCN and reply to SCN are enclosed as **Anneuxre-1**.

5. Upon filing the reply to SCN, the refund claims were not processed for a prolonged period of time despite regular time to time follow-ups right from the date of filing the refund application. Upon receiving no response, the Company made formal requests *vide* request letters, the details of which are provided below:



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S No	Actions/Follow up	Date/Period
1	The Company submitted the request letter for allocation and processing of the refund claim	25 June 2020
2	The Company further submitted the request letter for allocation and processing of the refund claim	22 October 2020
3	The Company has followed up multiple times for adjudicating the refund claims through personal visits through authorized representatives.	2020 to 2022
4	The Company was requested to submit all the relevant documents in relation to the said refund claim afresh. The Company has reconstructed and submitted the refund documents along with the request letter for processing of the said refund applications.	14 July 2022
5	A request letter was submitted for processing the refund application	25 January 2023
6	The Company attended the personal hearing and requested to process the refund claims	9 October 2023
7	Pursuant to the personal hearing, the Company submitted the financials, declaration cum undertaking, Indemnity bond etc as were sought by the authorities	13 December 2023
8	The Company attended another personal hearing in relation to the above refund claims and requested to process the claims.	27 March 2025

The above correspondences are enclosed as **Annexure-2**.

6. Further, the Company submits that specially for refund claim pertaining to July 2012 to September 2012, a personal hearing was conducted on 26 May 2014. The record of the hearing is enclosed as **Annexure-3**.



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7. In addition to the above refund claims, the Company submits that refund claims pertaining to the period post March 2013 were processed by the adjudicating authority in the year 2019. It was informed to the Company back then by the authority that all the pending refund claims would be processed subsequently, in a phased manner. Thereafter, the Company started following up for the above -mentioned refund claims. The OIOs for the said refund period are enclosed as **Annexure-3.**

In light of the above, we request your goodself to process the instant refund claims at the earliest, considering the long pendency. In case your goodself requires any additional information in this regard, we shall be glad to provide with you the same.

We reserve our liberty to make further submissions in writing and adduce evidence in support of our claim at the time of hearing and we wish to be heard in person before the case is adjudicated.

Further, request you to take the same on record and oblige our request.

Thanking you,

GE India Industrial Private Limited



Authorised Signatory

* **IN THE HIGH COURT OF DELHI AT NEW DELHI**

+ **WRIT PETITION (CIVIL) NO. 7127 OF 2008**

% **Reserved on: 22nd March, 2011**
Date of Decision: 3rd June, 2011

INDGLONAL INVESTMENT&FINANCE LTD.&ANR. ...Petitioners

Through Mr. Salil Aggarwal, Advocate.

VERSUS

INCOME TAX OFFICER WARD NO.11(4) N.DELHI & ORS.

....Respondents
Through Mr. N.P. Sahni, Advocate

AND

+ **WRIT PETITION (CIVIL) NO. 15639 OF 2006**

% **Reserved on : 18th April, 2011.**
Date of Decision : 3rd June, 2011.

M/S TAKSAL THEATERS PRIVATE LIMITED Petitioner
Through, Mr. Y.K. Kapur, Advocate.

VERSUS

ASSISTANT COMMISSIONER OF INCOME TAX & ANOTHER
...Respondents
Through Ms. Rashmi Chopra, Advocate.

CORAM:

HON'BLE MR. JUSTICE DIPAK MISRA, THE CHIEF JUSTICE
HON'BLE MR. JUSTICE SANJIV KHANNA

1. Whether Reporters of local papers may be allowed to see the judgment?
2. To be referred to the Reporter or not ? Yes.
3. Whether the judgment should be reported in the Digest ? Yes.

SANJIV KHANNA, J.:

These two writ petitions were heard on different dates, but as the issue and subject matter are similar, they are being disposed of by this common decision. Factual aspects have been discussed below and the result would show one writ petition is being allowed and the other is being dismissed by applying the legal principles and ratio to the factual matrix.

2. Income-Tax Act, 1961 (1961 Act) and Wealth Tax Act, 1957 (1957 Act) are direct taxes. Under the 1961 Act, taxes are collected by deduction of tax at source (TDS, for short), payment of self-assessment tax or advance tax. Under the 1957 Act, self-assessment tax is paid by the assessee. Taxes are also paid on demand raised.

3. An assessee may be entitled to refund of the tax paid on the basis of return of income filed, refund claimed, pursuant to an assessment order, appellate order or some other order. The two enactments, as noticed below, incorporate statutory provisions for refund of taxes paid in excess of the amount ascertained/determined or due and payable. The question raised in these writ petitions is whether and when an assessee is entitled to refund when tax or part thereof has been paid by inadvertence or if the tax is 'wrongly' paid, recovered or

retained. Often in such cases reliance is placed on Article 265 of the Constitution and it is urged that taxes ‘wrongly’ levied and collected should be refunded. Doctrine/principles of unjust enrichment, equity, justice and good conscience are concomitantly invoked.

4. Article 265 reads as under:

“265. Taxes not to be imposed save by authority of law.—No tax shall be levied or collected except by authority of law.”

5. Expressions “levy” and “collection” are used in Article 265 in a comprehensive sense and are intended to include the entire process of collection, commencing from charging or taxing a person to taking away money. What the Article enjoins is that every stage in this entire process must be authorized by law. (See *District Mining Officer versus Tata Iron and Steel Company*, (2001) 7 SCC 358). The term “levy” is of a wider import than the term “assessment” and includes both imposition of tax as well as assessment. (See *CCE versus National Tobacco Company of India Limited*, (1972) 2 SCC 560).

6. Article 265 and a claim for refund for violation of the principles underlying the said Article or under the general principles of equity, justice and good conscience as well as the statutory provisions in tax

enactments was settled by the Constitutional Bench decision of 9 Judges in *Mafatlal Industries versus Union of India*, (1997) 5 SCC 536. The said decision interprets Article 265 of the Constitution and lays down legal principles, which we feel are equally applicable to the arguments raised. The Supreme Court in the said case has held that Article 265 mandates that no tax can be levied or collected except by authority of law, which means that tax collected contrary to law has to be refunded; but the question is -- when a tax is considered to have been levied and collected without authority of law. The Supreme Court visualized several hypothetical situations and answered questions but for the purpose of this case we are required to examine two distinct situations/categories. The first situation is where the tax is collected or voluntarily paid to the authority under a valid enactment but by misconstruing or by wrong interpretation of the provisions of the enactment or by erroneous determination of relevant facts. The second category of cases is where the enactment by which tax is levied is an unconstitutional enactment or its provisions transgress the constitutional limitations. In such cases, refund becomes due because enactment/statute imposing the tax or the provision is unconstitutional. This second category of cases will normally be cases; (1) where legislative competence of the legislature is challenged and questioned

on the basis of entries in the Seventh Schedule of the Constitution, (2) where law is prohibited by any particular provision of the Constitution, e.g., Articles 276(2), 286 etc. and (3) the wrong or relevant portion thereof is invalid under Article 13 for repugnancy to those freedoms, which are guaranteed by Part-III of the Constitution. (see ***Chhotabhai Jethabhai Patel and Company versus Union of India***, (1962) Supp. 2 SCR 1).

7. In the present Writ petitions, we are not concerned with the second category of cases. The two enactments and their provisions have not been challenged on the ground that they are unconstitutional. We are concerned with the first category of cases where an assessee claims refund on the ground that the levy is wrong or contrary to the provisions of the enactment, i.e., under an enactment itself tax should not have been levied or has been wrongly imposed/collected/paid. The first category of cases will also include cases where an assessee claims that he is entitled to refund on the ground that the tax was mistakenly paid under misapprehension or error in understanding the statutory provisions and in fact tax was not payable or exigible. (Mistake of law in understanding/interpreting the statute, will not include cases where the enactment itself or the provision of the enactment is declared to be unconstitutional for violation of any constitutional limitation).

Regarding the said category of cases, the Supreme Court in the case of ***Mafatlal Industries*** (supra) examined the provisions of Article 265 of the Constitution and Central Excise and Salt Act, 1944. The wide scope and width of the issues examined by the Supreme Court can be understood if we read paragraph 31, of the said decision;

“31. There is as yet a third and an equally important category. It is this: a manufacturer (let us call him “X”) pays duty either without protest or after registering his protest. It may also be a case where he disputes the levy and fights it out up to first appellate or second appellate/revisional level and gives up the fight, being unsuccessful therein. It may also be a case where he approaches the High Court too, remains unsuccessful and gives up the fight. He pays the duty demanded or it is recovered from him, as the case may be. In other words, so far as “X” is concerned, the levy of duty becomes final and his claim that the duty is not leviable is finally rejected. But it so happens that sometime later — may be one year, five years, ten years, twenty years or even fifty years — the Supreme Court holds, in the case of some other manufacturer that the levy of that kind is not exigible in law. (We must reiterate — we are not speaking of a case where a provision of the Act whereunder the duty is struck down as unconstitutional. We are speaking of a case involving interpretation of the provisions of the Act, Rules and Notifications.) The question is whether “X” can claim refund of the duty paid by him on the ground that he has discovered the mistake of law when the Supreme Court has declared the law in the case of another manufacturer *and* whether he can say that he will be entitled to file a suit or a writ petition for refund of the

duty paid by him within three years of such discovery of mistake? Instances of this nature can be multiplied. It may not be a decision of the Supreme Court that leads “X” to discover his mistake; it may be a decision of the High Court. It may also be a case where “X” fights up to first appellate or second appellate stage, gives up the fight, pays the tax and then pleads that he has discovered the mistake of law when the High Court has declared the law. The fact is that such claims have been entertained both in writ petitions and suits until now, purporting to follow the law declared in *Kanhaiya Lal*, and are being allowed and decreed, sometimes even with interest. The Union of India says that this can never be. It says, a manufacturer must fight his own battle and only if he succeeds therein, can he claim refund. He cannot take advantage of success of another manufacturer and that no suit or writ is maintainable by him for refund on the ground of alleged discovery of mistake of law on the declaration of law by this Court or a High Court (or a Tribunal or any other authority under the Act) in the case of another person. The Union of India denies that such a person can plead payment of duty under a mistake of law within the meaning of Section 72 of the Contract Act. It also denies that such a writ petition or a suit can be filed within three years of such “discovery of mistake of law”.

8. The first situation/category mentioned above was answered as under;-

“78. There is, however, *one exception* to the above proposition, i.e., where a provision of the Act whereunder the duty has been levied is found to be unconstitutional for violation of any of the constitutional limitations. This is a situation not

contemplated by the Act. The Act does not contemplate any of its provisions being declared unconstitutional and therefore it does not provide for its consequences. Rule 11/Section 11-B are premised upon the supposition that the provisions of the Act are good and valid. But where any provision under which duty is levied is found to be unconstitutional, Article 265 steps in. In other words, the person who had paid the tax is entitled to claim refund and such a claim cannot be governed by the provisions in Rule 11/Section 11-B. The very collection and/or retention of tax without the authority of law entitles the person, from whom it is collected, to claim its refund. A corresponding obligation upon the State to refund it can also be said to flow from it. This can be called the *right to refund arising under and by virtue of the constitutional provisions, viz., Article 265*. But, it does not follow from this that refund follows automatically. Article 265 cannot be read in isolation. It must be read in the light of the concepts of economic and social justice envisaged in the Preamble and the guiding principles of State Policy adumbrated in Articles 38 and 39 — an aspect dealt with at some length at a later stage. The very concept of economic justice means and demands that unless the claimant (for refund) establishes that he has not passed on the burden of the duty/tax to others, he has no just claim for refund. It would be a parody of economic justice to refund the duty to a claimant who has already collected the said amount from his buyers. The refund should really be made to the persons who have actually borne its burden — that would be economic justice. Conferring an unwarranted and unmerited monetary benefit upon an individual is the very antithesis of the concept of economic justice and the principles underlying Articles 38 and 39. Now, the right to refund arising as a result of declaration of unconstitutionality of a provision of

the enactment can also be looked at as a *statutory right of restitution*. It can be said in such a case that the tax paid has been paid under a mistake of law which mistake of law was discovered by the manufacturer/assessee on the declaration of invalidity of the provision by the court. Section 72 of the Contract Act may be attracted to such a case and a claim for refund of tax on this score can be maintained with reference to Section 72. This too, however, does not mean that the taxes paid under an unconstitutional provision of law are automatically refundable under Section 72. Section 72 contains a rule of equity and once it is a rule of equity, it necessarily follows that equitable considerations are relevant in applying the said rule — an aspect which we shall deal with a little later. Thus, whether the right to refund of taxes paid under an unconstitutional provision of law is treated as a constitutional right flowing from Article 265 or as a statutory right/equitable right affirmed by Section 72 of the Contract Act, the result is the same — there is no automatic or unconditional right to refund.

79. We may now consider a situation where a manufacturer pays a duty unquestioningly — or he questions the levy but fails before the original authority and keeps quiet. It may also be a case where he files an appeal, the appeal goes against him and he keeps quiet. It may also be a case where he files a second appeal/revision, fails and then keeps quiet.* The orders in any of the situations have become final against him. Then what happens is that after a year, five years, ten years, twenty years or even much later, a decision is rendered by a High Court or the Supreme Court in the case of another person holding that duty was not payable or was payable at a lesser rate in such a case. (We must reiterate and emphasise that while dealing with this situation we are keeping out the situation

where the provision under which the duty is levied is declared unconstitutional by a court; that is a separate category and the discussion in this paragraph does not include that situation. In other words, we are dealing with a case where the duty was paid on account of misconstruction, misapplication or wrong interpretation of a provision of law, rule, notification or regulation, as the case may be.) Is it open to the manufacturer to say that the decision of a High Court or the Supreme Court, as the case may be, in the case of another person has made him aware of the mistake of law and, therefore, he is entitled to refund of the duty paid by him? Can he invoke Section 72 of the Contract Act in such a case and claim refund and whether in such a case, it can be held that reading Section 72 of the Contract Act along with Section 17(1)(c) of the Limitation Act, 1963, the period of limitation for making such a claim for refund, whether by way of a suit or by way of a writ petition, is three years from the date of discovery of such mistake of law? *Kanhaiya Lal* is understood as saying that such a course is permissible. Later decisions commencing from *Bhailal Bhai* have held that the period of limitation in such cases is three years from the date of discovery of the mistake of law. With the greatest respect to the learned Judges who said so, we find ourselves unable to agree with the said proposition. Acceptance of the said proposition would do violence to several well-accepted concepts of law. One of the important principles of law, based upon public policy, is the sanctity attaching to the finality of any proceeding, be it a suit or any other proceeding. Where a duty has been collected under a particular order which has become final, the refund of that duty cannot be claimed unless the order (whether it is an order of assessment, adjudication or any other order under which the duty is paid) is set aside according to law. So

long as that order stands, the duty cannot be recovered back nor can any claim for its refund be entertained. But what is happening now is that the duty which has been paid under a proceeding which has become final long ago — may be an year back, ten years back or even twenty or more years back — is sought to be recovered on the ground of alleged discovery of mistake of law on the basis of a decision of a High Court or the Supreme Court. It is necessary to point out in this behalf that for filing an appeal or for adopting a remedy provided by the Act, the limitation generally prescribed is about three months (little more or less does not matter). But according to the present practice, writs and suits are being filed after lapse of a long number of years and the rule of limitation applicable in that behalf is said to be three years from the date of discovery of mistake of law. The incongruity of the situation needs no emphasis. And all this because another manufacturer or assessee has obtained a decision favourable to him. What has indeed been happening all these years is that just because one or a few of the assessees succeed in having their interpretation or contention accepted by a High Court or the Supreme Court, all the manufacturers/assesseees all over the country are filing refund claims within three years of such decision, irrespective of the fact that they may have paid the duty, say thirty years back, under similar provisions — and their claims are being allowed by courts. All this is said to be flowing from Article 265 which basis, as we have explained hereinbefore, is totally unsustainable for the reason that the Central Excises Act and the Rules made thereunder including Section 11-B/Rule 11 too constitute “law” within the meaning of Article 265 and that in the face of the said provisions — which are exclusive in their nature — no claim for refund is maintainable except under and in accordance therewith. The second basic

concept of law which is violated by permitting the above situation is the sanctity of the provisions of the Central Excises and Salt Act itself. The Act provides for levy, assessment, recovery, refund, appeals and all incidental/ancillary matters. Rule 11 and Section 11-B, in particular, provide for refund of taxes which have been collected contrary to law, i.e., on account of a misinterpretation or misconstruction of a provision of law, rule, notification or regulation. The Act provides for both the situations represented by Sections 11-A and 11-B. As held by a seven-Judge Bench in *Kamala Mills*, following the principles enunciated in *Firm & Illuri Subbayya Chetty*, the words “any assessment made under this Act” are wide enough to cover all assessments made by the appropriate authorities under the Act whether the assessments are correct or not and that the words “an assessment made” cannot mean an assessment properly and correctly made.

It was also pointed out in the said decision that the provisions of the Bombay Sales Tax Act clearly indicate that all questions pertaining to the liability of the dealer to pay assessment in respect of their transactions are expressly left to be decided by the appropriate authorities under the Act as matters falling within their jurisdiction. Whether or not a return is correct and whether a transaction is exigible to tax or not are all matters to be determined by the authorities under the Act. The argument that the finding of the authority that a particular transaction is taxable under the Act is a finding on a collateral fact and, therefore, resort to civil court is open, was expressly rejected and it was affirmed that the whole activity of assessment beginning with the filing of the return and ending with the order of assessment falls within the jurisdiction of the authorities under the Act and no part of it can be said to constitute a collateral activity not specifically or

expressly included in the jurisdiction of the authorities under the Act. It was clarified that even if the authority under the Act holds erroneously, while exercising its jurisdiction and powers under the Act that a transaction is taxable, it cannot be said that the decision of the authority is without jurisdiction. We respectfully agree with the above propositions and hold that the said principles apply with equal force in the case of both the Central Excises and Salt Act and the Customs Act. Once this is so, it is ununderstandable how an assessment/adjudication made under the Act levying or affirming the duty can be ignored because some years later another view of law is taken by another court in another person's case. Nor is there any provision in the Act for reopening the concluded proceedings on the aforesaid basis. We must reiterate that the provisions of the Central Excise Act also constitute "law" within the meaning of Article 265 and any collection or retention of tax in accordance or pursuant to the said provisions is collection or retention under "the authority of law" within the meaning of the said article. In short, no claim for refund is permissible except under and in accordance with Rule 11 and Section 11-B. An order or decree of a court does not become ineffective or unenforceable simply because at a later point of time, a different view of law is taken. If this theory is applied universally, it will lead to unimaginable chaos. It is, however, suggested that this result follows only in tax matters because of Article 265. The explanation offered is untenable, as demonstrated hereinbefore. As a matter of fact, the situation today is chaotic because of the principles supposedly emerging from *Kanhaiya Lal* and other decisions following it. Every decision of this Court and of the High Courts on a question of law in favour of the assessee is giving rise to a wave of refund claims all over the country in respect of matters which have become final and are closed long number

of years ago. We are not shown that such a thing is happening anywhere else in the world. Article 265 surely could not have been meant to provide for this. We are, therefore, of the clear and considered opinion that *the theory of mistake of law and the consequent period of limitation of three years from the date of discovery of such mistake of law cannot be invoked by an assessee taking advantage of the decision in another assessee's case. All claims for refund ought to be, and ought to have been, filed only under and in accordance with Rule 11/Section 11-B and under no other provision and in no other forum.* An assessee must succeed or fail in his own proceedings and the finality of the proceedings in his own case cannot be ignored and refund ordered in his favour just because in another assessee's case, a similar point is decided in favour of the manufacturer/assessee. (See the pertinent observations of Hidayatullah, C.J. in *Tilokchand Motichand* extracted in para 46.) The decisions of this Court saying to the contrary must be held to have been decided wrongly and are accordingly overruled herewith.”

9. Like the Central Excise and Salt Act, 1944, the two enactments, i.e., the 1961 Act and the 1957 Act are self-contained codes exhaustive of matters dealt with therein. They are also exhaustive to obligations and remedies available to a tax payer under the two enactments. Applying the ratio expounded in ***Mafatlal Industries*** (supra), it is clear that in cases covered by the first category, claim for refund must be made by the assessee in accordance with the provisions of the enactment. Refund will be due and paid to the assessee as per the

provisions of the enactment itself. The two Acts provide for levy, assessment, recovery, refund, appeals and all incidental/ancillary matters. For an assessee to claim refund, he must satisfy the statutory requirements and Article 265 of the Constitution is not violated if an assessee does not claim refund as per the provisions of the Act or when the “wrong” assessment or any other “wrong” order becomes final and has the effect of denying refund. An assessee cannot file a writ petition and state that Article 265 of the Constitution is violated because he is not being refunded tax which is not refundable under the enactment. In such cases, tax has been collected in accordance with law, i.e., under the enactment itself and no amount is refundable unless a refund can be claimed in terms of the statute/enactment. Of course, if the ‘wrong’ order itself is challenged in a writ petition and the challenge is accepted then refund can be a consequence. Invoking the writ jurisdiction to question an order or assessment is a separate aspect. Existence of an adequate legal remedy which has not been availed of is an important and relevant consideration before resort to extraordinary jurisdiction is accepted.

10. Any other interpretation would lead to incongruous results with the Revenue being put and saddled with liabilities even after the assessments become final and are not subjected to any challenge in

appeal or revision. It will result in chaotic situation and will be contrary to public interest, making a decision or adjudication inchoate and uncertain. It may be noticed here that there are fetters and restrictions on the power of the tax authorities both by limitation as well as conditions regarded as jurisdictional pre-conditions that have to be satisfied before any case is reopened under Section 147/148 of the 1961 Act or under Section 17 of the 1957 Act. Further, Revenue cannot defend a writ petition or a refund claim and state that the assessee had wrongly claimed benefit or has been wrongly granted benefit of a deduction/claim, even when the order/assessment has attained finality.

11. Provisions of assessment are independent of provisions of refund, but the provisions relating to refund may be dependent on the assessment. (See ***Commissioner of Income Tax, West Bengal vs. Central India Industries Ltd.*** (1971) 82 ITR 555). An assessment order or an order quantifying the income/net wealth can be rectified or modified in the proceedings as contemplated by the enactment. The assessment order or the order quantifying the income or taxable wealth cannot be challenged on merits while the authorities examine the question of refund. The authorities cannot go behind the assessment

order or the order quantifying net wealth/income. Section 242 of the 1961 Act is apposite and is reproduced below:-

“242. Correctness of assessment not to be questioned.--In a claim under this Chapter, it shall not be open to the assessee to question the correctness of any assessment or other matter decided which has become final and conclusive or ask for a review of the same, and the assessee shall not be entitled to any relief on such claim except refund of tax wrongly paid or paid in excess.

12. Another principle is that the refund provisions should be interpreted in a reasonable and practical manner and when warranted liberally in favour of the assessee. If there is substantial compliance of the provisions for refund, it may not be denied because it is not made strictly in the form or the prescribed manner. The forms prescribed may be merely intended to facilitate payment of refund. The tax authorities have to act judiciously when they exercise their power under an enactment. The power given to the tax authorities under the enactments are mandated with the duty to exercise them when the statutory provisions so warrant. It is imperative upon them to exercise their authority in an appropriate manner. In case the Assessing Officer or tax authority comes to know that an assessee is entitled to deduction, relief or refund on the facts of the case and the assessee has omitted to make the claim, he should draw the attention of the assessee. The tax

authorities should act as facilitators and not occlude and obstruct. The role of tax authorities has been aptly described in ***CIT versus Rajesh Jhaveri Stock Brokers Pvt. Ltd.*** (2008) 14 SCC 208 as :-

“19..... The function of the assessing officer is to administer the statute with solicitude for the public exchequer with an inbuilt idea of fairness to taxpayers.”

13. In ***Commissioner of Income Tax Vs. Shelly Products and Anr.***, (2003) 261 ITR 367, the Supreme Court while upholding the right of the tax authorities to retain taxes due and payable even when the assessment proceeding is annulled, on the question of refund when tax is not payable clarified the position as under:

“We cannot lose sight of the fact that the failure or inability of the Revenue to frame a fresh assessment should not place the assessee in a more disadvantageous position than in what he would have been if a fresh assessment was made. In a case where an assessee chooses to deposit by way of abundant caution advance tax or self-assessment tax which is in excess of his liability on the basis of the return furnished or there is any arithmetical error or inaccuracy, it is open to him to claim refund of the excess tax paid in the course of the assessment proceeding. He can certainly make such a claim also before the concerned authority calculating the refund. Similarly, if he has by mistake or inadvertence or on account of ignorance, included in his income any amount which is exempted from payment of income-tax, or is not income within the contemplation of law, he may likewise bring this to the notice of the assessing authority, which if satisfied, may grant

him relief and refund the tax paid in excess, if any. Such matters can be brought to the notice of the concerned authority in a case when refund is due and payable, and the authority concerned, on being satisfied, shall grant appropriate relief.”

Facts of the W.P.(C) No. 7127 Of 2008

14. The petitioner No. 1, Indglonal Investment & Finance Limited, by this writ petition has prayed for quashing of the order dated 23rd August, 2007 passed by the respondent No. 1, Income Tax Officer, Ward No. 11(4), New Delhi and for direction that the respondent should refund Rs.5,73,038/- along with interest. It is stated that this amount was deducted as TDS during the period relevant to the assessment year 1994-95 and is refundable.

15. By the impugned order dated 23rd August, 2007, the claim for refund has been rejected on the ground that in the return of income for the assessment year 1994-95 filed on 29th November, 1994, the assessee/petitioner had declared total loss of Rs.4,56,994/- and no amount was shown as deducted towards TDS and no claim for refund was made. It is stated that the return was processed under Section 143(1)(a) of the 1961 Act on 28th February, 1995 and it was concluded that no tax was paid and due. The respondent has relied upon Section 139(5) of the 1961 Act and stated that in case there was an omission or

error in the return itself, the petitioner should have filed revised a return within the time stipulated. No revised return was filed.

16. Section 237, 239(1) & (2)(c) and 240 of the 1961 Act read as under:-

“Section 237- Refunds

If any person satisfies the [Assessing] Officer that the amount of tax paid by him or on his behalf or treated as paid by him or on his behalf for any assessment year exceeds the amount with which he is properly chargeable under this Act for that year, he shall be entitled to a refund of the excess.”

Section 239- Forms of claim for refund and limitation.

“(1) Every claim for refund under this Chapter shall be made in the prescribed form and verified in the prescribed manner.

[(2) No such claim shall be allowed, unless it is made within the period specified hereunder, namely:-

(a) ...

(b) ...

(c) Where the claim is in respect of income which is assessable for any other assessment year, [one] year from the last day of such assessment year;]”

Section 240- Refund on appeal, etc.

“Where, as a result of any order passed in appeal or other proceeding under this Act, refund of any amount becomes due to the assessee, the Assessing Officer shall, except as otherwise provided in this Act, refund the amount to the assessee without his having to make any claim in that behalf.

Provided that where, by the order aforesaid,--

(a) an assessment is set aside or cancelled and an order of fresh assessment is directed to be made, the refund, if any, shall become due only on the making of such fresh assessment ;

(b) the assessment is annulled, the refund shall become due only of the amount, if any of the tax paid in excess of the tax chargeable on the total income returned by the assessee.”

17. As per Section 237 of the 1961 Act, an assessee is entitled to refund if the tax paid by him or treated to have been paid by him or on his behalf for the assessment year, exceeds the amount chargeable under the 1961 Act for a particular assessment year. Claim for refund as per Section 239(1) and 239 (2)(c), has to be made in the prescribed form and verified in the proper manner within one year from the last date of the relevant assessment year. Rule 41 of the Income Tax Rules, 1962 (Rules, for short) is also relevant. As per the aforesaid Rule, claim for refund is to be accompanied by a return in the prescribed form and in case a person makes a claim for refund that consists of dividend from any other income on which tax has been deducted at source, the claim is required to be accompanied by certificate of TDS.

The said provisions for refund have been liberally interpreted in favour of the assessee and hyper-technical grounds which hinder the right of the assessee to get refund have not been encouraged. When there has been substantial compliance of Sections 237 and 239 of the 1961 Act but there is a procedural lapse, for non-compliance, the refund should not be denied.

18. Section 240 of the 1961 Act provides that where, as a result of any order passed in appeal or other proceedings under the Act, refund of any amount becomes due to any assessee, the assessing officer shall refund the amount to the assessee without his having made any claim in that behalf. Interpreting the expression “other proceedings” in Section 240 of the 1961 Act it has been held in ***Atmaram J. Haithsala Vs. Smt. S. Sarup, ITO*** (1994) 209 ITR 456 as under;-

“The phrase “other proceedings” used under section 240 is of wide amplitude and would cover any order passed in proceedings other than an appeal under the Income-tax Act. Therefore, the phrase “orders passed in other proceedings under the Income-tax Act” would include orders passed under section 154 (rectification proceedings), orders passed by the High Court or the Supreme Court under section 260 (in reference) and orders passed by the Commissioner of Income-tax in revision applications under section 263 or 264 or on an application under section 273A of the Act. In this view of the matter, in our view, there is no reason to restrict the meaning of the phrase “other proceedings” under the Income tax Act used in section 240 to only some orders by which refund of excess tax or penalty is granted and

not to cover orders passed under section 273A of the Act. Sub-section (1A) of section 244 also, inter alia, provides that where the whole or any part of the refund referred to in sub-section (1) is due to the assessee in pursuance of any order of assessment or penalty and such amount or any part thereof having been found in other proceedings under this Act to be in excess of the amount which such assessee is liable to pay as penalty, then the Government is required to pay to such assessee simple interest as specified therein. In this view of the matter, there is no reason to hold that in case where penalty is waived or reduced under section 273A of the Act, the assessee is not entitled to have the said amount with interest as provided under section 244(1A) of the Act.

The Allahabad High Court in the case of Raj Kishore Prasad v. ITO [1991] 188 ITR 765, observed that the words "other proceedings under the Act" used under section 240, are wide enough to include proceedings or orders passed under section 263 of the Act giving rise to the claim of an assessee for refund. The court negatived the contention of the Revenue for restricting the meaning and scope of the phrase "other proceedings" only to references made under the Act."

(See also ***S.R.Koshti versus Commissioner of Income Tax*** (2005) 276 ITR 165 mentioned below)

19. In view of the statutory provisions the issue raised is whether the petitioner assessee had made a claim for refund or the refund is payable under the 1961 Act.

20. Photocopy of the acknowledgment issued by the Department at the time of filing of return is available on our file. Acknowledgment

shows that there was a specific column i.e. column No. 5, in which the assessee was required to show total tax deducted and collected at source. Against the said column, the figure written is NIL. A perusal of the acknowledgment of return also shows that no specific claim for refund was mentioned. The column has been left blank. In the column relating to number of documents attached regarding pre-paid taxes etc., no detail has been given.

21. The original file of the department was called and has been produced before us. We have examined the original file. The Income Tax form for the said year consisted of 10 pages. The original return available on record consists of the first 4 pages and pages 9 and 10. Pages 5 to 8 are not available on the record. It is obvious that these have been removed. However, at page 3 of the return, income of Rs.20,83,125/- has been declared as dividend from Asian Consolidated Industries Limited. Page No. 10 of the return available on record, shows that the assessee had filed statement of assessable income, statutory audit report, Profit & Loss Account, Balance-sheet, annexures to the Balance-sheet, tax audit report and depreciation. The statement of assessable income and the audited Balance Sheet is available on record. The statement of assessable income available on record shows that TDS on dividend as per Form No. 16A enclosed amounting to

Rs.5,73,038/- is refundable. Original TDS certificate issued by the Asian Consolidated Industries Limited dated 14th July, 1993 is available on record at page no. 21. The said TDS certificate relates to equity dividend for the year 1991-92. The gross dividend declared in the accounts is Rs.20,83,125/-. The amount of Rs.2,81,479/- has been paid as interest and an amount of Rs.5,73,038/- has been deducted towards TDS and accordingly net payment of Rs.17,91,566/- has been made. It is noticed from the audited accounts that this amount of Rs.2,81,479/- towards interest has been shown as interest received.

22. The returned income as declared was accepted. The question arises whether or not the assessee had asked for refund or the assessed income entitles the petitioner to refund of TDS of Rs.5,73,034/-.

23. The contention of the Revenue is that only the return form and the not the annexures attached are relevant to decide whether the assessee is entitled to refund or not. Thus, if the assessee has not claimed refund in the return form itself, then the assessee is not entitled to refund. The aforesaid submission cannot be accepted in the present case. We are concerned with assessment year 1994-95 and the relevant provisions of the 1961 Act applicable in the said year. An assessee was required and mandated by Section 139(9) of the 1961 Act to file specified annexures and documents with the return of income. Unless

the specified documents were furnished, the return of income was regarded as defective. Section 139(9) of the 1961 Act during the relevant period reads as under:-

“Section 139. Return of income

(9) Where the Assessing Officer considers that the return of income furnished by the assessee is defective, he may intimate the defect to the assessee and give him an opportunity to rectify the defect within a period of fifteen days from the date of such intimation or within such further period which, on an application made in this behalf, the Assessing Officer may, in his discretion, allow ; and if the defect is not rectified within the said period of fifteen days or, as the case may be, the further period so allowed, then, notwithstanding anything contained in any other provision of this Act, the return shall be treated as an invalid return and the provisions of this Act shall apply as if the assessee had failed to furnish the return:

Provided that where the assessee rectifies the defect after the expiry of the said period of fifteen days or the further period allowed, but before the assessment is made, the Assessing Officer may condone the delay and treat the return as a valid return.

Explanation.--For the purposes of this subsection, a return of income shall be regarded as defective unless all the following conditions are fulfilled, namely:--

(a) the annexures, statements and columns in the return of income relating to computation of income chargeable under each head of income, computation of gross total

income and total income have been duly filled in ;

(b) the return is accompanied by a statement showing the computation of the tax payable on the basis of the return ;

(bb) the return is accompanied by the report of the audit obtained under section 44AB ;

(c) the return is accompanied by proof of--

(i) the tax, if any, claimed to have been deducted at source and the advance tax and tax on self-assessment, if any, claimed to have been paid ;

(ii) the amount of compulsory deposit, if any, claimed to have been made under the Compulsory Deposit Scheme (Income-tax Payers) Act, 1974 (38 of 1974) ;

(d) where regular books of account are maintained by the assessee, the return is accompanied by copies of--

(i) manufacturing account, trading account, profit and loss account or, as the case may be, income and expenditure account or any other similar account and balance-sheet ;

(ii) in the case of a proprietary business or profession, the personal account of the proprietor ; in the case of a firm, association of persons or body of individuals, personal accounts of the partners or members ; and in the case of a partner or member of a firm, association of persons or body of individuals, also his personal account in the firm, association of persons or body of individuals ;

(e) where the accounts of the assessee have been audited, the return is accompanied by copies of the audited profit and loss account and balance-sheet and the auditor's report and, where an audit of cost accounts of the assessee has been conducted, under section 233B of the Companies Act, 1956 (1 of 1956), also the report under that section ;

(f) where regular books of account are not maintained by the assessee, the return is accompanied by a statement indicating the amounts of turnover or, as the case may be, gross receipts, gross profits, expenses and net profit of the business or profession and the basis on which such amounts have been computed, and also disclosing the amounts of total sundry debtors, sundry creditors, stock-in-trade and cash balance as at the end of the previous year.”

24. The explanation clause (b) specifically stipulated that the return must be accompanied by a computation of tax payable on the basis of return. Clause (c) further stipulated that the return must be accompanied by proof of TDS, advanced tax and self assessment tax. A return of income could be treated as defective unless these documents were enclosed. The assessing officer was required to intimate the defect and give an opportunity to the assessee to rectify the same. The contention of the Revenue, thus, cannot be accepted that the annexures do not form a part and parcel of the return. The documents were a part of the return. As a matter of abundant caution,

we clarify that the statutory provision with regard to return have undergone a change as now in some cases documents along with return are not required to be filed. However, we are not concerned with the present statutory provisions. Once we examine and consider the documents attached to the return, it is apparent that the petitioner had made a claim for refund of Rs. 5,73,034/-.

25. The income tax return as filed consists of 10 pages. Pages 5 to 8 which are the relevant pages pertaining to refund are missing. There is no explanation by the Revenue/respondent why and how they are missing. Although these are pages missing from the income tax return filed by the petitioner, statement of total income, computation of tax payable on the total income and attachment of the original TDS certificate with the original return, have not been denied or disputed by the respondent. This supports the stand of the petitioner. The statement of assessable income on record clearly shows that TDS on dividend amounting to Rs. 5,73,038/- is refundable. The return for the relevant assessment year had been filed by the petitioner well within the time and the contention of the respondent that the petitioner should have filed a revised return in order to claim refund is not satisfactory or correct, in light of the attachments that had been annexed to the return.

26. The documents placed on record show that the petitioner had written to the Deputy Commissioner of Income Tax, New Delhi on 20th October, 1999 stating that it had filed its return of income on 29th November, 1994 for the assessment year 1994-95 declaring a loss of Rs. 4,56,994/-. In the said letter the petitioner had prayed for refund of Rs. 5,73,038/- in respect of TDS and had filed copy of Income Tax return, TDS certificate and a computation of income along with the said letter. Thereafter, the petitioner wrote several letters from 2004 onwards to the respondent and also to the Commissioner of Income Tax, Help Line requesting for the refund and interest in view of provisions of Sections 237 and 239 of the 1961 Act. On 23rd April, 2007, the Revenue had sent a letter to the petitioner asking them to furnish evidence in relation to its initial claim for refund. No question of limitation or delay was raised by the respondent.

27. Plea of the respondent relying upon the doctrine of delay and laches has to be rejected. Apart from the facts noticed above, once it is held that the petitioner had applied for and is entitled to refund, then the delay in making the refund is attributable to the respondent. The respondent rejected the claim for refund only vide order dated 23rd August, 2007 and the petitioner filed the present writ petition in 2008. The petition has remained pending for last 3 years.

28. In *Ram Chand v. Union of India*, (1994) 1 SCC 44, the Supreme Court has observed that if the statutory authority has not performed its duty within a reasonable time, it cannot justify the same by taking the plea that the person who has been deprived of his right has not approached the appropriate forum for relief. It was held:

“16. On behalf of the respondents, it was pointed out that the petitioners have approached this Court only after making of the awards, or when awards were to be made, having waited for more than fourteen years, without invoking the jurisdiction of the High Court under Article 226 or of this Court under Article 32. It is true that this Court has taken note of delay on the part of the petitioners concerned in invoking the jurisdiction of the High Court or of this Court for quashing the land acquisition proceedings on the ground that the proceedings for acquisition of the lands in question have remained pending for more than a decade, in the cases of *Aflatoon v. Lt. Governor of Delhi* and *Ramjas Foundation v. Union of India*. According to us, the question of delay in invoking the writ jurisdiction of the High Court under Article 226 or of this Court under Article 32, has to be considered along with the inaction on the part of the authorities, who had to perform their statutory duties. Can the statutory authority take a plea that although it has not performed its duty within a reasonable time, but it is of no consequence because the person, who has been wronged or deprived of his right, has also not invoked the jurisdiction of the High Court or of this Court for a suitable writ or direction to grant the relief considered appropriate in the circumstances? The authorities are enjoined by the statute concerned to perform their duties within a reasonable time, and as such they are answerable to the Court why such

duties have not been performed by them, which has caused injury to claimants. By not questioning, the validity of the acquisition proceedings for a long time since the declarations were made under Section 6, the relief of quashing the acquisition proceedings has become inappropriate, because in the meantime, the lands notified have been developed and put to public use. The lands are being utilised to provide shelter to thousands and to implement the scheme of a planned city, which is a must in the present set-up. The outweighing public interest has to be given due weight. That is why this Court has been resisting attempts on the part of the landholders, seeking quashing of the acquisition proceedings on ground of delay in completion of such proceedings. But, can the respondents be not directed to compensate the petitioners, who were small cultivators holding lands within the ceiling limit in and around Delhi, for the injury caused to them, not by the provisions of the Act, but because of the non-exercise of the power by the authorities under the Act within a reasonable time?”

29. In the present case the respondent has deprived the petitioner of its money which was refundable as per statute. The question of delay invoking writ jurisdiction has to be considered with a duty cast by the statute on the authority. When a statutory authority does not pass any order and fails to comply with the statutory mandate within reasonable time, they cannot take the defence of laches and delay. Delay in such cases furnishes cause of action and right to the petitioner to approach courts. Of course if the respondent had rejected the refund claim

but the petitioner had kept quiet and thereafter approached the court after considerable delay, different consequence would flow. It was the respondent's statutory duty to act within a reasonable time. State is a virtuous litigant and should meet honest claims (See ***Dilbagh Rai Jarry Vs. Union of India*** (1974) 3 SCC 554 and ***Madras Port Trust Vs. Hymanshu International*** (1979) 4 SCC 176). The aforesaid view finds resonance in the ***State of U.P. and Ors. Vs. Manohar***, (2005) 2 SCC 126, in the following words:

“5. As a matter of fact, the appellants were unable to produce even a scrap of evidence indicating that the land of the respondent had been taken over or acquired in any manner known to law or that he had ever been paid any compensation in respect of such acquisition. That the land was thereafter constructed upon, is not denied.

6. Having heard the learned counsel for the appellants, we are satisfied that the case projected before the court by the appellants is utterly untenable and not worthy of emanating from any State which professes the least regard to being a welfare State. When we pointed out to the learned counsel that, at this stage at least, the State should be gracious enough to accept its mistake and promptly pay the compensation to the respondent, the State has taken an intractable attitude and persisted in opposing what appears to be a just and reasonable claim of the respondent.

7. Ours is a constitutional democracy and the rights available to the citizens are declared by the Constitution. Although Article 19(1)(f)

was deleted by the Forty-fourth Amendment to the Constitution, Article 300-A has been placed in the Constitution, which reads as follows: “300-A. *Persons not to be deprived of property save by authority of law.*—No person shall be deprived of his property save by authority of law.”

8. This is a case where we find utter lack of legal authority for deprivation of the respondent’s property by the appellants who are State authorities. In our view, this case was an eminently fit one for exercising the writ jurisdiction of the High Court under Article 226 of the Constitution. In our view, the High Court was somewhat liberal in not imposing exemplary costs on the appellants. We would have perhaps followed suit, but for the intransigence displayed before us.”

30. In view of aforesaid the writ petition is to be allowed.

Facts of the W.P. (C) No. 15639 Of 2006

31. Taksal Theaters Private Limited has filed this petition for refund of wealth tax deposited by them for the assessment year 1999-2000. Claim for refund for the assessment year 2000-01 has been granted and to this extent the prayer in the writ petition is infructuous. Another prayer made in the writ petition is that it should be declared that the properties of the petitioner at Varansi being a theater and commercial complex during the relevant assessment year were exempt from payment of wealth tax.

32. The admitted factual position is that the petitioner had filed the wealth tax return and had deposited Rs.1,49,536/- on self assessment basis, as the wealth tax for the assessment year 1999-2000. In the wealth tax return, the petitioner had declared taxable wealth on the basis of which the self assessment tax was paid. The petitioner in taxable wealth, has included the asset, the cinema hall-cum-commercial complex. In the writ petition, the petitioner has not mentioned the date when the return for the assessment year 1999-2000 was filed. The respondents also have not stated in their counter affidavit the date on which the wealth tax return for the assessment year 1999-2000 was filed. The only document available on record is the challan for deposit of self assessment wealth tax, which is dated 15th November, 1999. It appears that the return was, therefore, filed in November, 1999.

33. It is the accepted case of the parties that the return filed by the petitioner was accepted and the return was not subjected to scrutiny. In these circumstances, the acknowledgment of return is to be regarded as the assessment under Section 16(1) of the 1957 Act.

34. This is clear if we examine Section 16 of the 1957 Act, which for the sake of convenience is reproduced below:-

“16. Assessment.--(1) *Where a return has been made under section 14 or section 15 or in response to a notice under clause (i) of sub-section (4),--

(i) if any tax or interest is found due on the basis of such return, after adjustment of any amount paid by way of tax or interest, then, without prejudice to the provisions of sub-section (2), an intimation shall be sent to the assessee specifying the sum so payable, and such intimation shall be deemed to be a notice of demand issued under section 30 and all the provisions of this Act shall apply accordingly ; and

(ii) if any refund is due on the basis of such return, it shall be granted to the assessee and an intimation to this effect shall be sent to the assessee :

Provided that except as otherwise provided in this sub-section, the acknowledgement of the return shall be deemed to be intimation under this sub-section where either no sum is payable by the assessee or no refund is due to him :

Provided further that no intimation under this sub-section shall be sent after the expiry of two years from the end of the assessment year in which the net wealth was first assessable.

(1A) and (1B) omitted by FA 1999 wef 1-6-1999.

(2) Where a return has been made under section 14 or section 15, or in response to a notice under clause (i) of sub-section (4) of this section, the Assessing Officer shall, if he considers it necessary or expedient to ensure that the assessee has not understated the net wealth or has not under paid the tax in any manner, serve on the assessee a notice requiring him, on a date to be specified therein, either to attend at the office of the Assessing

Officer or to produce, or cause to be produced there, any evidence on which the assessee may rely in support of the return:

Provided that no notice under this sub-section shall be served on the assessee after the expiry of twelve months from the end of the month in which the return is furnished:

(3) On the day specified in the notice issued under sub-section (2) or as soon afterwards as may be, after hearing such evidence as the assessee may produce and such other evidence as the Assessing Officer may require on specified points, and after taking into account all relevant material which he has gathered, the Assessing Officer shall, by order in writing, assess the net wealth of the assessee and determine the sum payable by him on the basis of such assessment.

(4) For the purposes of making an assessment under this Act, the Assessing Officer may serve, on any person who has made a return under section 14 or section 15 or in whose case the time allowed under sub-section (1) of section 14 for furnishing the return has expired, a notice requiring him, on a date to be specified therein,--

(i) Where such person has not made a return within the time allowed under sub-section (1) of section 14 to furnish a return of his net wealth or the net wealth of any other person in respect of which he is assessable under this Act on the valuation date, in the prescribed form and verified in the prescribed manner, setting forth the particulars of such net wealth and such other particulars as may be prescribed, or

(ii) to produce or cause to be produced such accounts, records or other documents as the Assessing Officer may require.

(5) If any person,--

(a) fails to make the return required under sub-section (1) of section 14 and has not made a return or revised return under section 15, or

(b) fails to comply with all the terms of a notice issued under sub-section (2) or sub-section (4),

the Assessing Officer, after taking into account, all relevant material which he has gathered, shall, after giving such person an opportunity of being heard, estimate the net wealth to the best of his judgment and determine the sum payable by the person on the basis of such assessment:

Provided that such opportunity shall be given by the Assessing Officer by serving a notice calling upon the person to show cause, on a date and time to be specified in the notice, why the assessment should not be completed to the best of his judgment:

Provided further that it shall not be necessary to give such opportunity in a case where a notice under sub-section (4) has been issued prior to the making of the assessment under this sub-section.

(6) Where a regular assessment under sub-section (3) or sub-section (5) is made,--

(a) any tax or interest paid by the assessee under sub-section (1) shall be deemed to have been paid towards such regular assessment ;

(b) if no refund is due on regular assessment or the amount refunded under sub-section (1) exceeds the amount refundable on regular assessment, the whole or the excess amount so refunded shall be deemed to be tax payable by the assessee and the provisions of this Act shall apply accordingly.”

35. Section 16(1) of the 1957 Act stipulated that where a return of wealth was filed, the Assessing Officer would on the basis of such return examine whether after adjustment of the amount paid by way of tax or interest any further amount was payable or refundable and accordingly send an intimation to the assessee. This action was without prejudice to provisions of sub-section 2 to Section 16. The aforesaid sub-section related to cases which were taken up for scrutiny. The proviso to Section 16(2) stipulated that no notice for scrutiny would be served on the assessee after expiry of 12 months from the end of the month in which the return was furnished. With regard to intimation under Section 16(1) also, the second proviso stipulated that no intimation under Section 16(1) shall be sent two years after the end of the assessment year in which the net wealth was assessable. The first proviso stipulated that the acknowledgment of the return shall be deemed to be intimation under this sub-section where no sum was payable by the assessee or no refund was due to him. It, therefore, follows that if no intimation was received after expiry of two years from the end of the assessment year, then acknowledgment of the return issued by the Revenue was to be treated as the intimation that no sum was payable by the assessee and no refund was due to him.

36. The sum effect of Section 16(1) and (2) is that in case no notice under sub-section 2 to Section 16 was issued and no intimation for refund or payment of tax was issued within two years, the acknowledgment issued at the time of filing of the return by the Revenue is treated as the intimation. Consequently net wealth as declared is the assessed taxable wealth. Above discussion elucidates that the return of wealth tax filed by the petitioner-assessee in November, 1999 was accepted and has become an order of intimation under Section 16(1) of the 1957 Act. The said intimation has become final and binding and cannot be reopened under Section 16(2) as the period for issue of notice under the said Section has expired. The result is that the return filed by the petitioner-assessee declaring the net wealth has attained finality.

37. It may be noted here that the petitioner had the right to file a revision under Section 25 of the 1957 Act. However, the period for filing of the revision has expired and the petitioner did not take steps to invoke the said power.

38. The provision for refund of wealth tax is found in Chapter VII A of the Act. The said Chapter consists of only one section, Section 34A and the relevant sub-sections are 1 and 2, which read as under:-

“34A. Refunds.--(1) Where, as a result of any order passed in appeal or other proceeding (including a rectification proceeding) under this Act, refund of any amount becomes due to the assessee, the Assessing Officer shall, except as otherwise provided in this Act, refund the amount to the assessee without his having to make any claim in that behalf.

Provided that where, by the order aforesaid,--

(a) an assessment is set aside or cancelled and an order of fresh assessment is directed to be made, the refund, if any, shall become due only on the making of such fresh assessment ;

(b) the assessment is annulled, the refund shall become due only of the amount, if any, of the tax paid in excess of the tax chargeable on the net wealth returned by the assessee.

(2) Where refund of any amount becomes due to the assessee as a result of and order under this Act or under the provisions of sub-section (1) of section 16 after a return has been made under section 14 or section 15 or in response to a notice under clause (i) of sub-section (4) of section 16 and the Assessing Officer is of the opinion, having regard to the fact that,--

(i) a notice has been issued, or is likely to be issued, under sub-section (2) of section 16 in respect of the said return ; or

(ii) the order is the subject-matter of an appeal or further proceeding ; or

(iii) any other proceeding under this Act is pending,

that the grant of the refund is likely to adversely affect the revenue, the Assessing Officer

may, with the previous approval of the Chief Commissioner or Commissioner, withhold the refund till such time as the Chief Commissioner or Commissioner may determine.”

39. Under sub-section 1, the Assessing Officer was required to make refund of tax paid by the assessee without any claim or application on behalf of the assessee if the same becomes due as a result of an order passed in an appeal or any other proceedings. Sub-section 2 makes it clear that a refund may become due even when an order was passed or intimation was made under sub-section 1 to Section 16 of the 1957 Act. As discussed above the acknowledgment of the return constitutes intimation but as per the said intimation, no amount is refundable. The order of intimation under Section 16(1) has attained finality and has not been challenged or questioned in a revision. Return of wealth has also not been revised. In terms of Section 34A of the 1957 Act, the tax paid by the petitioner is not to be refunded and the tax deposited is payable towards the wealth declared which has become the wealth assessed.

40. Faced with the aforesaid situation, learned counsel for the petitioner submitted that the intimation under Section 16(1) of the 1957 Act is a nullity as the assets declared by the petitioner and included in the net wealth are excluded and are not assessable to wealth tax. The

aforesaid contention has no merit. The Assessing Officer has jurisdiction to pass an order of assessment or accept a return. An acknowledgment of the return may constitute intimation. An order or intimation may be incorrect and contrary to the provisions of the Act. Something which is exempt and not assessable to tax may have been included and treated as a part of net the wealth, but this will not make the order or the intimation void ab initio or nullity in law. The order itself may be susceptible to challenge but the said order or intimation cannot be ignored and regarded as a waste paper. So long as it exists, it operates and the consequences flow. Any other interpretation will lead to unacceptable consequences. There will be cases or writ petitions by the assessee, or even by the Revenue if a 'wrong' order is passed by the tribunal, based on the premise that the order or intimation on record being contrary to the provisions of the Act are null and void and, therefore, either tax should be refunded or tax should be paid. This is not acceptable. The Act itself is a complete code that deals with the question of payment of tax and refund of tax. It is not as if the petitioner was without remedy. The petitioner had remedy to either file a revised return or file a revision. The petitioner did not avail of the said remedies and the limitation period has now expired. The petitioner

cannot get over the period of limitation by this method. Whether or not an asset was eligible to wealth tax is determined under the 1957 Act.

41. Reliance placed by the petitioner on ***Sandvik Asia Limited versus Commission of Income Tax-I, Pune and Others***, (2006) 280 ITR 643 (SC) is misconceived. In the said case, the assessee had claimed interest on the amount refundable. The amounts refundable represented interest which was paid by the assessee to the department under the 1961 Act. It was noticed that there was delay from 12 years to 17 years in payment of the refund, i.e., interest paid by the assessee to the department. It was held that as per the relevant provisions and in the facts, interest was payable on the amount refundable even when the amount paid by the assessee was towards the interest element. In the present case, the intimation under Section 16(1) of the 1957 Act has attained finality. No amount is refundable as per the said intimation.

42. Decision of the Delhi High Court in ***Vijay Kumar Bhati versus Commissioner of Income Tax and Another***, (1994) 205 ITR 110 (Delhi) deals with Section 241 of the 1961 Act and the power of the Assessing Officer to set off of refunds under section 241 of the 1961 Act. In the said case, refunds were due but the Assessing Officer without intimation had passed an order under Section 241 of the 1961

Act which was held to be bad. Accordingly, directions were issued by the High Court.

43. In another judgment of the Delhi High Court in ***Glaxo Smith Kline Asia Private Limited versus Commissioner of Income Tax and Others***, 2007 (94) DRJ 681, Section 245 of the 1961 Act was invoked and in that context observations were made with regard to power to set off a refund against an outstanding demand. It was held that the restrictions on power under Section 241, were equally applicable to Section 245 and the section should not be mechanically invoked. Observations in the said decision are of no relevance.

44. In ***R. Seshammal versus Income Tax Officer and Another***, (1999) 237 ITR 185 (Mad), the assessee had paid advance tax amounting to Rs.43,808/- but had not filed any return of income or applied for refund in time under Section 237 of the 1961 Act. However, Notice under Section 148 of the 1961 Act was issued and the assessee had filed return of income but the proceedings were closed. Thus the assessee had claimed refund. The assessee had filed a petition under Section 119(2) of the 1961 Act, which was rejected. In the said decision, relevant provisions of the 1961, Act, have not been considered and interpreted. It will not be appropriate to apply the said decision to the case of the petitioner in the present writ petition as in

the present case, return was filed and the wealth declared has been accepted. The acknowledgment/return constitutes intimation, which has become final.

45. Decision of a Division Bench of Gujarat High Court in **S.R. Koshti vs. Commissioner of Income-tax**, (2005) 276 ITR 165 (Guj.), is distinguishable. In the said case, return was filed and was processed. Subsequently, the assessee revised his return to claim deduction under Section 10(10C) but the same was beyond limitation. The Assessing Officer had passed a rectification order under Section 154 of 1961 Act, and had allowed the said deduction. But this order was reversed by the Commissioner exercising power under Section 263 of the 1961 Act. The assessee filed a revision petition under Section 264 of the 1961 Act which was dismissed. The High Court in the writ proceedings referred the two orders under Section 263 and 264 of the 1961 Act. It was held that the Commissioner had the power to revise the assessment order under Section 264, even if the revised return was not filed, once the assessee was able to show that he was over assessed.

46. Decision of Calcutta High Court in **Mayank Poddar (HUF) vs. Wealth Tax Officer**, (2003) 262 ITR 633 (Cal.), is on an appeal filed under the provisions of the 1957 Act. The same is not the position here.

Conclusion

47. Accordingly, writ of mandamus is issued directing the respondent to process the claim on merits for refund to the petitioner- Indglonal Investment Finance Ltd. Rs 5,73,034/- along with the interest as per the 1961 Act within eight weeks from the date of copy of this order is received. W.P.(C) No 15639 of 2006 filed by M/s Taksal Theaters Private Limited is however, dismissed. In the facts of the cases there will be no order as to costs.

**(SANJIV KHANNA)
JUDGE**

**(DIPAK MISRA)
CHIEF JUSTICE**

**JUNE 3rd, 2011
KKB/VKR**